ANNIE & THE OCTOPUS COMMON-LAW INDEMNITY

2018
EDITION

Oregon State Bar

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The case citations in this book were West Checked through October 29, 2018. The ORS citations were checked through 2018.

All URLs cited were accurate as of November 13, 2018.

Printing History:

First edition 2018

This handbook may be cited as:
Annie & the Octopus: Common-Law Indemnity
(OSB Legal Pubs 2018)

Library of Congress Control Number: 2018963628
ISBN #1-879049-55-4

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Printed in the United States of America

PREFACE

Think common law indemnity is dead in Oregon? Are you and your clients laboring under the impression that comparative fault and statutory contribution have dismembered traditional indemnity claims? Well think again. Not only might you be surrendering an entitlement to 100% restitution, but also sacrificing a right to recover defense costs. However, salvation is on the way in the guise of *Annie & the Octopus: Common Law Indemnity*.

In many ways, this small volume is a departure from the usual fare offered by the OSB Legal Publications Department.

First, it isn't one of our regularly planned titles. Instead, a completed draft was brought to us for review, editing, and potential publication by co-author Barry Mount. After a brief perusal, I decided it would be worth publishing.

Second, there are only three authors and no editorial review board. (We have only one book with fewer authors.) These authors are all now retired and thus had free time to devote to distilling their many years of wisdom and analysis for this small volume.

Third, it is rife with humor not found in most of our books. But given the potentially dry nature of the topic of common-law indemnity, a little humor helps the legal issues and analysis stick in the reader's mind, if only because he or she can stay awake while reading it.

Finally, it includes a number of nonlegal pull quotes, including some from a possibly nonexistent tome called *Book of Restitution*. Each quote adds to the humorous nature of this work, but also serves to illustrate a point made in the section in which it appears.

Nonetheless, in one important respect *Annie & the Octopus* deserves a place among the award-winning publications we produce. Its pages are replete with in-depth analysis of Oregon law that has been cite checked and scrutinized for legal accuracy by one of our in-house attorney editors. I have no doubt it will be of great benefit to Oregon attorneys facing issues related to common-law indemnity.

November 2018
Linda Kruschke
Director of Legal Publications

Authors:

DICK BODYFELT, one of the founding members of the firm now known as Bodyfelt Mount LLP, obtained a BS in Logging Engineering from Oregon State University in 1963 and a JD from the University of Oregon in 1969. He was admitted to the Oregon State Bar in 1969. He is a past president of the Oregon Association of Defense Counsel and a member of the American College of Trial Lawyers. His practice centered primarily on products liability and general defense litigation. He is now retired.

BARRY MOUNT, another founding member of the firm now known as Bodyfelt Mount LLP, obtained a BA in Political Science from Lewis & Clark College in 1966 and a JD from the University of Oregon in 1969. He was admitted to the Oregon State Bar in 1969. His practice involved products liability, premises liability, construction defect litigation, and general insurance defense. He is now retired.

ROGER STROUP, who joined the firm now known as Bodyfelt Mount LLP four years after its inception, obtained a BA in Chemistry from the University of Colorado in 1965 and a JD from McGeorge School of Law, University of the Pacific in 1975. He was admitted to the Oregon State Bar in 1975. His practice involved products liability, insurance defense of manufacturers, and general civil litigation defense. He is now retired.

OREGON STATE BAR
CHIEF EXECUTIVE OFFICER

Helen M. Hierschbiel

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Chapter 1: INTRODUCTION

The beginning is the most important part of any work.

—Plato, *The Republic*

Before I refuse to take your questions,
I have an opening statement.

—Ronald Reagan

§ 1.1 Annie and the Octopus

It was a clear evening in Astoria on September 2, 1907, when 59-year-old Annie Anderson meandered up Eleventh Street to purchase a ticket for the annual Marine Regatta. Under a grant from the city, the Astoria & Columbia River Railroad Company had built an elevated rail track across the street. The railroad had also built a gradually rising apron on either side to provide a crossing over the tracks. Being from out of town and unfamiliar with the area, Ms. Anderson was unaware that while the south-side approach extended across the entire width of the street, the apron on the north side covered only a portion of the street. No warnings or barriers were in place on that side to protect the unwary from falling. Ms. Anderson never made it to the regatta. She was seriously injured in a fall from the north side. *See City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–40, 136 P 645 (1913); Brief for Plaintiff, *City of Astoria*, 67 Or 538 (1913). Little did she then know (or care) that her tumble and subsequent lawsuit would usher her into Oregon legal lore, under a concept known as common-law implied indemnity.

Five and a half decades later, in 1961, a strange phenomenon took place in the federal courtroom of Judge John Kilkenny: an “octopus” appeared on his docket. Well, not a whole octopus, but an octopus arm. It seems that an

amusement park owner operated a ride known as the Octopus—a devilish device consisting of long arms that centrifugally whirled patrons around in a dizzying circle. Unfortunately, several customers had been seriously hurt when one of the arms broke loose. They successfully sued the park owner, recovering significant judgments. Having satisfied the awards, the owner sought indemnity against the ride's manufacturer. *See Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936 (1961). The following chapters will discuss the outcome of this case, indicating how the indemnitee's claims in this instance were significantly different from those engendered by Annie's accident.

Annie and the Octopus: two cases—one state, one federal—that arguably shaped the contours of Oregon common-law indemnity.

§ 1.2 So Why Indemnity?

In this modern era of third-party practice, statutory contribution, arbitration, and the Oregon Supreme Court's 2015 manifesto dubbed *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015), is the theory of common-law indemnity anything more than an arcane relic of legal history, a musty artifact perhaps suitable for an earlier time but hardly relevant for today's practitioners? We think not. Indeed, in the authors' opinion, common-law indemnity claims in Oregon are potentially as vibrant today as they were when Annie toppled down and Judge Kilkenny sparred with the tentacles of that dismembered Octopus. Interestingly, in the ensuing decades, little has changed in Oregon's substantive law of common-law indemnity. Unfortunately, however, in today's litigation environment, this tool is underutilized and, more frequently, misunderstood or misapplied.

In the theater of tort law, a common-law indemnity claim holds advantages and incentives over its legal counterparts. It also hides snares for the unwary. Understanding the peccadilloes and nuances will better arm the attorney who pursues or defends such a claim.

§ 1.3 What's Included; What Is Not

Indemnity is a rather broad and ubiquitous topic intertwining with a variety of other legal concepts such as contracts, torts, real property, equity, and unjust enrichment. Further, the subject is generally bisected between express or contractual indemnity and so-called implied or common-law indemnity. In addition, many jurisdictions have more or less spawned their own quirks and twists to implied indemnity with unique vocabulary and applications. Other states have actually discarded implied indemnity altogether. Not so Oregon, in spite of our highest court's recent pronouncements.

First, this project is limited to implied or common-law indemnification; in other words, indemnity *not* arising out of any contract or express agreement between the parties. In the arena of express indemnity, the parties of course can craft their own terms and conditions spelling out the details of any right to restitution. On the other hand, the very core of implied indemnity is that no such express agreement exists, and it is left to the courts to fashion an appropriate remedy out of a fictional "contract."

Next, even implied or common-law indemnity is itself an extensive topic, which the courts have applied in many types of legal disputes and which has formed the subject matter of entire treatises. Not being inclined to produce a multivolume discourse here, we will limit our treatment of the subject, unless otherwise specifically mentioned, to implied indemnity *between joint tortfeasors*. The tort setting is the most common field where the theory applies; it potentially holds the most benefits—and the most traps.

Finally, while the intent here is to focus primarily on indemnity law in Oregon, when helpful and instructive, we have referenced authority from other jurisdictions. Primarily with respect to indemnity issues that arguably remain undecided in this state, these outside cases may be instructive on how our courts might address these considerations in the future.

We also recognize that there are specific Oregon statutes involving indemnity, for example, ORS 72.6070 (addressing indemnity in breach-of-warranty cases under the Uniform Commercial Code (UCC)), ORS 30.140 (voiding certain indemnity agreements in construction contracts), and ORS 656.018 (prohibiting claims for indemnity against employers who provide workers' compensation benefits). A discussion of these statutory rules of indemnification will be left for others. We do occasionally mention the UCC's indemnity provision as it relates to the common-law concept of "vouching-in" (chapters 7 and 8) and also in connection with applicable statutes of limitation (chapter 6). However, such references to the UCC will be made only with respect to their arguable application to common-law indemnity issues.

Obviously, in the current realm of Oregon tort law, indemnity is closely aligned with the state's statutory scheme of contribution between joint tortfeasors. ORS 31.800–

31.820. Admittedly, these two theories are similar in many respects and are often asserted in the same action as independent grounds for recovery. On the other hand, in a number of ways, indemnity is cut from a different cloth, and we have chosen to limit this project solely to a discussion and analysis of indemnity. Again, statutory contribution will occasionally be mentioned, but only as a counterpoint to indemnity law.

§ 1.4 Purpose and Scope

We attempt here to provide the Oregon lawyer with a reasonably comprehensive overview of tort-based implied indemnity in this state. We start with the historical underpinnings of the theory and then discuss the elements and proof required to successfully assert and defend an implied indemnity claim. We devote significant time to the often-overlooked tool of vouching—also known as tendering—viewing this topic from the perspective of both the indemnitee and indemnitor. The applicable statutes of limitation and repose are discussed, as well as Oregon's befuddling law when the indemnitee seeks only its defense costs incurred in the primary case. Also addressed is how indemnity and collateral estoppel might apply when the underlying case is not resolved by a jury but rather via arbitration or by settlement. In the last chapters, we examine a few of the anomalous and paradoxical problems and challenges within the indemnity sphere courtesy of our statutes on comparative fault and several liability, coupled with the Oregon Supreme Court's decision in *Eclectic*. Then, warily and with some trepidation, we attempt to peer into our crystal ball and offer some advice for future indemnity claims. Overall, most of the state's relevant common-law indemnity decisions are cited and briefly discussed.

Our goal is to provide practical and down-to-earth advice on asserting and defending a common-law indemnity claim—not merely to compose a tedious and pedantic law review article. Admittedly the subject matter here does not exactly tantalize the passions or elevate one's adrenaline level. Thus we've attempted to approach indemnity in a somewhat lighthearted, animated, and (hopefully) entertaining manner. Or, in the words of author Stephen King, we're perhaps serving up the legal and literary equivalent of a Big Mac and fries. But don't let any such waggishness mask the importance and relevance of indemnity, especially to those members of the bar engaged in defense endeavors.

In a few instances, we have taken the liberty to question the reasoning behind certain appellate court decisions on indemnity, maybe tossing in a bit of cynicism or lampooning. We emphasize that by any such whimsy, we mean no disparagement or disrespect to the judiciary or counsel. We inject such commentary only in the hope that it might engender further discussion and analysis of the issues in question.

§ 1.5 A Word about Terminology

The full label of this topic is *common-law implied indemnity*. As we shall see, the roots of this theory sprung from the common law and in derivation of an earlier notion that one wrongdoer would never be entitled to restitution from another tortfeasor, no matter what the disparity in fault. Further, the theory is really a fictional agreement employed by the courts (in the absence of any express arrangement) to accomplish what is deemed an equitable resolution to an underlying dispute.

Throughout this project, we will use the terms *implied indemnity*, *common-law indemnity*, *indemnity*,

indemnification, and *restitution*. Unless otherwise noted, these will be shorthand references for *common-law implied indemnity*. The *indemnitee* is the person or entity seeking indemnification; the *indemnitor* is the one from whom restitution is sought.

In the context of this work, common-law implied indemnity between joint tortfeasors can encompass two concepts: first, what we refer to as full or general indemnity, meaning a claim for restitution for the amount an indemnitee has paid to a third party either in settlement or in satisfaction of a judgment of an underlying claim—an amount which can also include its defense costs; and second, defense-cost indemnification wherein the indemnitee is seeking to recoup only the amount of its fees and costs incurred in successfully defending the primary claim. As we shall see, there is a significant difference in the pleading and proof between these two types of indemnification. Unless it is noted otherwise, references to indemnity will mean full indemnity.

§ 1.6 Who Are the Authors?

In the interest of full disclosure, the authors (who are retired members of the Oregon State Bar) confess that we spent our legal careers on the defense side of the aisle, generally representing individuals or companies, and their insurers, against whom claims were made. Over the course of our practice, we have represented clients on both sides of the indemnity equation—sometimes successfully, sometimes learning painful lessons.

It might be obvious that this project will hold more interest for the defense bar than for our colleagues on the opposing side. Disputes and claims between indemnitees and indemnitors will usually be waged by defense-oriented attorneys. To this extent, any of our perceived biases and

prejudices may be somewhat moot. However, practitioners on the plaintiffs' side should pay heed. The shenanigans and maneuverings going on between the parties involved in actual or potential indemnity claims may well have an impact on the underlying case, with respect to both liability and damages.

Finally, we wish to extend a special thanks and acknowledgment to Frank Lagesen for his invaluable insight and assistance in completing this project.

In any event, common-law implied indemnity is by no means on life support in Oregon. So let's see what this theory is all about. . . . Operators are standing by.

The secret to getting ahead is getting started.

—Mark Twain

I hesitate to turn the page
For fear I might discern,
On the topic of Indemnity,
I have so much to learn.

—Book of Restitution[1]

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[1] The *Book of Restitution* is an extremely rare tome, the only known copy of which is currently in the archives of the Smithsonian Institution in Washington, D.C. (On the other hand, it might just be the product of one author's warped mind.)

Chapter 2: COMMON-LAW IMPLIED INDEMNITY—BYGONES AND BACKDROP

The use of "Law" to end disputes
Leads often to confusion.
So why not seek Indemnity
For an equitable solution.

—Book of Restitution

There are two things wrong with almost all legal writing.
One is its style. The other is its content.

—Fred Rodell, Goodbye to Law Reviews, 23 Va L Rev 38, 38 (1936)

§ 2.1 Early Common Law—A Den of Inequity

This is a court of law, young man, not a court of justice.

—Justice Oliver Wendell Holmes Jr.

To paint the genesis of common-law indemnity with provocative style and content is perhaps an audacious and elusive goal. However, the subject matter of this publication would be incomplete without a brief historical reflection. Hopefully this can be accomplished with some expectation of escaping the criticism of Mr. Rodell (above). The abridged rendition of indemnity goes like this:

Early common-law courts would shun joint tortfeasors as if infected with the plague. The English judge, powdered and wigged, would stare down from the bench, denying indemnity by intoning, "labera lege" (read my lips) "in pari delicto . . . in pari delicto" (no recovery since you were equally at fault). Or, to put it more bluntly, the poor chap seeking recovery, though his own misdeed may have been

minimal, was *raptus regaliter* (royally screwed). Furthermore, "equally at fault" did not mean 50–50, or anything close to such apportionment. With rare exception, *any* fault on the part of one seeking indemnity would be sufficient to deny relief—no matter how great the disparity of the transgressions between the parties. A litigant tainted with his own fault was deemed to have "unclean hands." In essence, the courts were making a moral judgment that they would not intervene to improve the lot of a wrongdoer.

Against this backdrop, however, was the nagging sentiment that such an approach was unfair. In many situations, one tortfeasor was clearly being unjustly enriched at the expense of another when the other had discharged a liability that should have been the first tortfeasor's responsibility to pay. As time progressed, the common law began to stray from this harshness. Utilizing their inherent powers of equity, courts sought a rationale for permitting a shifting of responsibility from one wrongdoer to another. However, this about-face necessitated construction of two foundations: First, in recognition that equity is not a cause of action but rather a remedy, it was imperative to find some legal bedrock on which to justify restitutional relief. *See PIH Beaverton, LLC v. Super One, Inc.*, 254 Or App 486, 503, 294 P3d 536 (2013), *aff'd*, 355 Or 267, 323 P3d 961 (2014). Second, permitting indemnity between tortfeasors would also require the construction of some litmus test to differentiate or describe the relative conduct or fault of one wrongdoer versus another.

With respect to that first hurdle, some authorities reckoned that the foundation of an indemnity claim was grounded in tort. *Pennsylvania Steel Co. v. Washington & Berkeley Bridge Co.*, 194 F 1011, 1015 (ND W Va 1912). However, the more prevalent view—both historically and at

present—is that the vehicle in which equity commutes was forged on a contract implied in law. *See, e.g.*, *City of Chicago v. Robbins*, 67 US 418, 425, 17 L Ed 298 (1862). Of course, an implied contract is really no contract at all but rather a fiction on which to fabricate an equitable result—that is, that one person is entitled to indemnity from another. So having now engineered a legal foundation for indemnity, the courts were free to apply the equitable principle of restitution. At long last, the ultimate burden of paying could be shifted in situations where the responsibility of one tortfeasor was somehow qualitatively different from that of another.

But not so fast. The second chore necessary to engage indemnity was the development of some conceptual means of distinguishing or contrasting the respective fault of the parties. As noted below, this led the courts (including Oregon's courts) into a bewildering minefield of murky and undefined terminology. An amalgam of grammatical calisthenics permeated the decisions in an attempt to pigeonhole or typecast fault. The contours of culpability gave birth to such terms as "active," "passive," "primary," "secondary," "actual,", "constructive," "positive," "principal wrongdoer," and others. *See* E. Eugene Davis, *Indemnity between Negligent Tortfeasors: A Proposed Rationale*, 37 Iowa L Rev, 517, 543–44 (1951–52). It was often mandated that in the absence of an express contract, a party seeking indemnity must be both legally liable yet morally innocent before liability would be transferred from one tortfeasor to another. *See, e.g.*, *McNally & Nimergood v. Neumann-Kiewit Constructors, Inc.*, 648 NW2d 564, 573–74 (Iowa 2002).

Yet for all its inherent fuzziness and paradoxical application, this newborn equitable remedy continued to be nourished by the courts and attained puberty in this country in the early twentieth century. Then about the time that

common-law indemnity was reaching middle age, suddenly an aspirant fledgling appeared on the scene—with a surname of *third-party practice* (nicknamed *impleader*). It was now possible, in some instances, to shanghai the obstinate indemnitor into the underlying litigation, thus alleviating the necessity for a second indemnity trial. Some courts and commentators, practicing a form of legal euthanasia, declared that common-law indemnity had flatlined with no possibility of resuscitation. However, the more thoughtful and pragmatic authorities reasoned that third-party practice merely supplemented indemnity and did not supplant it. Quite correctly, as we shall see, a myriad of situations may arise where impleader either is not available or is inappropriate as a substitute for a separate indemnity claim.

§ 2.2 Common-Law Indemnity in Oregon—Archives and Ancestry

With common-law indemnity
Let the parties shun despair.
It's not the quantity of fault,
But what's equitable and fair.

—Book of Restitution

I would rather create a precedent than find one.

—William O. Douglas

Common-law indemnity debuted in Oregon in the early part of the last century as a result of Annie Anderson's unfortunate nighttime accident on the coast. Her tumble eventually gave rise to a restitution claim by the City of Astoria against a railroad. *See City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–40, 136 P 645 (1913); *see also* § 1.1; chapter 3. In the footsteps of the then-

existing state of common law, Oregon jurisprudence was introduced to a discussion of *in pari delicto* (*see* § 2.1), and suddenly our lexicon for gauging fault contained those befuddling adjectives such as "active," "passive," "actual," and "constructive."

On the federal side, in 1961, Judge Kilkenny, writing for the United States District Court for the District of Oregon, fearlessly confronted an octopus' arm. Seems that a defective amusement park ride, known as the Octopus, was the subject matter of an implied indemnity claim brought by the park's owner against the manufacturer. Relying on the "rules of common law," the court denied restitution by discussing and adopting the "active" and "passive" legal idioms first used in the *City of Astoria* case. *Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936, 940 (1961); *see also* § 1.1; chapter 3.

The first Oregon case to clearly delineate the specific requirements for a common-law indemnity action was *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 493 P2d 138 (1972). Relying principally on the *Restatement of Restitution* section 76 (1937), the court held that the indemnitee-claimant must plead and prove that

(1) he or she has discharged a legal obligation owed to a third party;

(2) the indemnitor-defendant was also liable to the third party; and

(3) as between the indemnitee-claimant and the indemnitor-defendant, "the obligation ought to be discharged by the latter." *Fulton Ins. Co.*, 261 Or at 210.

That seems simple enough. However, later Oregon indemnity cases left in their wake confusing and contradictory opinions—especially when the restitution being sought was only for defense costs incurred in the underlying litigation

(*see* chapter 10) or when indemnity was sought solely to recoup settlement amounts paid in the primary case (*see* chapter 9). And, not surprisingly, the "ought to be" requirement in *Fulton*'s third criterion often resulted in perplexing and discomforting ponderings by our courts in their attempts to articulate why one party ought to indemnify another. *See, e.g.*, *Scott v. Francis*, 100 Or App 392, 786 P2d 1269, *modified on recons*, 104 Or App 39, 798 P2d 1111 (1990), *vac'd*, 311 Or 151, 806 P2d 129, *original opinion adopted as modified*, 107 Or App 766, 811 P2d 927 (1991), *aff'd*, 314 Or 329, 838 P2d 596 (1992).

Generally, though, the bedrock of indemnity law in Oregon remained fairly static until quite recently; it subsisted as an equitable balm fueled by notions of fairness and inherent justice. While our courts would periodically disparage and pan that elusive "active–passive" type inquest, somehow they muddled through the mélange and, guided by principles of reasonableness and a fair shake, managed to emerge with seemingly just results. *See, e.g.*, *Kennedy v. Colt*, 216 Or 647, 339 P2d 450 (1959).

Then, in 2015, the Oregon Supreme Court decided *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015). In this dispute, Jackson County had instituted a somewhat tenuous indemnity claim against a contractor to recoup its costs of defense incurred in the underlying case. Following the jury's verdict, the trial court entered a final judgment holding, quite correctly under existing law, that the county had not proven a claim for common-law indemnification. The Oregon Court of Appeals affirmed the trial court. *Eclectic Inv., LLC v. Patterson*, 261 Or App 457, 458, 323 P3d 473 (2014).

In the Oregon Supreme Court, the lower court rulings should simply have been affirmed. Instead, the high court took a hard-right detour and decided the matter on a basis not raised in the trial court nor briefed or argued on appeal. In affirming the decision, the court cavalierly purported to scuttle common-law indemnity entirely by declaring that the legislature's adoption of comparative fault (ORS 31.600(2)) and "several liability" (ORS 31.610(1)) rendered indemnity obsolete and no longer necessary. *Eclectic Inv., LLC*, 357 Or at 35–38. The decision was unexpected and anomalous not only because the case did not involve a true common-law indemnity claim but also because the opinion seem contradictory to a specific statute that purported to preserve indemnity (ORS 31.800(5)). As we point out in chapter 5, however, in spite of *Eclectic*'s alleged requiem for indemnity, the theory is still very much alive and kicking in a broad spectrum of situations familiar to Oregon counsel.

With common-law indemnity still intact, in chapters 3 and 4 we will explore the specific requirements for pleading and proving such a claim. This will include a discussion of the jargon of "fault" as it has evolved in Oregon since the *Astoria* decision. But be forewarned—there are pitfalls and landmines that await the unwary.

To the extent that it makes a difference to Oregon counsel, our courts have eschewed the tort theory of common-law indemnity, opting for the more accepted artifice that the remedy is shored up by implying a contract between the putative indemnitee and indemnitor. *See, e.g.*, *Owings v. Rose*, 262 Or 247, 262, 497 P2d 1183 (1972); *Kennedy*, 216 Or at 653–54. In chapter 6, we will see how this categorization affects the applicable statutes of limitations and repose with respect to an indemnity claim.

No review of this topic in Oregon would be complete without a thorough discussion of restitution's advanced emissary, whose job is to smooth the passage into the Shangri-La of indemnity. What is currently referred to as a "tender of defense"—though historically known as "vouching" or "vouching-in"—is a compelling procedural device wherein the putative indemnitor can be bound by certain findings in the underlying litigation. Thereafter, in the subsequent restitution case, the task of proving a right to indemnification is made less burdensome for the indemnitee. In chapters 7 and 8, we discuss the nuts and bolts of vouching from the standpoint of both the indemnitee and the indemnitor. Also in chapter 7, we'll explore whether vouching can have any palliative effect in arbitrations, summary judgments, and settlements.

So let's begin with a discussion of that wily and illusory concept of fault in the context of common-law indemnity.

Ah, poor our sex! This fault in us I find,
The error of our eye directs our mind.

—William Shakespeare, *Troilus and Cressida*

Chapter 3: FAULT: THE ILLUSIVE CHAMELEON

"I fear we're at an impasse,"
Said the juror to the court.
"We can't distinguish active *fault*
From just a passive *tort."*

—Book of Restitution

Quarrels would not last long if the fault were only on one side.

—Francois de la Rochefoucauld

§ 3.1 The Bird's-Eye View

And oftentimes excusing of a fault doth make
the fault the worse by the excuse.

—William Shakespeare, *King John*

By definition, claims of indemnity involve fault on the part of both indemnitee and indemnitor; each must be liable to the underlying claimant.

As noted in chapter 2, historically, fault in the indemnity context has been an amorphous and elusive abstraction. Not surprisingly, Oregon courts, as well as courts in other jurisdictions, have struggled with how to characterize this concept and decipher under what circumstances the existence of fault should permit—or preclude—indemnity. Dichotomies such as "active–passive," "direct–indirect," "primary–secondary," and "actual–constructive" have all been used in attempts to characterize the fault of the parties. While tantalizingly simple at first blush, these various

appellations have proven nebulous and difficult of fair application. There are several factors in play here:

First, while courts routinely have bantered these phrases about, there has been little attempt to define them or delineate their boundaries. With certain exceptions, facts in the indemnity arena are rarely cut and dried, so that, for example, secondary fault can subtly meld into primary responsibility, and passive conduct can teeter on the edge of active blame.

Second, adding to the confusion is whether these descriptive labels are interchangeable or whether they reflect different pedigrees of culpability. Indemnity decisions—including those in Oregon—blanket the landscape on this question. Is active fault synonymous with fault that is primary, or do they describe two separate categories of culpability? And if they reflect divergent meanings, must both categories be satisfied in assessing the fault of one of the parties? The same inquest applies on the other side: are passive and secondary fungible descriptions, or do each have separate connotations?

Third, both the characterization and the effect of fault in the realm of indemnity have not been the same as in, for example, a personal injury case. We will see that fault morphs from one prototype to another as the case shifts from the underlying litigation to the restitution arena.

In Oregon's "post-*Eclectic*" world (*see* chapter 5), if all tortfeasors are present in the primary case and percentages of culpability are assigned therein, the historical vagaries of fault in the indemnity context arguably become irrelevant. Each tortfeasor is responsible only for its own allocated percentage—period—end of litigation. But if all tortfeasors are not present in the underlying litigation, any second

"restitution trial" may well continue to be decided by traditional indemnity analysis.

In this chapter, we will review how Oregon courts have struggled with fault in the context of an indemnity claim—and, in lieu of the "active–passive" approach, have hinted at a more equitable and straightforward approach.

§ 3.2 Finding Fault

It's not whether you win or lose, it's how you place the blame.

—Oscar Wilde

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§ 3.2-1 It All Started at the Beach

The beach: where the Wi-Fi is weak and the rum is strong.

—Anonymous

Little did Annie Anderson know when she fell from an unprotected area adjacent to a railway track at the Oregon coast in 1907 that she would give birth to Oregon's initial foray into a qualitative characterization of fault in the context of indemnity. Annie had fallen from an elevated crossing of a railroad track constructed and maintained by the railroad in accordance with an agreement with the city. She claimed that the railroad had left a gap that was unprotected by any barricade or guardrail. Her allegation against the city—the only entity she sued—was that it failed to require the railroad to install a protective barrier. Anderson prevailed against the city, which then sought indemnity from the railroad. *See City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538,

539–42, 136 P 645 (1913). A jury found for the indemnitee-city, and the railroad appealed.

In affirming the judgment below, Justice McNary, writing for the Oregon Supreme Court, commenced his analysis by intoning a Latin chant, "in pari delicto potior est conditio defendentis." *City of Astoria*, 67 Or at 547. For non-Latin-speaking attorneys, roughly translated, it means that when both parties are equally at fault, the defendant wins. But hold on . . . the Latin lesson wasn't over. While *pari delicto* fault might generally inhibit indemnity, merely *in delicto* fault may not. The court noted that when the conduct of one party was simply *malum prohibitum*, restitution may yet be allowed. It was referring here to behavior of one party that was not evil or immoral in and of itself. (Evil or immoral conduct would be deemed *malum in se*.) The common law considered *prohibitum* misdeeds to encompass conduct that merely violated a societal statute or regulation. When this type of action was attributed to an aspiring indemnitee, *Astoria* held that there was no legal policy against at least inquiring into the "relative delinquency" of the parties and administering justice between them even though both were wrongdoers. *City of Astoria*, 67 Or at 547.

Then, leaving Latin behind, the court shifted to English vernacular, referring to "joint tort-feasors." *City of Astoria*, 67 Or at 547. Justice McNary opined that if the city and the railroad were wrongdoers in equal degree, then restitution would not be permitted. *City of Astoria*, 67 Or at 546–47. From a review of the record, however, he had little trouble finding that the fault was not shared equally and concluding that the railroad decidedly shouldered the lion's share of responsibility. Alas though, in characterizing the indemnitor's fault, the court sowed the seeds of future uncertainty and frustration. The railroad's misconduct was categorized—all in

one paragraph—as being "active" and then "primary" and then "actual." *City of Astoria*, 67 Or at 548. Conversely, the city's fault was deemed only "passive" or "constructive." *City of Astoria*, 67 Or at 548. No attempt was made to give further definition or refinement to these ubiquitous adjectives.

§ 3.2-2 "Get This Octopus Out of My Court!"

I was bitten by an octopus once . . .

—Ted Cruz

A carnival ride provided the United States District Court in Oregon an opportunity to address fault in the context of an indemnity claim. The Siebrands owned and operated an amusement park that included various rides. One of the machines had been manufactured by Eyerly Aircraft Company and was called the "Octopus." The device consisted of a series of arms protruding outward from a central motor. Patrons sat in buckets at the end of the arms and would be centrifugally swept around. Though it was an older machine, in 1951 the ride had been returned to Eyerly Aircraft for extensive repairs and installation of new arms. Three years later, one of these updated arms failed, causing serious injuries to several persons. The injured parties commenced suit against only the Siebrands, who, in turn, tendered to Eyerly Aircraft, which responded as would any self-respecting manufacturer—it rejected the demand. *See Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936, 937–38 (1961).

In the underlying trial, the jury found that (1) the Siebrands were negligent in the maintenance and operation of the Octopus; and (2) the device was defectively manufactured. *Siebrand*, 196 F Supp at 938–39. The Siebrands satisfied a judgment in favor of the injured

claimants and subsequently brought the present action against Eyerly for indemnity. The restitution dispute was tried to the court (Judge Kilkenny), who denied the indemnity claim and, in the process, attempted to characterize and delineate the respective fault of the parties.

For purposes of the indemnity claim, Eyerly acknowledged that it was negligent in the design and manufacture of the Octopus. However, it argued that the Siebrands' own fault precluded indemnity. Specifically, it was clear from the evidence that the Siebrands were aware of the problems and defects long before the underlying accident and had made numerous unsuccessful attempts at repair. Apparently, no notice was given to Eyerly about these events. *Siebrand*, 196 F Supp at 940–41. Interestingly, in the indemnity case, Eyerly was permitted to plead and prove additional elements of fault on the part of the indemnitee—elements that were neither pleaded nor proven in the underlying trial. These new allegations consisted of evidence that the Siebrands had done faulty repair and welding on the very arm that broke, had permitted excess slack in the drive mechanism, had done insufficient maintenance on the ride, had operated the Octopus with insufficiently trained personnel, had failed to warn passengers of the defective condition, and had overloaded the seat bucket. *See Siebrand*, 196 F Supp at 939–40.

In his opinion, Judge Kilkenny journeyed back to Astoria to "meet" with Annie Anderson; a pilgrimage from which he learned (thankfully not in Latin) that if the negligence of the one seeking indemnity is only passive, indemnity will not be denied. However, in this case, the actions of the indemnitee—who had actual knowledge of the defects and yet continued to operate the ride—constituted active fault. Since the negligence of both parties concurred in

proximately causing the injuries, the right to indemnity did not exist. *Siebrand*, 196 F Supp at 940. Citing cases from other jurisdictions together with the *Restatement of Restitution* section 93 (1937), the judge concluded: "A person who is negligent in making repairs is an active tort-feasor and cannot recover indemnity from the person who furnished the defective appliance or who participated in making the repairs." *Siebrand*, 196 F Supp at 940.

Perhaps because the "tentacles" of the Octopus were too intimidating, Judge Kilkenny, as had Judge McNary in *Astoria* (*see* § 3.2-1), made no attempt to define or give further illumination to the terms "active" and "passive."

§ 3.2-3 The Two Faces of Fault

> *If you're going to be two-faced, at least make one of them pretty.*
>
> —Marilyn Monroe

Before proceeding further, let's step back and take a broader review of fault within the indemnity context. It turns out that in traditional common-law indemnity, fault is a wily and slippery little bloke. In the underlying litigation, it has a very specific task: to apportion responsibility among the parties. Was the defendant at fault? If so, was the plaintiff contributorily responsible? And if so, in what degree? If there are multiple defendants, how should culpability be allocated among them? In this environment, fault is grounded in percentages and apportionment. Its task is to parcel and divide.

However, once judgment in the underlying case has been satisfied, an odd metamorphosis takes place. Fault goes into hibernation for legal "winter" (lasting as long as six years) and emerges into the "spring" of indemnity. Now we

find that somehow it has shed its "percentage skin"—no longer charged with apportioning responsibility. Fault's task is now to assess the character and nature of the parties' actions. Strange isn't it? There is nothing in the quantitative "caterpillar" that tells us it's going to be a qualitative "butterfly."

With the advent of comparative fault (ORS 31.600(2)) and several liability (ORS 31.610(1)), the distinctive nature of fault in an indemnity setting is perhaps less obvious. Formerly, cases such as *Irwin Yacht Sales, Inc. v. Carver Boat Corp.*, 98 Or App 195, 198, 778 P2d 982 (1989), and *Maurmann v. Del Morrow Const., Inc.*, 182 Or App 171, 179, 48 P3d 185 (2002), made it clear that an indemnity claim was not off limits merely because the jury had assigned a percentage of responsibility to the putative indemnitee in the underlying trial. Such a prior allocation of responsibility would not preclude indemnity since that finding did not determine whether such fault was active or passive.

Currently in Oregon, however, comparative fault and several liability arguably preclude indemnity when the indemnitee and indemnitor were both present in the primary case and were both assigned a percentage of fault. *See Eclectic Inv., LLC v. Patterson*, 357 Or 25, 34–39, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015); *see also* chapters 4 and 5. In these cases, fault (the "caterpillar") never evolves into the "butterfly." However, when the putative indemnitor is not a party in the underlying case, or when the primary case has settled, and a subsequent action for restitution is instituted, once again fault may mutate and be tasked with the obligation of assessing the quality of the transgressions. Recall the third indemnity requirement in *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 210, 493 P2d 138 (1972): "as between the claimant and

the defendant, the obligation ought to be discharged by the latter." This mandate does not speak in terms of which party has the greatest percentage of culpability. The phrase "ought to be" requires a subjective and qualitative analysis of each party's fault.

A final word about fault: ease of application, and perhaps principles of equity, might suggest that all future Oregon indemnity cases be decided simply on the basis of comparative fault—whether this comparison is accomplished in the underlying case or in subsequent litigation. But *Eclectic* does not go this far. So until our appellate courts give further guidance, the Oregon lawyer must be prepared to deal with indemnity the old-fashioned way.

§ 3.2-4 Baffled, Befuddled, and Bewildered

I came, I saw, I quickly became confused.

—Liceham Mahecil

It's apparent that fault within the common-law implied indemnity context has a confusing and ill-defined lineage. We know that "Mrs. Indemnitee" desires guardianship only of "Passive" and "Secondary"; moreover, she is earnest that "Mr. Indemnitor" take custody of those evil siblings "Primary" and "Active." But how can the Oregon lawyer identify these various urchins and determine to whom they belong?

For example, exactly what type of conduct is merely passive? Is it characterized by some act of omission—as opposed to commission? But could passive conduct ever be sufficiently egregious that it would overshadow minimal active fault, and, if so, where might it morph into the latter category along the culpability spectrum? And does active responsibility always preclude indemnity? What if the active

conduct of one tortfeasor is clearly de minimus and that of the other wrongdoer is significant? And what precisely is secondary fault? One might ask, "Secondary to what?" To one whose conduct is primary? But saying that a tortfeasor is primarily liable is hardly helpful. It's a tautology, akin to concluding that one party is entitled to indemnity because it's entitled to indemnity—without any definition or guidance as to how one arrived at that finish line. Whew! This is all so confusing.

To further muddy the waters, some Oregon decisions anoint these terms with shades or gradations of fault. In *Star Mountain Ranch v. Paramore*, 98 Or App 606, 611, 780 P2d 758 (1989), the court observed: "As between plaintiffs and defendants, defendants clearly have *more 'active' 'fault.'*" (Emphasis added.) So, by implication, was the court saying that indemnity may be allowed when the parties are both actively culpable, but one is just "more active" than the other?

In the decision of *Eclectic v. Patterson*, wherein the Oregon Supreme Court surprisingly—and to some extent inaccurately—attempted to entomb common-law indemnity (*see* chapter 5), the trial court had been faced with the task of characterizing the fault of the parties. In its written opinion, that court delineated the fault of the indemnitee as "barely passive" as opposed to the putative indemnitor's conduct that was deemed "minorly active." *Eclectic Inv., LLC*, 261 Or App at 460. In denying indemnity, the trial court had decided that the conduct of the putative indemnitor was not "active enough" to burden it with the obligation of restitution. *Eclectic Inv., LLC*, 261 Or App at 464.

Despite the recent whiffs and nods in our highest court, common-law indemnity, at least for the foreseeable future, survives in Oregon. Yet judges and attorneys have been bequeathed a hodgepodge of terminology that is elusive,

slippery, and downright confusing to employ. And consider further the plight of the poor juries who somehow must understand and apply a standard that befuddles even the most sophisticated jurists. Below is an example of how unwieldy this task can become. One court attempted to instruct the jury as follows:

> The jury is instructed that the terms passive or secondary negligence mean a failure or fault that is imputed because a duty is imposed based on some legal relation between the parties or because the duty involved arises from some positive rule of statutory law or because the duty imposed is neglected by reason of a failure to discover or correct a defect or to remedy a dangerous condition caused by the act of another who is primarily responsible. The jury is further instructed that the terms active and primary negligence mean the act of creating a dangerous condition which under all the other facts and circumstances present is likely to cause injury to others.

Kansas City S. Ry. Co. v. Payway Feed Mills, Inc., 338 SW2d 1, 9 (Mo 1960). Not only is an instruction like this virtually indecipherable, but it is replete with terms that themselves need defining before it is understandable. And what occurs if a poor juror asks the court for clarification? Here's a real-life transcript from *General Electric Co. v. Cuban American Nickel Co.*, 396 F2d 89, 98, n 15 (5th Cir 1968):

> JUROR NUMBER ONE: Could I ask one question? Would you clarify a little further this active and passive, just how that is applied? I mean how it is applied here, active and passive negligence. I mean the difference.
>
> THE COURT: The Court hesitates to give you an illustration of that which is passive and that which is active for fear that you might construe it to be the only evidence of such a situation. . . .

> JUROR NUMBER ONE: Does it mean direct and indirect?
>
> THE COURT: That could be one phase.
>
> JUROR NUMBER ONE: Similar to that?
>
> THE COURT: A person, actually this can pretty well be predicated on the proposition that if one just assumed an indifferent or laissezfaire attitude, or something, that could be an active negligence; but indifference, on the other hand, may be construed so as to make a case of passive negligence as opposed to active negligence.

Ye Gad! And this was a federal judge responding to a very legitimate inquiry.

In fairness, Oregon appellate decisions (perhaps wisely) have generally stayed clear of similar attempts to define these "operative" words. Indeed, they occasionally have maligned the terms as a tool for restitution. Nevertheless, the courts continue to walk on the rickety wood of quixotic precedent.

§ 3.3 The Murky Fog of "Active–Passive"

To find truth, one must traverse a dense fog.

—David Dweck

In deciding future indemnity cases in Oregon, will the courts take a more salubrious approach to the qualitative issue of fault? Or, will the tectonic plates beneath "active–passive" and "primary–secondary" remain too rigid to shift? Judicial opinions and writings of legal scholars almost universally swirl with eddies and undercurrents of dissatisfaction—often outright cynicism—with the traditional avenue of categorizing fault. Embedded in these same sources, though, is the seed of a more rational and meaningful way to approach

and analyze fault and, accordingly, to determine who may be entitled to indemnification and who is not.

In surveying the conventional path of evaluating the relative culpability of conduct, William Lloyd Prosser best summarized the issue: "[I]t is extremely difficult to state any general rule or principle as to when indemnity will be allowed and when it will not." William L. Prosser, *The Law of Torts* 313 (4th ed 1971). More to the point, the *Restatement of Restitution* section 76 comment b (1937) refused even to venture down this avenue: "It is not within the scope of the Restatement of this Subject to state the circumstances under which, where two persons are subject to a duty, one of them rather than the other should perform it."

Oregon courts have often noted the difficulty inherent in the comparative words used as conclusions in indemnity cases. *See Fulton Ins. Co.*, 261 Or at 211 ("[T]he traditional formulations of active and passive negligence, or primary and secondary liability, do not provide precise guidelines for deciding close cases."); *Gen. Ins. Co. of Am. v. P.S. Lord Mech. Contractors*, 258 Or 332, 336, 482 P2d 709 (1971) ("The words 'passive' versus 'active' and 'secondary' versus 'primary' are not sufficiently precise to provide clear guidelines for this area."); *Maurmann v. Del Morrow Const., Inc.*, 182 Or App 171, 178 n 4, 48 P3d 185 (2002) ("The distinction between 'active' or 'primary' and 'passive' or 'secondary' negligence is amorphous—and has been fairly described as 'somewhat obtuse.'" (citation omitted)); *Scott v. Francis*, 100 Or App 392, 397, 786 P2d 1269, *modified on recons*, 104 Or App 39, 798 P2d 1111 (1990), *vac'd*, 311 Or 151, 806 P2d 129, *original opinion adopted as modified*, 107 Or App 766, 811 P2d 927 (1991), *aff'd*, 314 Or 329, 838 P2d 596 (1992) ("[W]e confess some uncertainty as to the application or breadth of the primary versus secondary

responsibility test . . . .”). The Oregon Court of Appeals in *Eclectic Inv., LLC v. Patterson*, 261 Or App at 462, summed it all up as follows: “Further, courts have observed that the active/passive and primary/secondary determinations are frequently unhelpful.”

Admittedly, the traditional terminology of indemnity may not be unsuitable in all situations. In cases of vicarious liability, for example, the right to restitution may be so manifest that courts have little difficulty in either fashioning a suitable definition of the words or avoiding them entirely. But, therein lies the problem. Since the ancestral verbiage appears to work in the self-evident case, the temptation is to use the same formula as a tool in all implied indemnity situations. It’s in the close cases, however, where the fissures in this approach become apparent.

Lest one harbors doubt about the efficacy of the conventional approach to defining fault, reflect on one court’s pronouncement in an implied indemnity case (which thankfully did not germinate in Oregon):

> To sum up, there was sufficient legal evidence to sustain the jury’s findings, under the court’s instructions, that the plaintiff’s negligence was antecedent, negative, and passive, merely producing the occasion or condition, and did not contribute to the accident, and that the defendant’s negligence, of a different character, if not willful, was subsequent, active, and positive, and the sole cause of the collision.

Colorado & S. Ry. Co. v. W. Light & Power Co., 73 Colo 107, 214 P 30, 37 (1923).

How’s that for a crystal-clear, straightforward test? There must be a better way. . . .

§ 3.4 Can We Eliminate the Middleman?

It is well-known what a middleman is: he is a man who bamboozles one party and plunders the other.

—Benjamin Disraeli

Let's start with this inquiry: Is common-law indemnity in Oregon inexorably wedded to the "active–passive" or "primary–secondary" inquisition? Does restitution fail if fault cannot be typecast into these obtuse cubicles? Bluntly put—there appears nothing in the legacy of the state's indemnity decisions that requires a party to negotiate these linguistic shoals as a predicate to arriving at the harbor of indemnity. The goal is always equity and fairness. Can we achieve this without all the haze and hazard in the middle?

As set forth below, the authors believe that in some cases the factfinder who must decide the third element of *Fulton*, i.e., who ought to shoulder the loss, could more easily make that determination simply based on what community notions of justice and fairness require.

To sidestep for a moment, we recognize that there are cases in which traditionally, indemnity has been permitted, and resolution may be relatively straightforward and unambiguous. In these instances, the right to restitution can often be decided as a matter of law, without need to agonize over confusing and undefined vernacular. The *Restatement (Third) of Torts* section 22 (2000) lists two of these categories (in addition, of course, to express indemnity):

> (2) the indemnitee
>
> (i) was not liable except vicariously for the tort of the indemnitor, or

> (ii) was not liable except as a seller of a product supplied to the indemnitee by the indemnitor and the indemnitee was not independently culpable.

(Though the *Restatement* was discussed briefly in *Eclectic Inv., LLC*, 261 Or App at 460, the court did not hold that these were the only categories for which indemnity may be permitted.)

In cases of vicarious liability and of pure "pass-through" involving defective products, liability is not premised on fault at all but is imposed by operation of law, and the right to indemnity seems clear. In other circumstances, however, the question of entitlement to restitution becomes a factual issue. *See, e.g.*, *Scott v. Francis*, 314 Or 329, 334–35, 838 P2d 596 (1992); *Piehl v. Dalles Gen. Hosp.*, 280 Or 613, 618–19, 571 P2d 149 (1977); *Irwin Yacht Sales, Inc. v. Carver Boat Corp.*, 98 Or App 195, 197–98, 778 P2d 982 (1989). In these cases, we might inquire whether there isn't a better way to resolve the fault issue rather than stepping into the mud wrestling pit of the old comparative terms.

The seeds of such a path have been suggested throughout Oregon appellate decisions. The *Astoria* case cited with approval the 1839 Massachusetts case of *Inhabitants of Lowell v. Boston & L.R. Corp.*, 40 Mass 24 (23 Pick 24) (1839), which provided the court's only historical indemnity crutch. *City of Astoria*, 67 Or at 547. While the *Lowell* court had used comparative terms such as "actual" negligence versus merely "constructive" fault, the overall principle articulated there was that when not *in pari delicto*, it was appropriate to assess and contrast the "relative delinquency" of the parties and then to "administer justice between them." *Inhabitants of Lowell*, 40 Mass at 30–32.

The *Astoria* decision itself used terminology such as "active," "passive," "efficient," and "primary," but nothing in that 1913 case mandated that weighing the relative delinquency of the parties required the adoption of certain jargon. *City of Astoria*, 67 Or at 548. The equitable administration of justice remained the overall criterion.

The *Fulton* court struggled with the dilemma and eventually saw no easy answer, observing only that the putative indemnitee's liability to the underlying claimant must not be based on conduct that should bar its recovery, "however that conduct is described." *Fulton Ins. Co.*, 261 Or at 211.

Does *Fulton*'s indulgent attitude in assessing fault perhaps foster a more appropriate way of resolving indemnity claims? Again, we turn to Mr. Prosser:

> Indemnity is a shifting of responsibility from the shoulders of one person to another; and the duty to indemnify will be recognized in cases where *community opinion* would consider that in *justice* the responsibility should rest upon one rather than the other. This may be because of the relation of the parties to one another, and the consequent duty owed; or it may be because of a significant difference in the kind or quality of their conduct.

William L. Prosser, *The Law of Torts* 313 (4th ed 1971) (emphasis added). See *Gen. Ins. Co. of Am.*, 258 Or at 336, in which the court cited with approval Prosser's suggestion of a "community opinion" standard. *Piehl* also endorsed the above quotation from Prosser and recognized that indemnification was nothing more or less than the "equitable distribution of responsibility." *Piehl*, 280 Or at 620–21 (footnote omitted). It further cited Leflar, *Contribution and Indemnity between Tortfeasors*, 81 Pa L Rev 130, 146–47 (1932): "[T]he obligation to indemnify is not a consensual one; it is based

altogether upon the law's notion influenced by an equitable background of what is fair and proper between the parties." *Piehl*, 280 Or at 620 n 3.

Likewise, in the *Maurmann* decision, the court observed: "Thus, in general, common-law indemnity is available where 'in justice,' either the relationship of the parties or *the quality of their respective conduct warrants that one of them should bear the full responsibility for joint liability to an injured third party*." *Maurmann*, 182 Or App at 178 (emphasis added).

Prosser's axiom that indemnification should be governed by community opinion—or community notions of fairness and justice—makes sense. We suggest that in the *Astoria* case, the city was entitled to restitution from the railroad for Annie's fall not so much because of vague (and undefined) words such as "active" and "passive," but rather because in that era, in Clatsop County, the jury decided that the pulse of the community would say, "Hey, it's simply fair and just that the railroad bear the burden."

So too when Judge Kilkenny found that Octopus in his courtroom—why venture into that mélange of catchphrases such as "active" and "passive"? It would be far less confusing simply to conclude that since the putative indemnitee had known of the defects in that eight-arm mechanical mollusk and negligently welded and repaired the machine, restitution was not warranted; community and equitable notions of fairness simply avowed against indemnity.

While not entirely analogous, it's noteworthy that in garden-variety negligence cases, for example, juries decide the ultimate issue by comparing the parties' conduct with the "degree of care and judgment used by reasonably careful people in the management of their own affairs to avoid harming themselves or others." UCJI 20.02. No further

elaboration is necessary defining “care” or the attributes of these mythical “reasonably careful people.” But imagine if that charge were to be supplemented with something like the following:

> . . . Further, the court instructs you that the care attributed to such a reasonably prudent person may be considered either “active care” or “passive care.” Now “active care” is the taking of some affirmative or positive action that is necessary to achieve the degree of care that you must determine is reasonable. On the other hand, “passive care” is care arising out of inaction or omission that nevertheless is prudent when such conduct is measured against the degree of caution or passivity taken by a reasonably prudent person. The court also instructs you that “care” can further be deemed “primary” or “secondary.” . . .

This is exactly the turmoil created in the indemnity arena when courts get tangled up in definitions. Remember the ultimate destination of this journey is the metropolis of “Restitution.” If “Air Indemnity” were to offer a direct flight to that hub, wouldn’t that be more efficient and productive than booking a ticket on the traditional puddle jumper with its variety of intermediate and inconvenient stops at those arcane places such as “El Passive” and “Los Active”? (One might cynically conclude that such a nonstop indemnity “flight” could mean fewer “frequent flier miles”—also known as attorney fees—but that’s another topic.)

Why not simply instruct the jury to compare and contrast the relative culpability of the parties for the underlying injury and then, using its collective judgment with respect to community opinion, decide if it would be equitable for one party to bear the entire burden? This approach appears consistent with our courts’ expressions of the nature of indemnity. And, by focusing on a community’s notion of

fairness, it would render unnecessary the Herculean burden of wedging a party's conduct into one of those various obtuse receptacles.

The Ninth Circuit perhaps best summed up this approach. In *Hydro-Air Equip., Inc. v. Hyatt Corp.*, 852 F2d 403 (9th Cir 1988), a lower court's granting of summary judgment for the indemnitor was reversed, the appellate court deciding that the plaintiff-indemnitee could proceed with its claim. In so holding, the court observed that

> [i]n evaluating a claim for implied indemnity, courts must carefully examine both parties' conduct on a case-by-case basis, with the ultimate goal of doing what is fair or just. While it is true that the obligation to indemnify clearly arises in certain situations, for example, when a master-servant relationship exists, implied equitable indemnity may be entirely proper *if it is simply fairer to shift the burden of loss.*

Hydro-Air Equip., Inc., 852 F2d at 406 (emphasis added; citations omitted).

Interestingly enough, the Ninth Circuit came to this analysis without even once resorting to terms such as "active," "passive," "primary," or the like.

§ 3.5 Conclusion

A conclusion is the place where you get tired of thinking.

—Arthur Bloch

One may argue that the approach proposed here provides no greater clarity or guideline than the traditional focus on those enigmatic terms. Maybe so—or maybe not. But when the ultimate objective is an equitable resolution premised on a community's sense of what is fair and just, we

suggest that a factfinder would be far more adept at applying that standard than wrestling with those various undefinable adjectives. Counsel for indemnitees and indemnitors are, of course, free to frame their arguments to the jury in their own terms. If you feel that concepts such as “active” or “passive” aid your position, then by all means employ and argue them. At best, though, they should be recognized as simply nebulous props that ought never obscure the fundamental goal of doing what is fair and proper.

All great changes are preceded by chaos.

—Deepak Chopra

How sad if our Indemnity
Can’t weather the assault,
That replaces ‘all or nothing’
With percentages of fault.

—Book of Restitution

Chapter 4: PLEADING AND PROVING AN INDEMNITY CLAIM

How curious a remedy
Which holds to state a claim,
A Plaintiff first must plead and prove
He also was to blame.

—Book of Restitution

The two most common elements in the universe are hydrogen and stupidity.

—Harlan Ellison

§ 4.1 Indemnity's Big Bang

If hydrogen and folly permeate the cosmic universe, then in the same vein one could conclude the most common elements in the universe of Oregon common-law indemnity are *Fulton* and *confusion*. We'll deal with the former in this chapter; the befuddlement was examined in chapter 3.

Extending the galactic analogy, the big bang of Oregon's common-law indemnity arguably burst from a singularity called *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 493 P2d 138 (1972). This might be perceived as an insult to the legal repercussions of Ms. Anderson's tumble in Astoria, as well as to the Octopus's appendage dissected in Judge Kilkenny's courtroom. *See City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–42, 136 P 645 (1913); *Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936, 937–38 (1961). But while the *Astoria* and *Siebrand* cases—both of which predated 1972—discussed the characterization of fault, neither decision clearly set forth the requirements necessary to plead and prove an indemnity claim.

In view of *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015) (discussed fully in chapter 5) one might wonder: Is common-law indemnity still relevant? Might one legitimately ask, "Who cares?" Well . . . not so fast. In chapter 11, we explore both the types of cases in which indemnity will unquestionably survive as well as those in which this equitable remedy certainly should endure notwithstanding *Eclectic*. Further, in this latter chapter, we'll discuss a variety of arguments an enterprising indemnitee could utilize to avoid *Eclectic* altogether.

Remember, the Oregon Supreme Court has merely decided that common-law indemnity is not necessary in cases where all tortfeasors are present in the underlying case and percentages of fault have been allocated among them. *See Eclectic Inv., LLC*, 357 Or at 38; *Eclectic Inv., LLC*, 357 Or at 330–31. But what if these elements are not present? For example, generally no allocation of fault has been made if one tortfeasor settles the underlying claim and then seeks recovery of its payment from another culpable party. *See* chapter 9. Nothing in *Eclectic* addresses this circumstance. We advise that until the court articulates further criteria or application, parties should continue to assert claims for indemnity (at least as an alternative remedy) in situations different from *Eclectic*.

§ 4.2 *Fulton's* (Almost) Folly

Your best teacher is your last mistake.

—Ralph Nader

Assuming that indemnity will remain intact in a variety of factual situations, let's see what *Fulton* was about. The plaintiff, a liability insurer, had settled personal injury,

wrongful death, and property damage claims against its insured—claims arising out of a motor vehicle accident caused by the failure of a truck's front-end steering and suspension system. The insured was the owner-operator of the truck. The plaintiff then instituted the present action for indemnity against the truck's manufacturer. After a jury trial, judgment was entered granting virtually full restitution for the plaintiff. The manufacturer appealed, claiming for the first time that the complaint did not state a cause of action for indemnity. *Fulton Ins. Co.*, 261 Or at 209–10. After a wee bit of artful dodging, the Oregon Supreme Court begrudgingly affirmed the judgment.

The indemnity complaint had alleged that the underlying accident was caused by the defendant's supplying a defective truck and that the plaintiff had settled the third-party claims on behalf of its insured. But here's the crux: absent from the complaint was any allegation that the owner of the truck (the indemnitee's insured), was himself liable to the underlying claimants. Put another way, the pleading failed to set forth that the indemnitee was secondarily (or passively) liable to the injured parties. All the insurer alleged was that the settlement of the underlying case was reasonable in view of its insured's "probable liability." However, the court was quick to point out that "probable liability" is not enough. *Fulton Ins. Co.*, 261 Or at 211–12. Since the third-party claims had been resolved before any judgment, facts establishing the indemnitee's *actual* liability had to be pleaded.

But hold on—all was not lost. Having chastised the plaintiff for the above oversight, the court (much, we're sure, to the relief of both Fulton and the Professional Liability Fund) performed a salvage operation on the plaintiff's mistake. After much judicial gymnastics, the court concluded

that this pleading omission had resulted in no surprise or prejudice to the defendant. The jury could have found from the evidence that the owner of the truck had in fact been guilty of so-called passive or secondary fault—so no harm, no foul—and no reversal. *Fulton Ins. Co.*, 261 Or at 214–21. For a further discussion of the *Fulton* case, see chapter 9.

§ 4.3 Pleading and Proving *Fulton's* Requirements

> *I remember the time I was kidnapped and they sent a piece of my finger to my father. He said he wanted more proof.*
>
> —Rodney Dangerfield

Fulton's predicate for an indemnity claim consists of the following medley: the indemnitee "must *plead and prove* that (1) he has discharged a legal obligation owed to a third party; (2) the defendant was also liable to the third party; and (3) as between the claimant and the defendant, the obligation ought to be discharged by the latter." *Fulton Ins. Co.*, 261 Or at 210 (emphasis added). As acknowledged by the court, this particular enumeration was purloined from the *Restatement of Restitution* section 76 (1937), as well as cases from other jurisdictions. It was, however, the first time an Oregon appellate court had so concisely encapsulated the essence of an implied indemnity claim.

Each of these elements will be discussed. As a preamble, though, Oregon lawyers should take to heart the court's admonition that the putative indemnitee must generally plead and prove each of those three elements. Two out of three won't cut it, as the plaintiff in *Fulton* nearly discovered.

NOTE: We will focus here solely on the requirements for an indemnity action where recovery is sought for amounts paid in satisfaction of an adverse judgment. In chapter 9, we discuss indemnity after settlement of the third-party claim; chapter 10 examines restitution when only defense costs are sought. Further, the review here will center primarily on situations where the putative indemnitor was not a party to the primary litigation. Be aware: when the indemnitee and the indemnitor are both defendants in the underlying case, claims for indemnity may run afoul of the *Eclectic* decision. Moreover, as we shall see, *Fulton*'s pleading requirements were subsequently modified by ORCP 22 B and 22 C. *See* § 4.4.

Finally, attorneys take heed: a putative indemnitee cannot always rely on philanthropic inclinations of the court—such as existed in *Fulton*. For example, the Oregon Court of Appeals was in no such mood in *Page v. Cameron*, 33 Or App 441, 576 P2d 837, *rev den*, 283 Or 235 (1978). In this implied indemnity case, the complaint was missing an essential element for restitution. The court stated: "Not even the most liberal construction of the pleading can supply allegations that are necessary and missing." *Page*, 33 Or App at 445.

§ 4.3-1 Requirement # 1: The Indemnitee Has Discharged an Obligation Owed to a Third Party

One seeking indemnity must, by definition, have breached a duty owed to a third party. "Duty" here is the equivalent of a legal obligation. And "discharge" is the satisfaction of the obligation—that is, satisfying the adverse judgment rendered in the primary case. Generally, in the subsequent indemnity case, the indemnitor will be estopped

from relitigating both the indemnitee's liability to the claimant as well as the reasonableness of the judgment amount. This preclusion, however, will apply only if there has been a valid tender—also known as "vouching-in"—made to the indemnitor. See chapters 7 and 8 for in-depth discussions of vouching and tender. Among other dictates, the "vouch" should specifically set forth the consequences of not accepting the tender, namely that the putative indemnitor will be bound by any findings of fact common to both the underlying litigation and the subsequent indemnity action. *See, e.g.*, *Smith Radio Commc'ns, Inc. v. Challenger Equip., Ltd.*, 270 Or 322, 324–25, 527 P2d 711 (1974).

Unless the magic vouching incantations are conjured up, counsel for the indemnitee runs the risk that in the subsequent trial, the indemnitor would be able to relitigate the issue of the indemnitee's liability to the third-party claimant. (Counterintuitively, this situation would result in the plaintiff-indemnitee arguing that it was liable and the defendant-indemnitor taking the position that the plaintiff was free of fault.) Also, in such case, presumably the indemnitor could revisit the reasonableness of the underlying damage award. Keep in mind, however, that failure to properly tender does not preclude a subsequent indemnity claim; it just makes the road to restitution more difficult.

When both indemnitee and indemnitor were defendants in the underlying case, and both lost, the indemnitee need not worry about establishing its own liability in the indemnity trial. That issue, together with the reasonableness of the damages, would have been preclusively determined in the primary trial.

This is crucial: the prospective indemnitee has the obligation of establishing that it discharged the underlying obligation not only for itself, *but for the indemnitor as well*.

Both parties must be fully and completely released from any further claims by the injured third party. *See, e.g.*, *Moore Excavating, Inc. v. Consol. Supply Co.*, 186 Or App 324, 329–30, 63 P3d 592 (2003). And, like the pleading/liability issue in *Fulton* (discussed in § 4.2), the discharge cannot be a probable release, or one premised on some subjective likelihood or expectation that there will be no further claims by the injured party. No—the indemnitee must unconditionally "[buy] peace" for both it and the indemnitor in a manner that is legally binding on the third-party claimant. *Moore Excavating, Inc.*, 186 Or App at 330.

The indemnitee learned this fateful lesson in *Savelich Logging Co. v. Preston Mill Co.*, 265 Or 456, 509 P2d 1179 (1973). There, the court stated:

> In summary, it is clear that regardless of the effect of the settlement agreement as between plaintiff [indemnitee] and the state [claimant], that agreement does not operate to protect these defendants [indemnitors] against a claim by the state that they are also liable for the trespass . . . It follows, therefore, that plaintiff has not "discharged" the trespass liability to the state so as to entitle it to indemnity from these defendants.

Savelich Logging Co., 265 Or at 466.

While no reported Oregon appellate indemnity decision specifically addressed this point, prudence and caution would dictate that the complaint should include an allegation that both parties to the restitution action have been fully released from any further liability to the third-party claimant.

> QUERY: Is it really true that the putative indemnitee must *also* discharge the *entire* liability of the indemnitor? Maybe not. See the discussion in § 4.5 and § 4.6.

§ 4.3-2 Requirement # 2: The Defendant Was Also Liable to the Third Party

It's presumably evident that pleading and proving the indemnitor's liability to the third party is an obvious necessity to the indemnification claim. This will generally not be an issue when both indemnitee and indemnitor were parties in the primary case and lost. The liability of the putative indemnitor would have been established. Things get more entangled when the indemnitee, having lost the underlying case, now seeks restitution from one who was not a party to the earlier litigation. It is here that the indemnitee reaps the payoff for its toil and sweat in sending that well-drafted vouching correspondence. *See* § 4.3-1. Our prospective indemnitor may now have to pay the piper for its recalcitrance in refusing to accept the tender.

Remember, the above-mentioned dividend stemmed from a proper vouch. In this regard, the prospective indemnitee should pay careful attention to precisely what issues were alleged and actually litigated in the primary case. These may mitigate (or eliminate) proving the remaining elements necessary to establish the indemnitor's liability to the claimant. For example, in a simple products case tried against only the losing retailer, in the subsequent indemnity case, the manufacturer, having refused the tender, may be precluded from contesting its own liability to the injured claimant (as long as the product reached the ultimate consumer without significant alteration).

Of course, if a valid tender was not made, the prospective indemnitee must essentially don a plaintiff's hat and start the liability aspect from scratch, using normal discovery tools (and reflecting again how important it is to dispatch that tender).

§ 4.3-3 Requirement # 3: As between the Claimant-Indemnitee and the Defendant-Indemnitor, the Obligation Ought to Be Discharged by the Latter

Not surprisingly, this is the heart and soul (or perhaps the bugaboo), of an Oregon common-law indemnity claim. Our prospective indemnitee has discharged the underlying obligation and further has established the liability of the indemnitor to the third-party claimant. Yet there remains a torturous journey to obtain restitution. The indemnitee must now plunge headlong into the morass of "active–passive," "primary–secondary," and all those other vague and undefined adjectives that have given courts fits for more than a century. Nevertheless it will be incumbent on the indemnitee to plead and prove that the relative—or qualitative—culpability between it and the would-be indemnitor establishes that the latter ought to satisfy the underlying obligation.

From a pleading standpoint, the actual recitation of the traditional indemnity vernacular is not critical. In fact, use of such terms as "active" and "passive" in the pleading—without more—could be fatal to stating a cause of action. What's important is to allege facts that would support a conclusion (both legally and factually) that the qualitative difference in the parties' conduct was such that restitution should be allowed. *Fulton Ins. Co.*, 261 Or at 211. This requirement will be relatively straightforward in a case, for example, of vicarious liability wherein the indemnitee's liability arises not from any actual fault but only by operation of law.

The task becomes more difficult in situations like Annie Anderson's fall or Judge Kilkenny's Octopus. In these situations, there is conduct on both sides that, depending on the predilections of the factfinder, could tilt one way or

another on the "fault–indemnity spectrum." Here, the onus is on the indemnitee to allege (and prove) facts that mark the asymmetry in culpability and that support the notion that principles of equity should permit restitution. *Fulton* stated it this way: "Nevertheless, the complaint in an indemnity action *must include facts* which, if proved, would establish each party's liability to the injured third party, and that the plaintiff's liability was not based on conduct which ought to bar his recovery, however that conduct is described." *Fulton Ins. Co.*, 261 Or at 211 (emphasis added).

In chapter 3, we suggested that indemnity's traditional terminology of "active–passive," "primary–secondary," and the like be jettisoned in favor of a more easily understood and applied concept. Consistent with hints and innuendos in Oregon decisions, wouldn't it be more appropriate simply to ask the trier of fact to determine, in any given indemnity case, whether community notions of justice and fairness demand that the burden of paying be shifted from one party to another? *See, e.g.*, *Piehl v. Dalles Gen. Hosp.*, 280 Or 613, 621, 571 P2d 149 (1977). Even here, the pleading and proof requirements arguably remain the same. Simply alleging that community opinion requires restitution would not be sufficient. Facts should be alleged that support the ultimate issue.

§ 4.3-4 Is There a Fourth Indemnity Requirement?

You mean three isn't enough? Correct. There is an additional requirement to implied indemnity—not mentioned in *Fulton*—but nevertheless vital to establishing a claim. The liability of the indemnitee and indemnitor to the claimant must arise out of a so-called "common duty" mutually owed to the third party. *Restatement of Restitution* § 76 cmt b (1937). Put another way, did the alleged claim for indemnity arise from some common duty owed to the claimant, or were

there simply two independent torts, both of which combined to cause the injury?

An explanation of this "element" is found in *Safeco Ins. Co. of Am. v. Russell*, 170 Or App 636, 13 P3d 519 (2000), *rev den*, 331 Or 674 (2001). Safeco's insureds were injured in a motor vehicle collision caused by Russell's negligence. The insurer paid benefits to its insureds and then sued the negligent driver, alleging it was entitled to indemnity because it was Russell's conduct that was active and primary. (Apparently Safeco relied on indemnity rather than subrogation because the latter's two-year statute of limitations had expired.) The trial court dismissed the insurer's complaint for failure to state a claim, and the court of appeals affirmed. Relying on section 76 of the *Restatement*, the court noted: "Thus, it is not enough that the parties are each liable to the plaintiff's insureds. In order to trigger a right of indemnity, their liability must also depend on a *common duty*. The test stated in *Fulton* must be understood accordingly." *Safeco Ins. Co.*, 170 Or App at 640 (emphasis added).

Safeco's duty to the injured parties arose out of an insurance contract that defined the parameters of its obligations. This was distinct from the duty of due care owed to the claimants by the negligent driver. Thus, Safeco's claim was not an effort by one tortfeasor to shift the ultimate obligation onto the shoulders of another tortfeasor. So while both Safeco and Russell owed a financial obligation to the injured parties, it was not a common duty, and the requirements for common-law indemnity were not satisfied. *See Maurmann v. Del Morrow Const., Inc.*, 182 Or App 171, 178, 48 P3d 185 (2002) (indemnity inappropriate when the negligence of two tortfeasors without any legal relationship to one another com-bines to cause injury to a third party); *see*

also Arch Chemicals, Inc. v. Radiator Specialty Co., 727 F Supp 2d 997, 1002–03 (D Or 2010).

§ 4.4 Indemnity via Cross-Claim or Third-Party Claim

In recent times, claims for indemnity have commonly been asserted either by cross-claim or third-party claim, thus assuring that all necessary parties and issues are present in the underlying litigation—often eliminating the necessity for a second (restitutional) trial.

However, as mentioned in § 4.1, certain indemnity claims may be obviated in view of *Eclectic*—at least when both indemnitee and indemnitor are parties in the primary case and fault has been allocated between them. Nevertheless, the authors here believe that a variety of indemnity claims (see chapters 5 and 11) survive *Eclectic* even when all parties are present in the initial litigation.

So how does cross-claim and third-party practice mesh with *Fulton*'s requirements? Well . . . when the Oregon Rules of Civil Procedure (ORCP) first appeared in 1978, *Fulton*'s pleading mandates began to circle the proverbial wagons. After ORCP 22 B (cross-claims) and 22 C (third-party practice) were adopted, a putative indemnitee was permitted to assert a restitution claim not only against one who was actually liable to the plaintiff, but—of all things—against one who simply might be liable for all or part of the claims asserted by the plaintiff against the indemnitee.

Consider a hypothetical: Employer *A* is sued by plaintiff *P* for personal injuries arising from a motor vehicle accident. With ORCP 22 C in hand, *A* files a third-party complaint against its employee *B* containing the following allegations:

I

> (1) *A* denies all allegations of negligence in *P*'s complaint.

II

> (2) For its third-party complaint, *A* alleges . . . if it is found liable to *P*, then *A* is entitled to full indemnity from *B* inasmuch as *A*'s liability would arise only by operation of law, and it was the conduct of *B* in disobeying a traffic signal that was the sole cause of *P*'s injuries.

Putting this example under the *Fulton* microscope, it's possible from a pleading standpoint that *A* has established that between it and the employee, *B* ought to bear the restitutional burden. In other words, *A* has met *Fulton*'s third requirement. However, *A*'s third-party complaint fails to comply with the other two mandates. *A* neither admits its own liability to *P* nor alleges that it has discharged a common liability to *P*.

If *B* moves to dismiss the third-party claim, is he successful? No. Following enactment of the Oregon Rules of Civil Procedure, the motion will be denied. *A* has successfully pleaded a claim for indemnity. But didn't we previously establish that probable liability won't do the trick? Doesn't indemnity require that the indemnitee plead actual liability as well as a discharge of an underlying obligation? So if the court correctly denies *B*'s motion, then certainly in the ORCP era, the pleading requirements for cross-claims and third-party claims appear at odds with the gist of common-law indemnity. Can this be true? Have two-thirds of the pleading mandates of *Fulton* been obliterated? Have its elements of proof also been extinguished? And if there is a clash between pleading and proof, which one prevails—and why?

It turns out that courts have had little problem resolving this dilemma. To indulge in some literary license, their reasoning proceeds like this:

> Now look ORCP 22 B and C, you two just kindly step aside. This here indemnity wagon's bein' driven by old Mr. *Fulton* and he darn sure ain't throwin' Annie Anderson under the railroad tracks nor cuttin' any tentacles off ol' Kilkenny's Octopus . . .

In other words, notwithstanding any pleading leniency, *Fulton*'s substantive requirements for indemnity are sacred and remain solidly intact. *See, e.g.*, *Marton v. Ater Const. Co., LLC*, 256 Or App 554, 561–62, 302 P3d 1198 (2013); *Freeport Inv. Co. v. R.A. Gray & Co.*, 94 Or App 648, 652–53, 767 P2d 83, *rev den*, 308 Or 33 (1989); *Kahn v. Weldin*, 60 Or App 365, 371–72, 653 P2d 1268 (1982), *rev den*, 294 Or 682 (1983).

In *Kahn*, the indemnity cause of action was raised in the primary case via a cross-claim under ORCP 22 B(2). The indemnitor argued that the claim was deficient because the prospective indemnitee had not pleaded that it had paid an underlying debt and thus had discharged a legal obligation. The argument was correct by *Fulton*'s standards, but the court held the indemnity claim was proper, explaining the rationale behind ORCP 22 B:

> The purpose of the rule is to promote the expeditious and economical adjudication in a single action of the entire subject matter arising from a set of facts, including claims contingent on the determination of other issues in the case. To require a defendant who raises an indemnity cross-claim to plead and prove actual discharge of a judgment before the judgment is entered against the defendant raising it would contravene the purpose and destroy the usefulness of the cross-claim rule.

Kahn, 60 Or App at 371 (citation omitted).

So the rationale behind the procedural rule makes sense from a pleading standpoint, but do ORCP 22 B and 22 C likewise alter the proof required to establish an indemnity claim? No, said the court in *Marton*. There, the indemnity action was raised via a third-party claim under ORCP 22 C. In affirming the trial court's dismissal of the indemnification claim, the Oregon Court of Appeals made the following observation: "Contrary to [the indemnitee's] argument, ORCP 22 C(1) does not alter the substance of . . . a common-law claim for indemnity. ORCP 22 is a *procedural* rule that affects the timing—not the elements—of third-party claims." *Marton*, 256 Or App at 561 (emphasis in original).

More recently, the issue was revisited in the rather labyrinthine case of *Rains v. Stayton Builders Mart, Inc.*, 359 Or 610, 375 P3d 490 (2016). The plaintiff-husband, seriously injured when a defective board on which he was standing collapsed, brought a strict liability and negligence action against Stayton, the retailer supplying the board. (A loss of consortium claim was included.) Stayton, in turn, filed a third-party action for indemnity against Weyerhaeuser Company, which allegedly manufactured the board. Before trial, in a partial settlement agreement with Stayton, the negligence claim against Stayton was dismissed, although Stayton remained a defendant. The jury found for the plaintiffs against both Stayton and Weyerhaeuser, allocating 25 percent of fault to the plaintiff-husband; 30 percent to Stayton, and 45 percent to Weyerhaeuser. Ultimately, a judgment was entered against both defendants in the approximate amount of $7 million. The court then decided the indemnity claim, ruling in favor of Stayton in the amount of $2 million. Stayton's settlement agreement limited its liability to this sum. Further, a judgment was entered against Weyerhaeuser, indemnifying Stayton for its defense costs. Weyerhaeuser appealed contesting, among other issues,

Stayton's right to indemnity. *Rains*, 359 Or at 615–20. (As an aside, from the appellate record, it is enigmatic how in this purely strict liability case, the jury ended up apportioning fault between the defendants. Such a result is negligence talk—not strict liability.)

In the Oregon Court of Appeals, Weyerhaeuser, citing *Fulton*'s requirements, argued that Stayton had produced no evidence that it had discharged a legal obligation. "To prove the 'discharge a legal obligation' element, the indemnity plaintiff must show that it has discharged an obligation owed to the third party so as to extinguish its own and the indemnity defendant's liability." *Rains v. Stayton Builders Mart, Inc.*, 264 Or App 636, 666–67, 336 P3d 483 (2014), *aff'd in part, rev'd in part*, 359 Or 610 (2016).

Stayton acknowledged that at the time of entering the judgment, it had presented no proof that it had made any payment in satisfaction of the underlying obligation—either for itself or for Weyerhaeuser. However, it argued that ORCP 22 C contemplated the entry of a judgment for indemnity *before* any discharge of the legal obligation had occurred. *Rains*, 264 Or App at 667–68.

The court of appeals determined that nothing in earlier decisions abrogated the discharge element of an indemnity claim; actual payment was still required before the putative indemnitee had a right either to indemnity or to an executable judgment of indemnity. *Rains*, 264 Or App at 668. As for the procedural rule, the court reiterated that ORCP 22 C affects merely the timing and not the elements of an indemnity claim. It "allows parties to accelerate the determination of contingent liability; it does not provide an independent source of liability or alter the nature of the underlying claims in a third-party case." *Rains*, 264 Or App at 670–71 (quoting *Marton*, 256 Or App at 562). (Of course the same rationale would apply to

cross-claims under ORCP 22 B.) To satisfy the discharge element, the court held that Stayton was required to either actually discharge the limited judgment or establish that its settlement agreement with the plaintiffs "bought peace" for Weyerhaeuser. *Rains*, 264 Or App at 669. Accordingly, Stayton's limited judgment for the $2 million indemnity award was reversed. However, with but a minor reduction, Stayton's indemnification for defense costs was upheld. *Rains*, 264 Or App at 678.

Weyerhaeuser sought review of several issues in the Oregon Supreme Court, including the matter of Stayton's entitlement to defense costs. Review was granted. Stayton did not appeal the ruling reversing the trial court's $2 million indemnity award. *Rains*, 359 Or at 615.

Though not directly an issue on review, the supreme court, citing *Eclectic*, agreed with the court of appeals that the first element of a common-law indemnity claim requires the putative indemnitee to have discharged a legal obligation owed to a third party—which includes "buying peace" for the indemnitor. Since Stayton conceded that it had not satisfied this requirement at the time of entry of the judgment, the court agreed that the common-law indemnity award to Stayton had been properly reversed. *Rains*, 359 Or at 640–41. But what about Stayton's indemnity claim for defense costs? Here, the supreme court decided that Stayton had the proverbial "tail wagging the dog." Accepting that an award of defense costs can be an adjunct to a successful common-law indemnity action, the indemnitee must first establish its right to indemnification. Put another way, there is no independent claim for defense costs when the indemnity claim itself is not viable. Because Stayton conceded that it had not satisfied an essential element of indemnification, it was not entitled to

restitution for its defense costs. The court of appeals decision on this issue was therefore reversed. *Rains*, 359 Or at 642.

> COMMENT: The supreme court's rationale in *Rains*, on common-law indemnity, is baffling in view of its opinion in *Eclectic*. See § 11.5 for a discussion of this issue.

So where does that leave the prospective indemnitee who, like Stayton Builders, has otherwise prevailed in an indemnification action but has not as yet discharged the legal obligation to the third party claimant? Well . . . the court of appeals has an answer. In *Freeport Inv. Co.*, the suggestion was made—based on federal procedure—that the court could enter a "conditional judgment" that would not be enforceable until the underlying obligation had in fact been "discharged." *Freeport Inv. Co.*, 94 Or App at 652–53 (quoting *Williams v. Ford Motor Credit Co.*, 627 F2d 158, 160 (8th Cir 1980)); *see Rains*, 264 Or App at 673.

In summary, the substantive proof requirements of *Fulton* remain alive and obligatory in Oregon no matter what the form of the indemnity claim. However, its pleading essentials have been altered with respect to indemnification actions asserted in cross-claims and third-party claims. But be forewarned: *Fulton*'s pleading requirements will still apply with respect to subsequent indemnity actions—that is, actions not asserted by cross-claims or third-party claims.

> *I'll let you write the substance . . . you let me write the procedure, and I'll screw you every time.*
>
> —Regulatory Reform Act: Hearing on HR 2327 Before the Subcomm on Admin Law and Governmental Regulations of the House Comm on the Judiciary, 98th Cong 312 (1983) (statement of Rep John Dingell)

§ 4.5 CONSUMER ALERT! Is There a Discharge "Scam?"

If I claim you owe indemnity
I cannot but opine.
Why must I discharge your debt
As long as I pay mine.

—Book of Restitution

Anyone who isn't confused really doesn't understand the situation.

—Edward R. Murrow

As a result of *Eclectic*'s ambush on common-law indemnity, let's hypothetically assume that the Consumer Protection Section of the Oregon Department of Justice has established a "Restitutional Watchdog" to guard against inroads against this remedy and to advocate on behalf of passive tortfeasors. And wouldn't you know it—here's the first potential indemnification rip-off.

Recall the *Moore Excavating* and the *Savelich Logging* cases discussed in § 4.3-1 in connection with *Fulton*'s first requirement: the indemnitee must discharge the underlying obligation not only for itself but for the indemnitor as well. According to *Moore Excavating*, all liability of the indemnitor to the underlying claimant must be extinguished as a predicate to an indemnity claim. *Moore Excavating, Inc.*, 186 Or App at 329–30. Put another way, the claimant must have no further right of action against the one from whom indemnity is sought. In support of this position, the *Moore* court cited the *Restatement (Third) of Torts* section 22, comment b (2000), which says:

> Except when a contract for indemnity provides otherwise, . . . an indemnitee must extinguish the liability of the indemnitor to collect indemnity. The indemnitee may do so either by a settlement with the plaintiff that by its terms or by application of law discharges the indemnitor from liability or by satisfaction of judgment that by operation of law discharges the indemnitor from liability.

Moore Excavating, Inc., 186 Or App at 330.

The Reporter's Note to this section states: "No case has permitted noncontractual indemnity against a person still liable to the plaintiff." Can this really be the law? Or is this simply restitutional flimflam and a con game by which those rascal indemnitors can cajole another into satisfying someone else's obligations?

Initially, this broad comment seems at odds with section 22 itself:

> (a) When two or more persons are or may be liable for the same harm and one of them discharges the liability of another *in whole or in part* by settlement or discharge of judgment, the person discharging the liability is entitled to recover indemnity in the amount paid to the plaintiff, plus reasonable legal expenses . . .

(Emphasis added).

It's hard to interpret this section as meaning anything other than that indemnity may be permitted even if the indemnitor's obligation is only partially discharged. Surely this conclusion makes sense.

For example, return to *Rains*. As mentioned, the applicable exposure for Stayton was $2 million, leaving about a $5 million indebtedness for Weyerhaeuser. *See* § 4.4. If Stayton thereafter satisfies its $2 million obligation, the Oregon cases (and the Restatement comments) certainly imply that it must, as a predicate to an indemnity claim, also "buy peace" for Weyerhaeuser. Does this mean then that Stayton must also discharge Weyerhaeuser's $5 million obligation in order to seek indemnity for its $2 million? And if it chose to do just that—about the same time hell freezes over—we assume it would be little consolation to Stayton that its indemnity claim would now be $7 million.

Or consider a products liability case where the claimant has sued only the retailer. For a variety of reasons, the manufacturer was not a party to that primary case. Before trial, the retailer settles with the claimant, for itself alone, and then seeks indemnity for the settlement amount against the absent manufacturer (who still is subject to a claim by the injured claimant). If, in the indemnity action, the retailer can satisfy *Fulton*'s other requirements, why should it be denied a right to indemnification simply because the indemnitor's liability has not been discharged? Indeed, the manufacturer's latent liability could potentially forestall the retailer's indemnity action until the statute of limitations had expired on the underlying claim.

Arguably, the only justification for requiring a global discharge is to protect the indemnitor from paying twice for the same obligation. As long as the indemnitor—where appropriate—is given credit or an offset for any payment that the indemnitee makes to the third party, there seemingly is no justification to require that the indemnitee fully discharge the indemnitor's debt. And, in fact, even Weyerhaeuser wasn't

bold enough to argue otherwise. Its position in the court of appeals was thus:

> Weyerhaeuser contends that Stayton could have proved that it had discharged a legal obligation owed to a third party if it had introduced evidence that it (1) had actually paid plaintiffs' judgment against Stayton, which would have, in turn, extinguished *some* of Weyerhaeuser's liability to plaintiffs, or (2) "bought peace" for Weyerhaeuser in the settlement agreement through a release by plaintiffs of at least *some portion* of Weyerhaeuser's liability to them.

Rains, 264 Or App at 667 (emphasis added).

Recall the language of *Fulton*'s first indemnity requirement: the indemnitee must plead and prove that it has discharged a legal obligation owed to a third party. It does not mandate that all such obligations be discharged, or that the putative indemnitor's debt be discharged—only that "a" legal obligation be satisfied. Why should the indemnitee who discharges its own legal obligation (which, arguably, will also be the obligation of the indemnitor), be denied indemnity? "Now, Mr. Indemnitor, in full satisfaction of its obligation, my client has just paid the claimant a bundle of money that equitably was your responsibility. And the fact that your obligation still exists—well, welcome to the world of—tough luck."

> NOTE: Okay, don't get excited. We know the discharge requirement of statutory contribution in ORS 31.800 is different. That remedy exists only if the liability of the one from whom contribution is sought is extinguished. But there is no anomaly here. Contribution applies solely to the extent that one tortfeasor has paid more than its "proportional share of the common liability." ORS 31.800(2). That common liability—in terms of dollars—can be determined only

after the obligation is finalized or entirely liquidated. On the other hand, there is nothing inherent in the elements of common-law indemnity that would predicate restitution on a determination of the "whole enchilada" owing to the third-party claimant.

§ 4.6 Summing Up the Discharge

Finally, in conclusion, let me just say this.

—Peter Sellers

In sum, Oregon courts, unintentionally (or maybe with contributions from "Indemnitors Anonymous"), have perhaps overstated the discharge requirement of *Fulton*. The better—and certainly more equitable—rule is this: If the indemnitee has discharged its own liability, the right to indemnity should not be denied simply because the indemnitor's obligation has not been satisfied, as long as an offset can be made for the indemnitee's payment to the third party. On the other hand, if the putative indemnitor has no guarantee of an offset or credit, then most likely under present law an indemnity claim will fail—but that result is by no means certain and, at least to some extent, runs counter to the elements of an Oregon indemnity claim.

A proof is a proof. What kind of proof? It's a proof.
A proof is a proof. And when you have a good proof, it's because it's proven.

—Jean Chretien

Chapter 5: SURVIVING AN *ECLECTIC* SHOCK

The rag man begged him to explain
His decision so oblique
That overruled old precedent—
But the Gypsy wouldn't speak.

—Book of Restitution

§ 5.1 An Imaginary Dialogue

And so after a torturous journey in the trial court, then through arbitration, back to the trial court, and on to the Oregon Court of Appeals, the case of *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015), was finally decided by the state's highest court. As the justices were high-fiving in chambers for an exquisite opinion, there was a knock at the door. Annoyed at the intrusion, the Oregon Supreme Court ("SC") answered:

> SC: Alright, alright, we're coming. Who's there?
>
> Ind: It's me, Oregon Common-Law Indemnity, but you can call me Indemnity for short.
>
> SC: Now look here, Indemnity, we're kinda busy. What do you want?
>
> Ind: Well, Your Honors, I've been working here in Oregon for a long, long time—always been tryin' to do what's *fair* and *equitable*. And gosh, I thought I was a shoe-in to handle this *Eclectic* case. But I see from your opinion that I've been replaced, . . . and frankly, I'm a little upset.
>
> SC: Indeed . . . you do resemble a shriveled-up curmudgeon—just how old are you?

Ind: I was born back in 1913 down in Astoria, next to the railroad tracks. Maybe you knew my mother, Annie Anderson?

SC: Nope, can't recall that name. But wow, ol' timer, you're over 100 years old. Are you still able to move around?

Ind: Certainly can. Why, I pop up all the time. In fact, on occasion, I'm known to be quite *active*—although admittedly I can sometimes be a bit *passive*.

SC: Yes, yes . . . very interesting . . . but while we were contemplating our decision in this *Eclectic* matter, we had an unexpected visit from a provocative young thing called Comparative Negligence, along with her progeny, Mr. Several. And they insisted we replace you and hire them—claimed they were now the law in Oregon.

Ind: But . . . but . . . what about my heirs—my offspring? You know, like . . . like *City of Astoria*, and *Fulton*, and *Kennedy v. Colt*, and . . .

SC: Quiet you ol' geezer. Hate to say this, but you've become incompatible, irreconcilable, and inconsistent with our statutory scheme.

Ind: Now just a darn minute, Your Honors, I wasn't born yesterday . . . well, actually I guess I was . . . and so I've been around long enough to know something about the law . . . and aren't you ignoring the statute that grants me immunity from termination?

SC: A statute? A statute! What the dickens are you talking about? There's no statute that gives you any immun . . . [*Suddenly the SC is interrupted by a clerk surreptitiously pointing out ORS 31.800(5). The SC, somewhat embarrassed, returns to the door.*] . . .

Hmmmm, now see what you've done, Indemnity. We're gonna have to publish another opinion debunking your amnesty statute. Geezzzz, our work never ends.

Ind: So . . . so are you saying the legislature didn't know what it was doing?

SC: Ah . . . well . . .uh . . . Look Indemnity, we have a second opinion to write here, so be on your way and let us not see your face in Oregon ever again.

Ind: So be it. But you haven't seen the last of me. You're going to regret falling head-over-heels for that Jezebel, Comparative Negligence. It may look like I'm goin' away, but believe me, I'm still stickin' around.

SC: That's for us to decide. Anyway, as they say, "sometimes you just gotta go with the *percentages*."

Ind: [*Hmmm, I wonder if I should have said my name was Contribution.*]

§ 5.2 The Overture

Don't ever take a fence down until you know why it was put up.

—G.K. Chesterton

In March 2015, the Oregon Supreme Court decided *Eclectic* and therein ostensibly diluted the state's courtship with a century of common-law indemnity. The legislative mandate of comparative fault and several liability in ORS 31.600 to 31.610 was deemed to have abrogated an appreciable portion of Oregon's traditional all-or-nothing approach to restitution. Relying in part on the *Restatement*

(Third) of Torts: Apportionment of Liability section 22 (2000), the court noted that indemnity, premised on the traditional "active–passive" or "primary–secondary" tests, has now surrendered to a system of percentage comparison of fault. *Eclectic Inv., LLC*, 357 Or at 36–37. In so holding, the court purported to align Oregon with a majority of other jurisdictions that, through legislation or judicial fiat, had repudiated common-law indemnity.

But did *Eclectic*, as some have opined (*see, e.g.*, *T-W Transp., Inc. v. TA Operating LLC*, No 3:15-cv-00099-AC, 2015 WL 5247080 at *4, 2015 US Dist LEXIS 119070 (D Or Sept 3, 2015)), inflict a mortal wound on common-law indemnity? Or did it merely deliver a shot over the bow? In fact, did *Eclectic* even involve a traditional indemnity case? And, to the extent that it purported to conform restitution to legislative intent, did it in fact contravene that very objective? This chapter will explore the specific contours and limitations of the *Eclectic* decisions and suggest some practical tips and advice on dealings with its aftermath.

§ 5.3 The *Eclectic* Decisions—Indemnity on the Chopping Block

§ 5.3-1 Eclectic I

Unreasonable haste is the direct road to error.

—Molière

The Oregon Supreme Court allowed a petition for review in a property damage case involving claims of negligence against a contractor, Jackson County, and two other defendants. In the trial court, the plaintiff was found more than 50 percent at fault, and thus the defendants prevailed. In a segregated and subsequent proceeding, the

county (found 7 percent at fault in the underlying case), sought indemnity from the contractor (which had been deemed 4 percent responsible) for its defense costs incurred in the primary litigation. Both the trial court and court of appeals denied the claim, relying in part on application of the traditional "active–passive" standard, although noting that this was merely one factor to consider. Ultimately they deemed the issue to be one of equity. *See Eclectic Inv., LLC*, 357 Or at 27–30.

The supreme court, in its initial opinion, affirmed but did so on a basis neither raised in the trial court nor briefed or argued on appeal. It observed that subsequent to the inception of indemnity in Oregon, the legislature had intervened and provided a system of comparative fault that vitiated a theory of restitution premised on the "active–passive" dichotomy. Under ORS 31.610(1), the liability of each defendant is several—not joint. Therefore, since the county could only have been liable for its own negligence, it was not entitled to restitution for its defense costs. *Eclectic Inv., LLC*, 357 Or at 35–39.

§ 5.3-2 Eclectic II

> Precedent, n. *In law, a previous decision . . . which, in the absence of a definite statute, has whatever force and authority a Judge may choose to give it, thereby greatly simplifying his task of doing as he pleases.*
>
> —Ambrose Bierce, *The Devil's Dictionary*

In its initial rush to thwart indemnity without benefit of counsel's input or lower court record, the Oregon Supreme Court overlooked a pertinent piece of legislation and therefore granted a motion for reconsideration. The county pointed to ORS 31.800(5)—enacted in 1971 (Or Laws 1971, ch 665, § 1

(originally numbered ORS 18.440(5)))—providing for contribution among joint tortfeasors, which states, in part, "This section does not impair any right of indemnity under existing law." The court acknowledged that when ORS 31.610 was amended in 1995 (Or Laws 1995, ch 696, § 5 (at that time numbered ORS 18.485)), ORS 31.800 was left entirely intact. The court then attempted to clarify its initial opinion, indicating it had not meant to suggest that in amending that statute, the legislature intended to abrogate all claims of common-law indemnity. However—and here's the crux—inasmuch as this remedy was a judicial creation, it was therefore the court's prerogative to decide whether and under what circumstances such a right still existed. Considering the facts in *Eclectic* and the mandates of ORS 31.610, the court held that indemnity was not warranted and once again affirmed the denial of restitution. *See Eclectic Inv., LLC*, 357 Or at 329–31 (*Eclectic II*).

Given the court's elusive inkling that perhaps the legislature contemplated some vestiges of indemnity should weather the storm of comparative fault, what types of cases would likely fall within such sphere? Preliminarily though, it may be instructive to review the elements of an Oregon indemnity action to determine whether *Eclectic* even fell within the parameters of such a claim.

§ 5.4 Oregon Indemnity—A Medley of Mandates

> *It usually takes a hundred years to make a law, and then, after it has done its work, it usually takes a hundred years to get rid of it.*
>
> —Henry Ward Beecher

As noted in § 2.2, common-law indemnity in Oregon commenced with *City of Astoria v. Astoria & Columbia River*

R. Co., 67 Or 538, 136 P 645 (1913). For the next century, the remedy remained fully ensconced in Oregon without significant change. Though criticized by the courts and often difficult to apply in practice, nevertheless, entitlement to restitution hinged, at least in part, on a qualitative (as opposed to a quantitative) assessment of fault, through nebulous and undefined terms such as "active" versus "passive" or "primary" versus "secondary."

Fulton Ins. Co. v. White Motor Corp., 261 Or 206, 210, 493 P2d 138 (1972), articulated the specific requirements for a common-law indemnity claim:

> In an action for indemnity, the claimant must plead and prove that (1) he has discharged a legal obligation owed to a third party; (2) the defendant was also liable to the third party; and (3) as between the claimant and the defendant, the obligation ought to be discharged by the latter.

Nothing in the *Eclectic* decisions purported to alter these essential elements of a common-law indemnity claim.

§ 5.5 Decaf Indemnity

No man is happy without a delusion of some kind.

—Christian Nestell Bovee, *Intuitions and Summaries of Thought*

As articulated in *Fulton*, the first ingredient of an indemnity claim requires the indemnitee to have discharged a legal obligation to a third party. Clearly no such discharge occurred in *Eclectic*, since both the county and the contractor prevailed in the underlying litigation, so there was no obligation to discharge—that is, no payment had been made to the claimant. *Eclectic*'s ostensible dissection of indemnity, premised on ORS 31.610(1), professes to shield a tortfeasor

from liability for more than its own percentage of fault. But this can occur only if the putative indemnitee and indemnitor are parties in the underlying case and fault has therein been apportioned. In a true indemnity case, however, one defendant has in fact wholly discharged a common liability and thereafter seeks restitution from one whom it is claimed should be ultimately responsible. *Eclectic*, at best, could be classified as a case of "decaffeinated restitution"—that is, it bears some resemblance to the real thing but lacks the punch of true indemnity.

Eclectic's coexistence of defendants in the underlying trial is absent in many instances for a variety of legitimate reasons. A principal example is a settlement with the third-party claimant by the indemnitee, who, in the same or a subsequent case, then seeks restitution. In addition, there is an array of other reasons why a prospective indemnitor would not be a participant in the underlying case. First, the indemnitor may not be subject to the court's jurisdiction or to service of process. Second, the statute of limitations may have run against the indemnitor with respect to the underlying claim. Third, there may be strategic reasons why the indemnitee-defendant does not wish to join the indemnitor as a third party. For example, the presence of a deep pocket may serve to increase the potential exposure. Fourth, adding the indemnitor as a defendant could escalate the expense and complexity of the underlying case, unreasonably delay a trial, or both. Fifth, the court may simply decide to exercise its discretion and rule that the parties delayed too long in attempting to add an additional party to the underlying case, or the court may decide to segregate any third-party claim for later resolution.

So unless and until our courts make further inroads on indemnity, *Eclectic*'s present scope is arguably limited to the

following circumstance: When both the putative indemnitee and indemnitor are parties to the underlying case and a percentage allocation of fault is made between them, the mandates of ORS 31.610 may preclude a common-law indemnity claim. *But see Rains v. Stayton Builders Mart, Inc.*, 359 Or 610, 375 P3d 490 (2016) (discussed in chapter 4).

[Now a brief intermission]

♫ Yesterday

Music by: *Paul McCartney*

Lyrics from: *Book of Restitution*

Yesterday, I thought *Fulton*'s law was here to stay.
Now *Eclectic* took it all away.
Oh how I long for yesterday.
Suddenly, I must toss aside indemnity.
And apportion liability.
Oh splitting fault came suddenly.
Why it had to go?
I don't know, the Court won't say.
I have much concern,
Let's return to yesterday.
Yesterday, I'd recoup all sums I had to pay.
And my fees and costs along the way.
Oh take me back to yesterday.

♪

Enough music and back to indemnity. . . . Any final analysis of *Eclectic* and common-law indemnity would be incomplete without revisiting that so-called "savings clause" in ORS 31.800(5). How satisfying was the court's explanation of that statute, which still remains the law in Oregon?

§ 5.6 Indemnity—"Not Fair to Impair"

Preserve substance; modify form; know the difference.

—Dee Hock

As noted in § 5.3-2, the legislature, in adopting contribution in 1971, clearly stated: "This section [on contribution] does not impair any right of indemnity under existing law." Or Laws 1971, ch 665, § 1(5), *codified at* ORS 31.800(5). Subsequently, when it embraced several liability in 1995 (ORS 31.610(1)), this indemnity savings clause was left intact. *See* Or Laws 1995, ch 696. So did this language have any substantive meaning—or was it just statutory fluff?

The entirety of ORS 31.800 was adopted virtually verbatim from the Uniform Contribution among Tortfeasors Act (UCATA). This act—a product of the National Conference of Commissioners on Uniform State Laws—was initially promulgated in 1939 and then revised in 1955. By the 1970s, a significant number of states had adopted the act (with minor tweaking of the language in some jurisdictions). *See* Uniform Law Commission, Apportionment of Tort Responsibility Act Summary, www.uniformlaws.org/committees/community-home?communitykey=f1b0b7f6-66c6-4275-8f0b-38357e100c21&tab=groupdetails (discussing the successor uniform act). Oregon adopted this section of the UCATA apparently with no discussion about the meaning or intent of the indemnity savings clause (ORS 31.800(5)). And, with the exception of the second *Eclectic* opinion, there is a complete dearth of appellate discussion in this state regarding its application.

On the other hand, a number of jurisdictions have weighed in on the meaning of this savings clause. Broadly

speaking—and not surprisingly—the general consensus seems to be that the language means exactly what it says: The right of indemnity, as it existed at the time the act was adopted, was intended to be retained. Now some states had common-law indemnity in a fashion similar to Oregon, while some had abandoned the theory altogether; still other jurisdictions had various permutations of the remedy. But whatever form indemnity took at the time the UCATA was implemented, it was to be given asylum. For example, the Rhode Island Supreme Court had this to say in *Wilson v. Krasnoff*, 560 A2d 335, 341 (RI 1989):

> Only one section addresses the topic of indemnity, § 10-6-9. It provides in full:
>
> "Right of indemnity preserved.—This chapter does not impair any right of indemnity under existing law."
>
> This section preserves a right of action for indemnity which is already in existence. As discussed above, there is a right of indemnity under Rhode Island common law, and the plain meaning of this provision is that the common-law right will be preserved.

Even more explicit is this admonishment from the Pennsylvania Supreme Court:

> Although some legal commentators have suggested that the need for common law indemnity has dissipated with the modern day acceptance of the theories of comparative negligence and contribution, . . . in Pennsylvania our legislature has specifically decided that the acceptance of contribution "does not impair any right of indemnity under existing law."

Sirianni v. Nugent Bros., Inc., 509 Pa 564, 506 A2d 868, 870–71 (1986) (quoting 42 Pa Cons Stat § 8323) (citation and footnotes omitted).

And finally, in *Firestone Tire & Rubber Co. v. Thompson Aircraft Tire Corp.*, 353 So 2d 137, 140 (Fla Dist Ct App 1977), we find this conclusion: "The Uniform Contribution Among Tortfeasors Act specifically states that 'this act does not impair any right of indemnity under existing law,' and the right of a passive tortfeasor to cross claim against an active tortfeasor is well established in Florida." (Quoting Fla Stat § 768.31(2)(f)) (footnote omitted).

Now no one disputes that common-law indemnity is a judicially created remedy, and as such—as noted in *Eclectic II*—the *court* can certainly mend, mold, and modify its contours. But the dichotomy here is that the foundation of the opinion rests not on any common-law, or even common-sense, rationale. It jettisoned a hundred years of precedent based entirely on the *legislature's* enactment of comparative fault and several liability. Yet while bowing to this statutory creation on the one hand, the court was then wont to ignore the caveat of the same legislature that indemnity—as it existed in 1971—should be safeguarded. And as of 1971, Oregon indemnity law was embodied in precedent such as the *City of Astoria* and *Siebrand* cases. Contrary to what the court expressed, the issue should not be whether the legislature intended to abrogate *all* actions for common-law indemnity but rather whether it intended to abrogate *any* indemnity claims.

> NOTE: *Eclectic*'s holding applies as equally to statutory contribution as it does to indemnity. After all, contribution rests on the existence of joint and several liability and arguably would be unnecessary once that theory is abandoned. Again, though, this assumes that all tortfeasors are parties to the underlying litigation and that fault has been apportioned among them. But as with indemnity, there are a variety of reasons why a

tortfeasor, seeking contribution, would have paid more than its proportionate share of the total damages.

All that aside, it may be unrealistic to conclude that our court will not continue a trend to move in lockstep with other jurisdictions that severely limit the application of common-law indemnity. Nevertheless, in chapter 11, we will suggest how enterprising litigants—relying on ORS 31.800(5) and other stratagems—may attempt to invoke common-law indemnity even with facts more or less identical to *Eclectic*. In addition, we'll explore types of cases wherein this remedy is certain to continue in the post-*Eclectic* era and other categories wherein indemnity should remain. For the present, however, we suggest some practical advice about potential indemnity claims.

§ 5.7 Post-*Eclectic* Practice Tips

It's tough to make predictions, especially about the future.

—anonymous Danish politician

- Going forward, and unless and until the court further refines (or limits) common-law indemnity, *Eclectic* should be limited to its specific facts. If no apportionment of fault has been made in the underlying case, or if a putative indemnitor is not party to that litigation, a common-law indemnity claim should be asserted when supported by the evidence and precedent.
- We suggest the result in *Eclectic* would be the same regardless of the percentages of fault assigned to the county and the contractor. Conversely, the outcome in other prior Oregon

indemnity cases would now arguably be different. *See e.g.*, *Maurmann v. Del Morrow Const., Inc.*, 182 Or App 171, 48 P3d 185 (2002); *Irwin Yacht Sales, Inc. v. Carver Boat Corp.*, 98 Or App 195, 778 P2d 982 (1989).

- It appears that *Eclectic*'s holding probably applies when all tortfeasors are parties in the underlying case and the legal theories asserted against them, though different, are nevertheless subject to apportionment. For example, a claim of strict liability can be "compared" with a claim of negligence, *see Sandford v. Chevrolet Div. of Gen. Motors*, 292 Or 590, 610, 642 P2d 624 (1982), but an allegation of intentional wrongdoing is not subject to the comparative fault mandates of ORS 31.610, *see, e.g.*, *Shin v. Sunriver Preparatory Sch., Inc.*, 199 Or App 352, 379, 111 P3d 762, *rev den*, 339 Or 406 (2005); *see also* chapter 11.
- Pleading and proving a common-law indemnity case remains fraught with pitfalls for the unwary—especially if the putative indemnitee has settled the underlying claim and now seeks restitution. Be forewarned and remember the lessons from cases such as *Fulton* (see discussion in chapter 9).
- If an indemnity claim is contemplated against a nonparty indemnitor, nothing in *Eclectic* minimizes the importance of a well-drafted tender and, if appropriate, taking advantage of common-law vouching-in provisions or those of ORS 72.6070(5)(a). *See* chapters 7 and 8.

- If *Eclectic*'s interpretation of ORS 31.800(5) is, at least for the present, a *fait accompli*, then the courts presumably have latitude to determine what portions of common-law indemnity remain dynamic and operative in any particular case. Counsel representing both indemnitees and indemnitors should utilize this license in the prosecution or defense of future indemnity claims.

§ 5.8 Wrapping It Up

Begin at the beginning and go on till you come to the end; then stop.

—Lewis Carroll, *Alice's Adventures in Wonderland*

The Oregon Supreme Court's unexpected and headlong endeavor to water down common-law indemnity was, in some respects, unfortunate. Be that as it may, *Eclectic*'s pronouncement is—at least for the present—an integral part of the state's legal DNA. However, in conclusion, anyone who has the opportunity to stroll behind the supreme court building in Salem might reverently pause for a moment at the "Judicial Mausoleum" where the justices lay to rest what they perceive as obsolete doctrines and principles. Lest there be any doubt about the court's mindset in deciding *Eclectic*, one has only to consider the epitaph that our highest tribunal hastily engraved in stone:

OREGON COMMON-LAW INDEMNITY

1913 – 2015

Good Friends here lies Indemnity

Doomed forever to this vault,

Not by lack of precedent,

But from a Court comparing fault.

R.I.P.

Chapter 6: STATUTES OF LIMITATION AND REPOSE

Though limitation statutes
Provide a term of grace,
Repose laws can bar the claim
Before the loss takes place.

—Book of Restitution

I don't think limits.

—Usain Bolt

---

§ 6.1 Bedrock and Background

A verbal contract isn't worth the paper it's written on.

—Bryan O'Loghlen

On the surface, issues of statutes of limitation and repose might appear well settled with respect to Oregon common-law indemnity; however . . . buyer beware! An array of restitutional traps still lurk in the legal undergrowth.

The limitations period for commencement of an indemnity claim in Oregon is six years. This temporal period arises from the courts' characterization of a common-law indemnity action as arising from an "implied contract." *Kennedy v. Colt*, 216 Or 647, 653, 339 P2d 450 (1959); *see* ORS 12.080(1). Of course, the existence of such a contract is a fiction that evolved out of law and equity's symbiotic relationship. Sometime in the past, Equity said to Law, "I'll grant you relief from the harshness of in *pari delicto* if you'll bequeath me a legal theory on which I can administer restitution." So then, after a few decades of negotiation,

Equity obtained Contract, and in turn Law got Indemnity. In the end it was a good bargain all around. *See Case v. McKinnis*, 107 Or 223, 256, 213 P 422 (1923); *Durbin v. Kuney*, 19 Or 71, 73, 23 P 661 (1890). In a further refinement, some authorities subsequently commenced referring to the remedy as arising from a "quasi-contract" because the indemnitor's obligation was not consensual. *See Restatement (First) of Restitution* § 5 (1937).

Oregon's limitations statute for contracts is ORS 12.080(1): "An action upon a contract or liability express or implied . . . shall be commenced within six years."

The language is clear: The limitations period governs implied (or quasi-) contracts and thus applies to Oregon common-law indemnity claims.

In *Owings v. Rose*, 262 Or 247, 497 P2d 1183 (1972), the defendant-indemnitor argued that the limitations period should be governed by tort law—not contract. The court rejected this position, citing cases from a number of jurisdictions and concluding that "modern cases also hold that the contract statute of limitations, rather than the tort statute, applies to an action for common-law indemnity." *Owings*, 262 Or at 261–62.

The contract–tort debate, however, is not without its internal Oregon paradox, as exemplified by *Bales for Food, Inc. v. Poole*, 246 Or 253, 424 P2d 892 (1967). This was a malpractice action against an engineer for failing to provide adequate plans for a shopping center's parking facility. The claim was alleged as one of negligence, even though the underlying duty to provide professional services arose from a contract. But because this was a direct action against the engineer—not an indemnity claim—the court applied the two-year tort limitations statute (which was the relevant

limitations period at the time). *Bales for Food, Inc.*, 246 Or at 256–57.

Ironically, *Owings* involved essentially the same underlying facts. An architectural firm (Owings) had hired a consulting engineer (Rose) to do work on a construction project. The engineer was allegedly negligent in performing these services and the third-party owner subsequently made a claim against the architects. Owings settled with the owner and then instituted a claim against the engineer for restitution. As mentioned, the court held the six-year contract statute applied—not the two-year tort statute. The *Owings* court noted the apparent anomaly of the two decisions:

> Although it may be incongruous to require a tort action to be brought within two years and permit an indemnity action based on essentially the same facts to be brought any time within six years after payment on the tort claim, the theory that indemnity is based on an implied contract is well established. As the legislature, in the statute of limitations, specifically provided for implied contracts, we think the statute should be held to cover indemnity actions.

Owings, 262 Or at 263.

> NOTE: An indemnity claim is not barred because the statute of limitations (or statute of repose) has run on any claim by the underlying injured party against the putative indemnitor. The indemnity action merely requires a common liability in tort at the time the injured plaintiff's cause of action accrues—and not when the indemnity action is commenced. *See Huff v. Shiomi*, 73 Or App 605, 608–10, 699 P2d 1178 (1985); *Scovell v. TRK Tans, Inc.*, 71 Or App 186, 192–93, 691

P2d 911 (1984), *rev'd on other grounds*, 299 Or 679, 705 P2d 1144 (1985).

So with the above in mind, now . . . tell us about those "traps."

A trap is only a trap if you don't know about it. If you know about it, it's a challenge.

—China Miéville, *King Rat*

§ 6.2 The Trigger Trap

I don't want the cheese; I just want to get out of the trap.

—Spanish Proverb

The expiration of the statutory period is to some degree meaningless until we know when the clock begins to tick. While Oregon authority here is rather meager, it appears that our courts follow the majority rule that a claim for common-law indemnity does not accrue—and the limitations period does not commence—until the indemnitee suffers a loss or damage. Usually this is interpreted to mean at such time as the underlying claim is discharged either by satisfaction of a judgment or through settlement.

Recall *Fulton*'s first requirement for an indemnity claim: "the claimant must plead and prove that (1) he has *discharged* a legal obligation owed to a third party." *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 210, 493 P2d 138 (1972) (emphasis added). In this context, it is hard to imagine how a "discharge" could have meaning other than actual payment to the underlying claimant. Further, returning to *Owings*, the court there expressed no disagreement with the stipulation of the parties that "the date of payment is when the

statute starts to run on an indemnity claim"—an explicit recognition that a suit for restitution is distinct and separate from the underlying claim of the third party. *Owings*, 262 Or at 261.

By way of contrast, some jurisdictions adhere to the rule that the statute commences before the time of actual payment. For example, there is authority for the proposition that the indemnity limitations period is inaugurated by the date of the underlying tort. *See, e.g.*, *Super Valu Stores, Inc. v. Stompanato*, 128 Ill App 2d 243, 261 NE2d 830, 833–34 (1970). Even more common, however, are decisions holding that the trigger is the date when an executable or final judgment is entered against the putative indemnitee in the underlying tort case. *See, e.g.*, *Ryder v. Hertz Corp.*, 29 Conn Supp 9, 269 A2d 32, 34 (Super Ct 1970). Finally, some jurisdictions tend to straddle the fence, holding that the statute commences when the party seeking restitution pays, or is legally adjudged to be obligated to pay, damages to the third party. *Sabey v. Howard Johnson & Co.*, 101 Wash App 575, 5 P3d 730, 739 (2000).

Among other reasons, one difficulty with these alternate approaches is that the indemnity action could be barred before it even comes into existence. For example, the date on which a judgment is satisfied may be months or years after the date on which that judgment is officially entered.

With respect to a settlement of the underlying claim, there is no reason to think that Oregon's trigger rule would differ from that involving satisfaction of an actual judgment. The date when a settlement was achieved—for example, at mediation or a settlement conference—would not necessarily tip the indemnity hourglass. Again, *Fulton*'s requirement of an actual discharge (i.e. payment of the negotiated agreement)

may differ considerably from the date when the parties shake hands on the deal.

> PRACTICE TIP: It is not entirely certain that Oregon would always strictly adhere to the proposition that only actual payment or discharge triggers the indemnity limitations statute. It is conceivable that mere entry of an enforceable judgment against the indemnitee might start the wheel in motion. The careful lawyer should always consider the date of judgment, or the date of the settlement agreement, as the commencement of the time period.

§ 6.3 The Partial-Satisfaction Trap

Knowing where the trap is—that's the first step in evading it.

—Frank Herbert, *Dune*

In some instances, the underlying obligation of the indemnitee to the third-party claimant—determined either by judgment or settlement—may be satisfied by payment in installments, over a period of time. Complete discharge here may be indefinitely postponed. In such instances, when does the sand start running through the hourglass?

No Oregon decision has specifically addressed this issue. It seems likely, however, that each payment made would commence the indemnity statute with respect to that particular amount. In such case, an action commenced by the indemnitee to recover, for example, an initial (partial) satisfaction, could be amended to include additional payments as they were made. Obviously, this scenario could go on *ad infinitum*, subject perhaps only to any applicable statute of repose. Of course nothing would prevent the indemnity

parties from entering into an arrangement preventing these multiple claims or amendments. Nevertheless, attorneys representing indemnitees should not be lured into the delusion that the statute commences only when the underlying obligation has been *completely* discharged.

§ 6.4 The Subrogation Trap

It was a trap. It was so obviously a trap.

—Derek Landy, *The Dying of the Light*

Consider two hypothetical situations:

1. *A*—an employer—is sued for bodily injury caused in a motor vehicle accident by the negligence of his employee. *A*'s insurer provides a defense in the underlying case. At trial, *A* is found vicariously liable to the injured claimant; a money judgment is entered that is then satisfied by the insurer. The insurer's counsel, knowing something about implied contracts and ORS 12.080(1), advises his client, "no rush here"—and three years later files an indemnity claim on behalf of the insurer against *A*'s employee. The employee moves to dismiss, arguing that the two-year statute of limitations for personal injury claims has expired.

2. This time it's *A* who is seriously injured in a motor vehicle accident by the negligence of an uninsured driver. The same insurer pays uninsured motorist benefits to *A* and then seeks reimbursement. Now our same knowledgeable defense counsel once more advises, "no hurry . . . we've got six years." So the insurance company again waits three years and then files an indemnity claim against the culpable motorist (who has since found financial prosperity). Again,

the defendant moves to dismiss based on the statute of limitations.

We have two situations in which the insurer paid benefits on behalf of its insured and then sought indemnity against the tortfeasor. In both cases, did the insurer receive sound legal advice from its counsel? Or, should the PLF be notified? Let's see . . .

Case 1 is classic implied indemnity governed by the six-year limitations statute discussed in § 6.1, the trigger being the date the insurer satisfied the underlying judgment. But, one may ask, how do these facts comply with *Fulton*'s requirement for indemnity? The insurer is not a tortfeasor and owes no duty to the injured claimant. Its obligation is a contractual one, owed to *A*, the insured. The answer, of course, is that the law permits the insurer to step into the shoes of its insured (via a loan receipt or other artifice) and to assert *A*'s claim against the "actively" culpable employee. Since *A*, being deemed only "passively" liable, could recover indemnity against the employee, we permit *A*'s insurer to do likewise.

Case 2 is not an indemnity claim. *A* is now the injured party and admittedly is owed duties by both his or her insurer and the negligent driver. To avoid a malpractice claim, our "knowledgeable" defense lawyer ingeniously attempts to argue that the motorist was "primarily" at fault and the insurer's liability was merely "secondary." Nice try—but that reasoning was rejected in *Safeco Ins. Co. of Am. v. Russell*, 170 Or App 636, 639–42, 13 P3d 519 (2000), *rev den*, 331 Or 674 (2001). Remember, there has to be a common duty owed to the injured party. Such communal obligation is lacking here. The carrier's duty is premised on a contract of insurance with *A*; conversely, the duty owed by the motorist is to operate a vehicle reasonably and without negligence. The law

may permit the insurer to again assume its insured's identity for purpose of the action, but its remedy lies in subrogation. Indemnity is not an alternative. And—contrary to that defense counsel's advice—a subrogated claim is governed by the same limitations period that *A* would have against the tortfeasor—that is, two years. ORS 12.110(1).

In *Colonial Penn Ins. Co. v. Aery*, 112 Or App 87, 89, 827 P2d 933 (1992), the issue was summarized thusly:

> "Subrogation is the right of the insurer to be put in the position of the insured in order to pursue recovery from third parties legally responsible to the insured for a loss paid by the insurer." 16 *Couch On Insurance* 75, § 61.1 (2d ed 1983) . . . On the other hand, common law indemnity is the right that inures to a tortfeasor who has discharged a duty to an injured party but that, as between that tortfeasor and another tortfeasor, should have been discharged in whole or in part by the other . . .
>
> Plaintiff's claim is based on a contract of insurance between it and [its insured]. It is not an effort by one tortfeasor to shift responsibility to another tortfeasor.

PRACTICE TIP: Don't even think about attempting to masquerade a subrogation claim behind an indemnity facade. The above distinction between indemnity and subrogation is virtually universally held. Be mindful that the statute of limitations for the latter claim may be significantly different (and shorter) than one for common-law indemnity.

§ 6.5 The UCC Trap

An old fox understands the trap.

—Unknown

Suppose *M* manufacturers a product that is sold to retailer *R* on June 1, 2009. *R*, in turn, sells it commercially to *P*. Subsequently, *P* is injured by the product and on June 1, 2012, sues *R* for breach of an implied warranty that the product was fit for the purpose for which it was sold. *R* settles the claim of *P* on June 1, 2013, and a year later, on June 1, 2014, files an action against *M* for implied indemnity. Thereafter, *M* files a summary judgment motion arguing that the statute of limitations has expired. *R* responds by relying on ORS 12.080(1) and other Oregon authority holding that the six-year contract statute applies and thus the trigger did not commence until the date of discharge (i.e., payment). Who wins? Well . . . at least in Oregon, the answer is by no means clear.

The conundrum here involves the ostensible lack of harmony between Oregon's general contract (and indemnity) limitations statute and the limitations provision of the Uniform Commercial Code. In relevant part, we again look at ORS 12.080(1): "An action upon a contract or liability, express or implied, . . . *and except as otherwise provided in ORS 72.7250* . . . shall be commenced within six years." (Emphasis added).

Chapter 72 is the UCC's edict on sales and contains a specific limitations statute—ORS 72.7250—that states, "(1) An action for breach of any contract for sale must be commenced within four years after the cause of action has accrued."

And, most significantly, a breach of warranty occurs "when tender of delivery is made." ORS 72.7250(2). In the hypothetical above, "delivery" would be deemed to have occurred upon delivery of the product by *M* to *R*. The question then is whether an indemnity action, arising out of an injury claim to persons or property and couched as a

breach of warranty, is governed by the UCC's limitations period or the traditional six-year contract statute. No Oregon case has specifically resolved this issue. The closest decision is *Redfield v. Mead, Johnson & Co.*, 266 Or 273, 512 P2d 776 (1973). There, the injured claimant sued the manufacturer of a contraceptive drug on a breach-of-implied-warranty theory. The trial court ruled the action was barred by the two-year tort limitations period. However, the Oregon Supreme Court reversed based on its conclusion that the four-year provision of ORS 72.7250(1) was the applicable limitations time frame. *Redfield*, 266 Or at 283.

The supreme court's starting point was ORS 12.010 (1973): "Actions at law shall only be commenced within the periods prescribed in this chapter, after the cause shall have accrued, *except where a different limitation is prescribed by statute*." (Emphasis added).

The decision concluded that when ORS 12.010 was read in conjunction with ORS 72.7250(1), it was clear that the legislature intended to adopt a period of limitations specifically to apply to the type of claim involved in this case. "The action for breach of warranty is clearly one for which 'a different limitation is prescribed by statute' (ORS 12.010) and thus is not governed by the provisions of Chapter 12." *Redfield*, 266 Or at 277.

But does an indemnity claim fall within the boundaries of a breach-of-warranty claim controlled by ORS 72.7250? As observed in § 6.1, logically, claims for restitution are separate, substantive causes of action, independent from the underlying case. Those who might argue for a six-year limitations period could justifiably contend that the mere fact that the indemnity action arose from an underlying breach of warranty under a sales contract should neither alter the

genetic DNA of a restitution claim nor change its traditional statute of limitations.

Cases from other jurisdictions have swung both ways. Some say the UCC takes precedence over the conventional indemnity statutes. *E.g.*, *PPG Indus., Inc. v. Genson*, 135 Ga App 248, 217 SE2d 479, 480 (1975). Other decisions adhere to the notion that indemnity claims are a separate breed and are not within the purview of the UCC. *E.g.*, *Carrier Corp. v. Detrex Corp.*, 4 Cal App 4th 1522, 6 Cal Rptr 2d 565, 569, *rev den* (1992).

How Oregon chooses to resolve this dilemma is critical for the attorney contemplating an indemnity claim. If the traditional limitations period applies, then the six-year period commences at the time the underlying obligation has been discharged. However, if the UCC period governs, then not only is the time period compressed to four years, but the trigger is the date of first delivery of the product—meaning again that any claim for indemnity could expire before the underlying claim even accrues.

> PRACTICE TIP: The language in *Redfield* certainly suggests an inclination for Oregon to favor the UCC. Accordingly, if the underlying case contains any cause of action or count premised on breach of warranty, a lawyer considering an indemnity claim would be wise to presume that the UCC limitations period will apply. Assuming that the four-year period has not already expired, the safest way to preserve indemnity would be a third-party action or cross-claim.

§ 6.6 The Repose Trap

There are so many traps, so many ways of getting screwed in this business.

—Max Martin

A century and a half ago, the Oregon Supreme Court concluded the following concerning statutes of limitation and repose:

> Statutes of limitations are intended to be statutes of repose, to prevent litigation; and where one has slept for years with a full knowledge of his rights, and seeks only to enforce them when essentially important witnesses have long since departed from the jurisdiction or reach of process, and the defendant is powerless from the frailties of human memory, it is eminently proper that the law should expressly intervene, and say to the plaintiff that his sleeping has been too long, and the advantage now sought too grossly faulty to be encouraged.

Ketchum v. State, 2 Or 103, 106 (1864).

Ah . . . a plague upon those slumbering plaintiffs and curse the frailties of memory.

But of course in modern times we know that delays in instituting actions are not necessarily the result of lassitude or somnolence. We are also aware that statutes of limitation are intrinsically different from statutes of repose. Statutes of limitation "limit[] the time a party has to initiate an action once a claim has accrued." *Sealey By & Through Sealey v. Hicks*, 309 Or 387, 394 n 7, 788 P2d 435, *cert den*, 496 US 819 (1990), *abrogated on other grounds by Smothers v. Gresham Transfer, Inc.*, 332 Or 83, 23 P3d 333 (2001), *overruled by Horton v. Oregon Health and Science University*, 359 Or 168, 376 P3d 998 (2016). Generally, a

statute of limitations does not commence until the injured claimant knows or should have known of the injury. *See Gaston v. Parsons*, 318 Or 247, 259, 864 P2d 1319 (1994).

On the other hand, statutes of repose (also known as statutes of ultimate repose) set a maximum time in which to file a claim regardless of whether the injury has been discovered or has even occurred. *Sealey By & Through Sealy*, 309 Or at 394 n 7. Once the repose period has expired, no legally recognized injury exists, regardless of the unfairness to a potential claimant. *DeLay v. Marathon LeTourneau Sales & Serv. Co.*, 291 Or 310, 315, 630 P2d 836 (1981); *see Sealey By & Through Sealy*, 309 Or at 392.

So how do Oregon indemnity claims mesh with statutes of repose? Can the shelf life of a restitution action expire before it even comes into existence? If so, this sounds more like an exercise in quantum physics than legal theory. In any event, we'll discuss indemnity here in the environment of three common repose statutes in which the underlying claim is, or could be, tort based: (1) ORS 12.115 (actions for negligent injury to persons or property); (2) ORS 30.905 (product liability actions); and (3) ORS 12.135 (actions for damages from construction, alteration, or repair of improvements to real property).

At first blush, one would suppose that *Huff v. Shiomi*, 73 Or App 605, 699 P2d 1178 (1985), is the gold standard on this topic. The plaintiff, who had developed cataracts from medication prescribed by her physician, brought a personal injury action against the doctor. The physician, in turn, filed a third-party complaint for indemnity against the drug manufacturer. Apparently relying on ORS 30.905(1) (1983), providing a repose period of eight years for "product liability civil action[s]," the trial court dismissed the third-party action. However, the court of appeals reversed, holding that

the indemnity action was not subject to ORS 30.905 and was thus not time-barred. *Huff*, 73 Or App at 607–08.

Dr. Shiomi argued on appeal that although his allegations against the manufacturer asserted facts that could be the basis of a product liability action, nevertheless his actual claim was for indemnity. As such, the event that triggered his cause of action was his discharging a legal obligation to the underlying claimant. (Shiomi had apparently settled the plaintiff's claim.) So legal birth of the limitation and repose periods did not occur until that point. The appellate court agreed. Accordingly, from the time of such discharge, Shiomi had six years to commence his indemnity claim, in accordance with ORS 12.080. *Huff*, 73 Or App at 607–08.

So can the Oregon lawyer comfortably conclude that the repose trap is not tripped until the indemnitee discharges the underlying obligation? Well . . . guess again. Almost three decades later, along comes *PIH Beaverton, LLC v. Super One, Inc.*, 254 Or App 486, 294 P3d 536 (2013), *aff'd*, 355 Or 267, 323 P3d 961 (2014). PIH, the owner of a hotel, brought claims for negligent construction against Super One, the general contractor, and several subcontractors. Super One then sought indemnity from two of the subcontractors—one via a cross-claim, the other by a third-party action. The trial court granted the subcontractors' summary judgment motions on the grounds that the indemnity actions were time-barred by the ten-year repose statute in ORS 12.135(1), requiring claims to be made within ten years from the date of "substantial completion." The court of appeals agreed. *PIH Beaverton, LLC*, 254 Or App at 501.

There is nothing constant in this world but inconsistency.

—Jonathan Swift

Not surprisingly, on appeal, Super One relied on *Huff v. Shiomi*, arguing that its indemnity claim had a different pedigree than the underlying negligence claim and thus was not subject to the repose limit of ORS 12.135(1). To this argument, the court commenced a rather befuddling and confusing attempt to distance itself from its *Huff* ancestry. It noted that the rationale in *Huff* was "unexplained," and the reasoning there "may" have been based on the statutory definition of a "product liability civil action" as set forth in ORS 30.905 (1983). *PIH B*eav*erton, LLC*, 254 Or App at 504. Then, having concluded that *Huff*'s reasoning was uncertain, the court turned to the language of ORS 30.900, which states, "As used in ORS 30.900 to 30.920, 'product liability civil action' means a civil action brought against a manufacturer, distributor, seller or lessor of a product for *damages for personal injury, death or property damage* . . . ." (Emphasis added).

The *PIH* court concluded that Dr. Shiomi's common-law indemnity claim was not one seeking damages for personal injury, death, or property damage—rather it was for restitution for a discharge of a common liability owed by him and the drug manufacturer. *PIH B*eav*erton, LLC*, 254 Or App at 504. (There's that word "discharge" again.)

In contrast, *PIH* held that ORS 12.135(1) does not couple the application of the ten-year repose provision to certain categories of damages but rather applies to any action "against a person . . . , whether in contract, tort or otherwise" as long as the action arises out of certain specified construction-related events. Thus the court concluded that ORS 12.135(1) covers a broader spectrum of claims than does the product liability repose statute. Therefore, the decision in

Huff was not controlling, and Super One's indemnity claims against the subcontractors were time-barred. *PIH B*eav*erton, LLC*, 254 Or App at 504.

The legal calisthenics employed in *PIH* could just have easily been slanted to uphold the indemnity claims and endorse the reasoning of *Huff*. Using Dr. Shiomi's argument, for example, the court could have concluded—in analyzing ORS 12.135(1)—that Super One's indemnity actions did not arise out of any construction-related activity, but were spawned from its (potential) discharge of a common liability owed to the building owner. Obviously, though, the *PIH* court was disinclined to ignore the repose statute, at least in a construction setting.

In view of *Huff* and *PIH*, two critical questions remain: (1) where does that leave an indemnity claim when pitted against ORS 12.115, and (2) in the future, toward which of these two decisions will our appellate courts teeter?

ORS 12.115—the most common of Oregon's repose statutes—states as follows: "(1) In no event shall any action for negligent injury to person or property of another be commenced more than 10 years from the date of the act or omission complained of."

Going forward, will Oregon follow *Huff*'s reasoning with respect to indemnity claims when the underlying action arises from negligence, or will it opt instead for the *PIH* result? On the one hand, the words "any action" used in ORS 12.115(1) tend to mirror the ostensible scope of ORS 12.135(1)—thus pointing toward *PIH*. Conversely, though, ORS 12.115(1) is very specific in limiting its application to only those actions involving negligent injury to persons or property. Surely the *Huff* analysis would conclude that an indemnification claim does not involve an action for injury to

persons or property; rather it seeks restitution for having discharged a common liability.

The practical inquiry here is to attempt a prediction of future application of repose statutes to common-law indemnity claims. Seemingly, *PIH* was attempting to distance itself from the *Huff* rationale. One could argue that this makes sense, inasmuch as *Huff* was enigmatic for three reasons:

First, as stated in the quotation from the *Ketchum* decision at the outset of this section, both the availability and reliability of evidence diminishes after lengthy periods of time. Indeed, *Huff* runs counter to the philosophy behind repose laws, which is to allow individuals or companies (and insurers) to plan their affairs with a degree of certainty, free from the burdens of protracted and unknown liabilities. *Beals v. Breeden Bros., Inc.*, 113 Or App 566, 571, 833 P2d 348, *rev den*, 314 Or 727 (1992).

Since *Huff*'s trigger is the date of discharge of the common liability, there is a virtual open-ended time limit to any litigation and corresponding exposure. For example, assume the putative indemnitee settles an action with the underlying claimant or has an adverse judgment entered against him. Assume also that for any number of reasons he does not satisfy that obligation for another ten years or longer. Only at that moment will the *Huff* clock start ticking, and even then the indemnitee will have still another six years to file the claim. This uncertainty is the very malady that the legislature has attempted to rectify by enacting repose statutes. For example, the assumption in the legislative consideration of ORS 30.905 was that "manufacturers, distributors, sellers and lessors should have the benefit of a limited and predictable time period during which they would be exposed to liability for defects that existed when the product left a respective party's hands." *Erickson Air-Crane*

Co. v. United Techs. Corp., 303 Or 281, 288, 735 P2d 614, *adh'd to on recons*, 303 Or 452, 736 P2d 1023 (1987).

Second, one could argue that it is a bit incongruous to hold, as does *Huff*, that somehow the indemnity claim is a different animal or is substantively distinct from the underlying action. The indemnity case will evolve from the same accident or injury; the facts generally will not vary from the primary action; identical witnesses will be used; much of the evidence will be the same; the indemnity case may well be tried immediately after the underlying trial concludes; and in reality, all the defendant in the underlying case has done is to don a different hat, now calling himself or herself an "indemnitee." The only real difference in the two actions is that the payee becomes the indemnitee rather than the third-party claimant.

Third, if, as *Huff* decided, an indemnity action is separate and distinct from the underlying tort or wrongful conduct, and if the trigger is the discharge of the common liability, how could there ever be a statute of repose applicable to an indemnity claim? The statute of limitations would start to run at the time of discharge. After six years, the claim would be barred by ORS 12.080. We would never reach a point when a repose statute would come into play. Almost by definition, the incident or event that triggers a repose statute will be different—and usually earlier—than the occurrence that commences a statute of limitations. But not so in the wondrous world of *Huff*. Here "Limitation" and "Repose" simultaneously begin their race at the same time and from the same starting line. "Limitation" will always cross the finish line first.

On the other hand, a protagonist for *Huff* might point to the paradox of *PIH*—that under its holding, the indemnity repose statute runs from the date of the underlying event (e.g.,

substantial completion), yet the limitations statute for indemnity isn't triggered until discharge of some common liability. So the restitution claim can conceivably vaporize and vanish before it even comes into existence. (Stephen Hawking, where are you now?)

Yesterday, when I arose,
I met a man they call "Repose."
I told him it was quite unfair,
To bar a claim before it's there.

—Book of Restitution

A final caution: Attorneys who represent governmental entities are aware of the maxim *nullum tempus occurrit regi* (no time runs against the king)—meaning that statutes of limitation and repose do not run against the government unless specifically implemented by statute. ORS 12.250 indicates that the limitation and repose statutes set forth in ORS Chapter 12, unless otherwise provided, do not apply to claims brought by the state, county, or other public corporations. So take heed of governmental indemnity actions that might be deemed "product liability civil actions." The exemption provided the government by ORS 12.250 has been deemed not applicable to claims arguably within the purview ORS 30.905. *Shasta View Irrigation Dist. v. Amoco Chemicals Corp.*, 329 Or 151, 159, 986 P2d 536 (1999).

PRACTICE TIP: In view of the above, Oregon attorneys would be wise to assume—even in a product liability setting—that *Huff*'s analysis may, in the future, be diluted or even overruled. Prudence would dictate that one should always consider the underlying event,

as opposed to the discharge of the common liability, as commencing the repose statute.

I told you that you should've got yourself some legal advice before running to a lawyer.

—The New Yorker

Chapter 7: COMMON-LAW VOUCHING-IN: "INDEMNITY MADE EASY" (AND OTHER LIES)

I'd rather fight indemnity
In the role of a defender.
Unless the underlying trial
Was preceded by a tender.

—Book of Restitution

Veni, Vidi, Vocari (I came, I saw, I vouched)

—Anonymous

§ 7.1 What Is Vouching Anyway?

The fox has many tricks. The hedgehog has but one. But that is the best of all.

—Archilochus

The doctrine of vouching is the stuff of myth and urban legend. Anecdotally, it's alleged to be an underutilized, inscrutable tactic, but one that can achieve a result similar to modern-day third-party practice. Sometimes sardonically referred to as "vouching-in," "voucher-to-warranty," or, more commonly, "tender of defense," vouching is an extrajudicial but nevertheless efficient procedure first brewed and imbibed in early England. Through some archaic common-law alchemy, a defendant (the indemnitee) in an underlying matter, believing that some miscreant (the indemnitor) is, or may be, "liable over" for any damage incurred in the primary case, can tender its defense to that individual or entity (popularly called "tender-izing the indemnitor"). At this point, the potential indemnitor has choices. It can accept the

tender and undertake the defense of the indemnitee, agreeing to satisfy any resulting loss. It can accept albeit with reservations or conditions. Or, it can simply spurn the tender altogether. However, declining can have toxic repercussions—potentially making vouching a valuable and pecuniary balm to soothe an indemnitee who was unsuccessful in the primary case.

§ 7.2 The Lineage and Legacy of Vouching

Legacy is a stupid thing! I don't want a legacy.

—Bill Gates

Carbon dating by legal archaeologists has traced vouching to post-Jurassic English courts. It was first employed in property cases in which a defendant, sued for replevin, gave notice of the action to the party from whom it received warranty of title, accompanied by a request to come in and defend. If the warrantor failed to accept this invitation, the original defendant could bring a subsequent action against the warrantor and, to prevail, was required to prove only its attempt to vouch-in, plus the terms of the warranty. In later years, that titillating Order XVI of the 1873 English Judicature Act codified the vouching dogma. In following decades, the doctrine was substantially broadened to permit its use in all cases where a defendant claimed a right of contribution, indemnity, or similar cause of action. Subsequently, having stowed away on an English frigate, the procedure immigrated to the United States and for a period was the sole method here for nascent indemnitees to implement what passed for third-party practice. Such was the case until the adoption of the Federal Rules of Civil Procedure in 1938, wherein impleader was adopted as an alternative to vouching. Matt Neiderman & John L. Reed,

Vouching In under the U.C.C.: Its History, Modern Use, and Questions about Its Continued Viability, 23 J L & Com 1, 3–4 (2003).

In 1896, common-law vouching was granted "citizenship" status by the United States Supreme Court. In *Washington Gaslight Co. v. D.C.*, 161 US 316, 16 S Ct 564, 40 L Ed 712 (1896), an indemnity claim by the District of Columbia came before the Court. In the primary action, the plaintiff had sued the district for injuries incurred when she stepped into an open gas box maintained by Washington Gaslight. The district gave notice of the pending suit to Gaslight and requested that it assume the district's defense. As any shrewd indemnitor would do, Gaslight told the district to "go pound sand." In the subsequent indemnity action, the Court upheld the right of the district to use the findings in the underlying case to establish its right to indemnity. *Washington Gaslight Co.*, 161 US at 329–30.

In a case of first impression in this state—and thanks to Annie Anderson's unfortunate tumble on the Oregon coast (*see* § 3.2-1)—the vouching doctrine was adopted in *City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 136 P 645 (1913). Recall that the injured Ms. Anderson had sued only the City of Astoria for her injuries suffered in a fall from a railroad spur crossing. Promptly upon being sued, Astoria notified the railroad and tendered the defense. Reading from *Washington Gaslight*'s playbook, the railroad informed Astoria that there was an abundance of sand on the adjoining beach that it could proceed to go pummel (translated, "We ain't acceptin' no tender"). The case then proceeded to trial, resulting in a significant verdict for Annie. The city satisfied the judgment and then commenced an indemnity action against the railroad.

Having rejected the tender, the railroad was held collaterally estopped from contesting either the city's liability to Anderson or the amount of the damages—a fairly significant head start in establishing a claim for restitution. Binding the railroad with these facts was warranted by reason of an earlier Oregon decision, *Carroll v. Nodine*, 41 Or 412, 69 P 51 (1902), which had determined the proof necessary to bind a stranger with a judgment in a matter in which the stranger was not a party. In the end, the court held that Astoria was entitled to full restitution. *City of Astoria*, 67 Or at 550–51.

Vouching was further invigorated in 1955 by the Uniform Commercial Code. UCC 2-607(5) provides as follows:

> Where the buyer is sued for breach of a warranty or other obligation for which his seller is answerable over
>
> (a) he may give his seller written notice of the litigation. If the notice states that the seller may come in and defend and that if the seller does not do so he will be bound in any action against him by his buyer by any determination of fact common to the two litigations, then unless the seller after seasonable receipt of the notice does come in and defend he is so bound.

By and large, the UCC version mirrored the common-law rule, although, unlike its noncodified predecessor, it left no doubt that the notice must be in writing and must admonish the recipient of the consequences of a rejection. Oregon adopted this provision in 1961. Or Laws 1961, ch 726, § 72.6070; *see* ORS 72.6070(5)(a).

Not to be outdone by some erstwhile "Commercial Code," the American Law Institute decided to stake its own claim to vouching via the *Restatement (Second) of Judgments* (1982). Section 57 of this best-selling opus reads as follows:

(1) Except as stated in Subsection (2), when one person (the indemnitor) has an obligation to indemnify another (the indemnitee) for a liability of the indemnitee to a third person, and an action is brought by the injured person against the indemnitee and the indemnitor is given reasonable notice of the action and an opportunity to assume or participate in its defense, a judgment for the injured person has the following effects on the indemnitor in a subsequent action by the indemnitee for indemnification:

(a) The indemnitor is estopped from disputing the existence and extent of the indemnitee's liability to the injured person; and

(b) The indemnitor is precluded from relitigating issues determined in the action against the indemnitee if:

(i) the indemnitor defended the action against the indemnitee; or

(ii) the indemnitee defended the action with due diligence and reasonable prudence.

(2) If there is a conflict of interest between the indemnitee and the indemnitor regarding the injured person's claim against the indemnitee, so that the indemnitor could not properly have assumed the defense of the indemnitee, a judgment for the injured third person precludes the indemnitor only with respect to issues determined in that action as to which:

(a) there was no conflict of interest between the indemnitee and the indemnitor; and

(b) the indemnitee conducted a defense with due diligence and reasonable prudence.

(3) A "conflict of interest" for purposes of this Section exists when the injured person's claim against the indemnitee is such that it could be sustained on different grounds, one of which is within the scope of the

indemnitor's obligation to indemnify and another of which is not.

This section is a condensation of over a century of common-law exploits with vouching. Additionally, it specifically addresses the important and not infrequent occurrence of a conflict of interest wherein the third party's claim against the indemnitee has two or more theories of liability, one of which could call upon the indemnitor to defend and others that could not. The provocative and zestful annotations to section 57 provide a cornucopia of case authority that examines the abundance of issues arising when vouching is invoked.

§ 7.3 Do "Over-the-Counter" Vouches Comply with FDA Regulations?

It's more than magnificent—it's mediocre.

—Samuel Goldwyn

Prospective indemnitees, shopping at their neighborhood Common-Law Pharmacy for "indemnity-enhancement" products, should not be surprised to find a variety of vouching-in supplements. But *caveat tender*: check the "ingredients" before purchasing. Bare-bones, nonfat, gluten-free, generic vouches can often be deemed impotent in aiding restitution.

The general requirement for a proper tender is that the notice provide to a reasonable, neutral, objective person, being well informed (in other words, a nonlawyer), not only notice of the underlying litigation but also the opportunity to defend the matter. The primary concern is fairness to the indemnitor. *See, e.g.*, *Caterpillar, Inc. v. Trinity Indus., Inc.*, 134 P3d 881, 889 (Okla Civ App 2005). In the end, it should

furnish the putative indemnitor due process of law and be free from fraud and collusion. Some jurisdictions have rather strict requirements about when and how the tender must be made. *See, e.g.*, *Bloch v. Arrowhead-Puritas Waters, Inc.*, 798 F2d 1238, 1240 (9th Cir 1986). What constitutes due process in any particular situation will most likely vary depending on the facts of the specific case. Those wishing to imbibe the vouching elixir should read the label and consider these other additives.

§ 7.4 Method of Notification

> *Quite clearly, the drafters intended a loose test; a scribbled note on a bit of toilet paper will do.*
>
> —James J. White, Robert S. Summers & Robert A. Hillman, 1 *White & Summers' Uniform Commercial Code* § 12:21 at 1067 (6th ed 2012)

While we do not recommend the above method of notification (also known as a "Charmin Notice"), it does suggest certain vulgar and boorish means by which the recipient might reject (and return) the communication. That being said, the extract-of-vouching can come in a variety of forms. There is no universally mandated common-law requirement for the method by which the tender must be transmitted. Historically, the notice could be oral, written, even (presumably) relayed by carrier pigeon. Only if the tender is made under UCC 2-607 or under the common law of some states must the notice actually be in writing. *See, e.g.*, *Sampson v. Ohleyer*, 22 Cal 200, 211 (1863) (actual notice sufficient); *Bendix-Westinghouse Auto. Air Brake Co. v. Swan Rubber Co.*, 55 Cal App 3d 256, 127 Cal Rptr 571, 573–74 (1976) (statute required written notice). Presumably, in this age of computerized legal transactions, notification by email,

text, or some social networking site, while not particularly desirable, might suffice.

The trend in modern cases, even in the absence of a statutory requirement, is that the notice must inform the indemnitor of the consequences of rejecting the tender. *See* Matt Neiderman & John L. Reed, *Vouching In under the U.C.C.: Its History, Modern Use, and Questions about Its Continued Viability*, 23 J L & Com 1, 6–7 (2003). Outside of tenders made under ORS 72.6070(5), there is no requirement in Oregon that the vouch must either be written or apprise the recipient of the repercussions of a rejection. However, the attorney for an indemnitee in this state would be wise to err on the side of caution with respect to both the method of notification and the contents. Finally, there is authority that a tender sent to the indemnitor's insurance carrier is a sufficient vouch to support a subsequent estoppel claim. *See Cunningham v. Goettl Air Conditioning, Inc.*, 194 Ariz 236, 980 P2d 489, 494 (Ariz 1999).

§ 7.5 Timeliness of Notification

Timing has a lot to do with the outcome of a rain dance.

—Anonymous

An effective vouch should be administered as soon as possible. "Time-release" vouching capsules are risky; prejudicial dawdling can impede the entire reparation remedy. The tender should be transmitted to the indemnitor as soon as possible after the underlying litigation has been filed. A myriad of cases discuss the reason for a timeliness requirement. *See, e.g., U.S. Wire & Cable Corp. v. Ascher Corp.*, 34 NJ 121, 167 A2d 633, 637 (1961). After all, even a devilish indemnitor should be given the opportunity to be

involved in the discovery process, to conduct tactics and strategy with its own lawyer, and to make decisions about how the pretrial proceedings of the case should be conducted. *See, e.g.*, *United New York Sandy Hook Pilots Ass'n. v. Rodermond Indus., Inc.*, 394 F2d 65, 72–73 (3rd Cir 1968). In other words, give the indemnitor a fighting chance to botch the underlying case all by him- or herself. Remember: a delay in initiating the tender that prejudices the indemnitor in its desired manner of defending the underlying case is likely to render the vouch unenforceable. *See, e.g.*, *Dixon v. Fiat-Roosevelt Motors, Inc.*, 8 Wash App 689, 509 P2d 86, 90 (1973). However, delay, in and of itself, most likely will not scuttle the vouch; it's the prejudice that makes all the difference. *See, e.g.*, *Burkes Mechanical, Inc. v. Ft. James-Pennington, Inc.*, 908 So 2d 905, 911–13 (Ala 2004).

§ 7.6 Contents of the Notice

The right ingredients can create a legend.

—Coco Chanel

Before selecting a suitable "vouching balm" from the pharmaceutical shelf, the indemnitee-shopper should verify that the product is in compliance with applicable regulations, which generally require the following ingredients:

- Specifically identify the underlying case.
- Specify where the case is pending and when it was filed.
- State what has occurred in the case since filing.
- Identify the parties.
- Outline facts upon which the indemnitee contends that a right to indemnity exists.

- Inform the indemnitor of the consequences of rejection—i.e., it will be bound by facts determined in the underlying case.
- And, to be prudent, include a copy of the underlying complaint.

If for any reason there has been an appreciable delay between the filing of the primary case and the tender letter, the indemnitee should explain the reasons for the hiatus. Keep in mind, there is no prohibition against multiple tenders. If, during the progress of discovery, additional facts are revealed that would further justify indemnity, the vouch should promptly be renewed. Finally, the burden is on the indemnitor to prove any faults or deficiencies in the vouch. *Foremost-McKesson Corp. v. Allied Chem. Co.*, 140 Ariz 108, 680 P2d 818, 821 (Ct App 1983).

§ 7.7 Effects of Vouching-In—Warning: "Vouching Has Been Found to Cause Anguish and Anxiety in Laboratory Indemnitors"

One fire burns out another's burning.
One pain is lessen'd by another's anguish.

—William Shakespeare, *Romeo and Juliet*

Having rejected a valid tender, the flummoxed indemnitor might wonder what possible justification could deny him the right to relitigate *all* issues in the subsequent indemnity trial. Now in response, a sophisticated indemnitee, educated in the classics, might turn to his opponent and pompously observe, "nemo debet bis vexari pro eadem causa" (no one ought to be twice troubled for one and the same cause). On the other hand, a less refined indemnitee—whose vouch has also been snubbed—might tell the indemnitor that

"tu es nunc profundal in stercore" (you're now in deep doo-doo).

One underappreciated source of befuddlement and "misunderestimation" for an indemnitor is the effect of vouching on one over whom jurisdiction cannot be obtained in the underlying action. Think about that—even when the indemnitor can successfully prevent being joined in the underlying case on grounds of lack of jurisdiction, it cannot find haven from the long tentacles of the vouch. Though it might be hunkered down on the dark side of the moon, the indemnitor may find itself estopped to relitigate the liability of the indemnitee, the amount of the adverse judgment, and the entitlement to defense costs when jurisdiction is eventually obtained over the indemnitor in the later action for restitution. *See, e.g.*, *Master Blaster, Inc. v. Dammann*, 781 NW2d 19, 34 (Minn Ct App 2010). So note: "Jurisdiction is not a prerequisite for the effective application of [a tender]." *Step-Saver Data Sys., Inc. v. Wyse Tech.*, 912 F2d 643, 650 (3rd Cir 1990) (quoting Alphonse M. Squillante & John R. Fonseca, 3 *Williston on Sales* 291–92 (4th ed 1974)).

From the indemnitee's standpoint, the most salutary result of a tender would be that the indemnitor—out of business considerations, realistic assessment of its potential liability, or just plain litigation jitters—will accept the "invitation." Ideally, the indemnitee will then be relieved from any further financial burden in the underlying case, including future defense costs and satisfaction of any adverse judgment. (It is often a matter of negotiation whether, and to what extent, the indemnitee will insist on reimbursement for defense costs incurred up to the time of the acceptance of the tender.)

Rarely, however, do things evolve so simply. For example, indemnitor and indemnitee may negotiate some type

of joint defense arrangement. Or they might surreptitiously agree to share defense costs, perhaps allocate the burden of defending different issues in the primary case, or maybe agree to how satisfaction of an adverse judgment will be allocated. All these understandings may be attempted without the knowledge of the plaintiff (or other parties) who might delight in the fortuitous presence of an indemnitor bearing a deep pocket.

But indemnitor beware of the dangers of the Octopus. *See Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936, 939 (D Or 1961) (discussed in chapter 3). If the indemnitor rejects the tender (or fails or refuses to craft a palatable agreement with the indemnitee), it may find itself in the uncomfortable position of being collaterally estopped from litigating many of the elements of an indemnity claim in the subsequent action for restitution.

In some jurisdictions, "there's no goin' back." Once an indemnitor accepts the tender and assumes the defense of an action, it may not later revoke its acceptance or dispute its obligation to indemnify unless it has specifically reserved this right before assuming the defense. *Restatement (Second) of Judgments* § 57 cmt a (1982). (So I'd rather laugh with indemnitees than cry with indemnitors.)

§ 7.8 Vouching in the Era of Third-Party Practice: "Nostalgia Isn't What It Used to Be"

"Ladies and Gentlemen, welcome to the Oregon Museum of Legal Antiquities. I am the curator, Madam Third-Party Practice (although some call me Ms. Impleader). I'm excited to show you a recent acquisition to our reliquary . . . an intriguing artifact from our past. Come with me; it's over here between 'Replevin' and the 'Demurrer' display. I'll just get this 'Guest Passenger' relic out of the way and . . . Oh

my! Here it is! The VOUCHING-IN Exhibit—admittedly a bit dusty and outdated . . . but . . .”

Now hold on just a minute, Ms. Impleader—not so fast. We’re here to remove that vouching display from this museum. In spite of all your ‘third party’ swagger and bombast, you need to know that vouching is not just some ancient common-law curio; it remains a vibrant and contemporary tool in the arsenal of Oregon indemnity law.

Things are more like they are now than they have ever been.

—Anonymous

Okay . . . admittedly, in modern procedural practice, a potential indemnitor may be added to pending litigation as a third-party defendant. But that does not relegate vouching to some past era. Initially, it is generally recognized that the adoption of third-party practice was meant to “supplement” vouching-in, not to “supplant” it. *Uniroyal, Inc. v. Chambers Gasket & Mfg. Co.*, 177 Ind App 508, 380 NE2d 571, 581 (1978); *see, e.g.*, *Litton Sys., Inc. v. Shaw’s Sales & Serv., Ltd.*, 119 Ariz 10, 579 P2d 48, 51 (Ct App 1978); *U.S. Wire & Cable Corp. v. Ascher Corp.*, 34 NJ 121, 167 A2d 633, 636 (1961).

True, some courts discourage vouching when impleader is available. *See Caldwell v. Ogden Sea Transp., Inc.*, 618 F2d 1037, 1046 n 10 (4th Cir 1980); *Clarke v. Fid. & Cas. Co. of New York*, 55 Misc 2d 327, 285 NYS2d 503, 509–10 (Sup Ct 1967). One argument is that it hardly promotes judicial economy to engage in a second (indemnity) trial. Most jurisdictions, however, continue to recognize the procedure in the context of restitution. So assuming that

common-law indemnity is still alive and kicking, under what circumstance could this device be effectively utilized by the Oregon lawyer in today's environment?

As mentioned in § 7.7, there are instances where a potential indemnitor is not subject to the jurisdiction of the court in the underlying case. *See, e.g.*, *Master Blaster, Inc.*, 781 NW2d at 34. Here, vouching may be the sole method available to bind the indemnitor with relevant findings in the primary matter. But note: jurisdiction or not, and regardless of the availability of impleader, there is no downside to dispatching a tender letter, even if the indemnitee intends to eventually add the indemnitor as a third-party defendant.

Assuming jurisdiction is not an issue, an array of situations may exist whereby the third-party defendant route is deemed imprudent or is otherwise unavailable. For example, both federal and state procedural rules have limitations on when a defendant may join a third party as a matter of right. FRCP 14(a)(1) (within 14 days of serving the defendant's original answer); ORCP 22 C(1) (within 90 days after service of the plaintiff's summons and complaint on the defendant). After those deadlines have run, joinder is within the discretion of the court, which can deny the request for a variety of reasons, such as the untimeliness of the request, potential delay of an already scheduled trial, or injection of complicating issues into the underlying case. Further, even if the request to add the indemnitor is granted, the court has discretion to segregate the third-party claim for subsequent resolution. *See, e.g.*, *Uniroyal, Inc. v. Chambers Gasket & Mfg. Co.*, Ind App 508, 380 NE2d 571, 578–79 (1978). Moreover, don't forget the plaintiff in the primary case. The claimant may also object to the addition of another party on any number of grounds, including further delays and the potential increase in litigation costs.

In addition, tactical and strategic considerations on the part of the indemnitee may argue for vouching as opposed to the third-party avenue. The presence of a particular entity in the primary case —for example, a large national manufacturer—could well serve to increase a likely verdict (or even the settlement value). Similarly, the indemnitee might fear that the emergence of the third-party defendant in the primary case could tempt that entity to aid the plaintiff by pointing out potential liability issues against the indemnitee alone that the plaintiff has not discovered or alleged.

The indemnitee could also realize that a potential indemnitor is likely to be more cooperative and friendly to the defense if it can remain in the background as opposed to being dragged kicking and screaming into the underlying case. An indemnitor may be more inclined to assist indemnitees with information, experts, and the like if it does not need to retain local counsel, conduct discovery, and actively participate in a trial.

Finally, there is a more contemporary justification for concluding that vouching does not belong in the above-mentioned antiquity museum. Arbitration, as a form of alternative dispute resolution, has now become a fashionable alternative to an actual trial. Generally, there is no requirement that a formal lawsuit precede arbitration. A claimant and the potentially liable party (the indemnitee) can simply agree to arbitrate their dispute without the necessity of actually filing a formal complaint. In this situation, third-party practice does not apply, and a putative indemnitor cannot be forced to participate. So, in this forum, can the indemnitee vouch-in the indemnitor and later reap the benefits of collateral estoppel? Let’s see . . . .

§ 7.9 Vouching and Arbitration

A lean compromise is better than a fat lawsuit.

—George Herbert

Never arbitrate. Arbitration allows a third party to determine your destiny. It is a resort of the weak.

—Attila the Hun

Well maybe that was true in Attila's day, but it's certainly not in the context of modern practice in Oregon, where more civil disputes are arbitrated—voluntarily or otherwise—than are actually tried. So assuming that a valid tender has been made, in a subsequent indemnity case, can collateral estoppel bind the putative indemnitor when the underlying case was arbitrated? And, if so, what steps can the indemnitee take at arbitration to increase the likelihood that preclusion will apply?

A reasonable threshold for this topic might commence with the *Restatement (Second) of Judgments* section 84 (1982):

> § 84 Arbitration Award
>
> (1) Except as stated in Subsections (2), (3), and (4), a valid and final award by arbitration has the same effects under the rules of res judicata, subject to the same exceptions and qualifications, as a judgment of a court.
>
> (2) An award by arbitration with respect to a claim does not preclude relitigation of the same or a related claim based on the same transaction if a scheme of remedies permits assertion of the second claim notwithstanding the award regarding the first claim.

> (3) A determination of an issue in arbitration does not preclude relitigation of that issue if:
>
> (a) According preclusive effect to determination of the issue would be incompatible with a legal policy or contractual provision that the tribunal in which the issue subsequently arises be free to make an independent determination of the issue in question, or with a purpose of the arbitration agreement that the arbitration be specially expeditious; or
>
> (b) The procedure leading to the award lacked the elements of adjudicatory procedure prescribed in § 83(2).
>
> (4) If the terms of an agreement to arbitrate limit the binding effect of the award in another adjudication or arbitration proceeding, the extent to which the award has conclusive effect is determined in accordance with that limitation.

Of course, the predicate to application of any estoppel to the arbitration findings is a valid vouching-in of the putative indemnitor.

For Oregon counsel representing indemnitees, admittedly the handful of Oregon cases dealing with estoppel in the aftermath of a common-law tender all involved a trial in the primary litigation. However, nothing in those decisions appears to limit the preclusive effect of a timely vouch to only a judicial proceeding or to reject the general application of section 84 of the *Restatement*.

Take, for example, the saga of Ms. Anderson and the City of Astoria. *See* chapter 3. Assume that Annie and the city had decided to arbitrate her personal-injury claim. Consider further that both parties were represented by crusty, seasoned counsel and that the arbitrator they selected was an experienced attorney with knowledge of rights-of-way, railroad crossings, municipal ordinances, and bodily injury

litigation and had no disqualifying interest in the outcome of the dispute. Motions were filed, applicable law was researched, witnesses were called, vigorous cross-examination was conducted, and all critical issues were fully and fairly litigated. At the conclusion of the proceeding, the arbitrator, in holding for plaintiff, made written findings of fact. And finally, assume that local stenographer, ol' Mumblemore, recorded the proceeding in meticulous shorthand. Now if a valid tender had been rejected by the railroad, is there any justifiable reason why collateral estoppel should not apply in the subsequent indemnity claim? Could one seriously conclude that the mechanism or atmosphere of the arbitration provided the railroad any less due process or less of a full and fair hearing than would an actual trial? Other jurisdictions clearly lean toward the application of estoppel as long as the arbitration is enshrined with certain traits. *See, e.g., Universal Am. Barge Corp. v. J-Chem., Inc.*, 946 F2d 1131, 1137 (5th Cir 1991) (courts should be given broad discretion whether to apply collateral estoppel to arbitration findings).

The second circuit addressed the issue of "procedural differences" in *SCAC Transport (USA), Inc. v. S.S. Danaos*, 845 F2d 1157 (2d Cir 1988). While this was a maritime dispute, the rationale used by the court would seemingly be ubiquitous.

> First, we are not convinced that the procedural differences between arbitration and the judicial process preclude vouching. . . . It is not at all clear that the procedures afforded by arbitration are so invariably different from those afforded by courts that the indemnitors . . . are likely to be unfairly prejudiced if bound by the results of arbitration. . . . Absent a particularized showing of harm, procedural differences between arbitration and court adjudication are not a

> ground for denying a preclusive effect to the vouching-in notice.

SCAS Transport (USA), Inc., 845 F2d at 1162–63.

In the arena of securities law, the same arbitration issue arose in *Greenblatt v. Drexel Burnham Lambert, Inc.*, 763 F2d 1352 (11th Cir 1985). The court commented as follows:

> An arbitration decision can have res judicata or collateral estoppel effect, even if the underlying claim involves the federal securities laws. When an arbitration proceeding affords basic elements of adjudicatory procedure, such as an opportunity for presentation of evidence, the determination of issues in an arbitration proceeding should generally be treated as conclusive in subsequent proceedings, just as determinations of a court would be treated. Restatement (Second) of Judgments § 84(3) and comment c (1982).

Greenblatt, 763 F2d at 1360 (citations omitted).

In summary, relying on the guidance of these opinions and a small dose of common sense, the following "arbitration inventory" should be considered if a putative indemnitee is likely to urge collateral estoppel in the wake of an arbitration:

- Confirm that a valid tender has been made.
- Make certain that the issues on which preclusion will later be sought are clearly and precisely set forth in pleadings or other format.
- Choose a capable arbitrator or panel of arbitrators.
- Do not unreasonably limit discovery.
- The proceeding itself should be an arm's-length, contested proceeding with full opportunity to call and cross-examine witnesses.

- The arbitration should be untainted with collusion or fraud.
- The arbitrator's decision should be accompanied with specific, detailed, and written reasons for the result.
- The arbitration should be recorded in some acceptable format.

§ 7.10 Vouching and Summary Judgment

A shortcut is the longest distance between two points.

—Charles Issawi

What if the underlying case was resolved in favor of the claimant—and against the defendant-indemnitee—not by a full-blown trial, but by summary judgment? Assuming a tender has been made and rejected, can estoppel play any role in the later indemnity claim?

To begin with, we note that there is anecdotal evidence in Oregon that at some time in the past our court of appeals actually upheld trial courts' grants of summary judgment. So, perhaps a defendant-indemnitee should not be deluded into thinking it could never actually lose the underlying case via summary judgment. Amidst such shock and awe, could our indemnitee salvage relief through a vouch?

In theory there appears no reason to preclude summary judgment from the talons of preclusion if preceded by a valid tender. Few cases have addressed this issue, but judicial inertia seems to favor estoppel. In *Blommer Chocolate Co. v. Bongards Creameries, Inc.*, 635 F Supp 919 (ND Ill 1986), the plaintiff in the underlying litigation discovered salmonella in its chocolate products, caused by contaminated whey

powder. The whey was purchased from the defendant-indemnitee and manufactured by the putative indemnitor. A proper vouch had been made to, and rejected by, the manufacturer. In the primary case, the plaintiff obtained summary judgment against the indemnitee on a breach-of-warranty theory. *Blommer Chocolate Co.*, 635 F Supp at 922–23. In the subsequent indemnity action, the issue was whether estoppel would apply notwithstanding the absence of an actual trial in the underlying case. The court concluded as follows:

> [Indemnitee] does not cite and this court has not unearthed any case which squarely holds that a summary judgment binds a vouchee on the common issues. However, neither is there a case which squarely holds that it does not bind and we see no reason in the instant case why it should not. . . . On the basis of [the similarities between voucher and impleader], . . . a summary judgment would have binding effect. *What is required is an "arm's length good faith adversary proceeding."* . . . [Indemnitee] proceeded here as an adversary in good faith; indeed, this court expressly commented on its "valiant effort to avoid summary judgment."

Blommer Chocolate Co., 635 F Supp at 924 (emphasis added).

While the tender dispatched in the *Blommer* case was accomplished under UCC 2-607(5), there is no reason why the rationale used by the court would not apply equally to a common-law vouching claim. The vital ingredient is a bona fide adversarial action. And, as with arbitration, the application of estoppel will be enhanced if a record is kept, not only of written submittals but also of any oral argument before the court. Finally, the issues actually precluded via summary judgment will vary depending on the breadth of the

motion but would no doubt include the indemnitee's liability to the underlying claimant.

§ 7.11 Vouching and Settlements

Be careful you indemnitors
Now's not the time to smile,
For a vouch may cause "preclusion"
Though there hasn't been a trial.

—Book of Restitution

A negotiation is not the opposite of litigation. It is the most common outcome.

—Stephen D. Altman

In chapter 9, we deal with Oregon's befuddled and enigmatic pronouncements concerning the pleading and proof necessary to establish an indemnity claim when the underlying case has settled. But what if settlement has been preceded by a rejected tender? This section will explore whether, in such instance, a proper vouch can gain the indemnitee any benefit in its subsequent claim for indemnity.

> NOTE: We are not concerned here with any presumptions that might favor a settling indemnitee—only the sustenance, if any, of vouching-in.

Initially, the implication that vouching could have any preclusive vitality after a settlement seems counter to previous discussions about this stratagem. In such instance there has been no determination of fact, no conclusion of law, no so-called "full-dress" adversarial proceeding, and no judgment (consent judgments don't count).

> The [Seventh Circuit] held that when a person is vouched in to defend, he will be bound by the judgment, but only

> where the initial litigation was a "full dress, arm's length, good faith, adversary proceeding"; and that settlement by agreement of the parties [does] not meet that standard. Other courts have also held that suit could not be maintained under the "vouching in" provision when [an indemnitee] had settled the first suit.

CGM Valve Co., Inc. v. Gulfstream Steel Corp., 596 SW2d 161, 163 (Tex Civ App), *writ refused n.r.e.* (1980) (citations omitted).

Resolution of the underlying case by settlement does not invite compliance with traditional nuts and bolts of vouching—notwithstanding that the settlement may be followed by some form of judgment between the settling parties. In *Grummons v. Zollinger*, 240 F Supp 63, 75–76 (ND Ind 1964), *aff'd*, 341 F2d 464 (7th Cir 1965), the court held that the postsettlement judgment was little more than a collusive attempt by the parties to arrange the record for judicial recognition so as to use the record as a basis for indemnity in the second action. And another court has indicated that such conduct "present[s] a serious risk of collusion" and undermines the requirement that the indemnitor should be bound only after a "conscientiously conducted defense." *Gentry v. Wilmington Trust Co.*, 321 F Supp 1379, 1383 (D Del 1970).

In the realm of Oregon common-law indemnity, rarely is anything simple or straightforward. Nevertheless, settlement, after a rejected tender, would not seem to eliminate the necessity for the indemnitee to plead and prove all of *Fulton*'s requirements for restitution. *See* § 4.4; chapter 9.

But perhaps all hope is not lost for the settling Oregon indemnitee. Turns out that when Moses parted the waters of the Willamette River, back in 1972, to deliver *Fulton*'s three

restitutional commandments to our supreme court, just ahead of the pursuing indemnitors, he left behind a fourth edict regarding indemnity after a settlement: "Thou shalt not obtain restitution without validation." In other words, as a predicate to recovery, the prospective indemnitee must also plead and prove a justification for the amount paid in settlement. See chapter 9. But is there any authority in Oregon that might aid the indemnitee in this undertaking? Maybe so—because here comes Judge Kilkenny again, this time not with an Octopus, but now toting a "vouch."

In *Oregon Transfer Co. v. Tyee Const. Co.*, 188 F Supp 647 (D Or 1960), the indemnitee had entered into a contract involving construction of power transmission lines. In turn, it had subcontracted certain portions of the project to the indemnitor. In the course of the subcontract work, the subcontractor destroyed a bridge that the federal government had an easement to use. Under provisions of the prime contract, the United States demanded that the indemnitee repair the bridge. The indemnitee's subsequent tender to the subcontractor was rejected. Thereafter, the indemnitee constructed a new bridge and then commenced suit against the subcontractor seeking restitution for the expense of replacing the structure. *Oregon Transfer Co.*, 188 F Supp at 648. In contesting the indemnitee's claim, the subcontractor, among other arguments, claimed that it was necessary to show the government's actual loss and not merely what it cost to replace the bridge. Relying in part on the vouching-in, Judge Kilkenny made short shrift of this position:

> The undisputed evidence is that the [indemnitee] paid an independent contractor $7,250.00 for replacement of the bridge. Since [indemnitee] tendered the [subcontractor] the privilege of settling the claim, which offer was rejected by [the subcontractor], the [indemnitee] was placed in the position of making a good faith settlement

> and was not required to prove the exact amount of the actual damage. . . . Under such circumstances [the indemnitee] is entitled to recover the full amount of such expenditure without showing the precise damage.

Oregon Transfer Co., 188 F Supp at 651 (citations omitted).

Although *Oregon Transfer Co.* preceded *Fulton* by a decade, there is no good reason to think that Judge Kilkenny's rationale is not still good law. Assuming the indemnitor has rejected a proper vouch, the settling indemnitee should be required to show only that it made a reasonable, prudent, and good-faith settlement, without having the burden of proving the actual amount of the damage. *See Chicago, R.I. & P.R. Co. v. Dobry Flour Mills*, 211 F2d 785, 788 (10th Cir), *cert den*, 348 US 832 (1954). In determining whether the settlement was reasonable, the trier of fact might consider, among other things, the likelihood of recovery by the third-party claimant, as well as the reasonableness of the amount paid in relation to the alleged harm. *Chicago, R.I. & P.R. Co.*, 211 F2d at 788. Further, it does not seem unreasonable that the indemnitee's task should be less onerous when its tender has been rejected, leaving it alone to extricate itself from the underlying litigation.

Watch closely now, the Wizard said,
My sleight-of-hand illusion,
Transforming written notices
To estoppel and preclusion.

—Book of Restitution

Chapter 8: VOUCHING "OUT" OR "A FOOL AND HIS VOUCH ARE SOON PARTED"

This scheme to tender the defense
Still leaves me much in doubt.
To wonder if I'm vouching-in
Or simply vouching-out.

—Book of Restitution

I am totally opposed to vouchers.
I will fight them tooth and nail.

—Chuck Schumer

If it doesn't make sense,
You must find for the defense.

—Johnnie Cochran

§ 8.1 Where We Are Matters

Toto, I've a feeling we're not in Kansas anymore.

—Judy Garland, *The Wizard of Oz*

No, we're in Oregon. And though Kansas may have an affinity for vouching (*see, e.g.*, *Kennedy v. City of Sawyer*, 4 Kan App 2d 545, 608 P2d 1379, *rev'd*, 228 Kan 439 (1980)), our state does not. While enjoying a fertile and deeply rooted precedent in common law, there is a dearth of authority in this jurisdiction on the subject. Thus, in many respects, attorneys involved with the defense of indemnity claims in Oregon can arguably start with a virtually clean judicial slate in opposing or responding to a tender.

In the preceding chapter, vouching was touted as a dynamic sword in an indemnitee's scabbard. Well if so, what

shields are available to the shrewd and astute indemnitor to outflank and thwart this stratagem? With rare exception, the recipient of such a demand (the vouchee) should never involuntarily or unwittingly allow itself to be bound by the findings and outcome in the underlying litigation. Admittedly, in certain unique situations, the indemnitor might deem it appropriate to promptly accept a proffered tender. This may occur, for example, because of a business relationship with the indemnitee or from a desire to control the litigation for various strategic reasons. However, even here, this decision should be implemented on the indemnitor's terms—not from capitulating to the legal equivalent of a colonoscopy administered by an incipient indemnitee.

In this chapter we will explore the various tools and tactics that an Oregon indemnitor might consider in evaluating and foiling, or at least impeding, a tender of defense.

§ 8.2 Due to the Process, Due Process Is Due

Out here, due process is a bullet.

—John Wayne, *The Green Berets*

There is no universally accepted, common-law barometer mandating the specific form of an efficacious vouching-in notice. Indeed, the method of transmission can apparently be written, oral, or even divined from tarot cards—as long as the communication originates with the indemnitee. Various courts and authorities have endorsed certain required contents of the notification and opined that it must be ingrained with reasonableness; however, there appear to be no conventionally required catchwords or phrasing. Not surprisingly, what is reasonable with respect to a particular

vouch is not governed by any fixed rules but depends on the facts and circumstances of each case. *See* E.H. Schopler, Annotation, *Sufficiency and Timeliness of Notice by Indemnitee to Indemnitor of Action by Third Person*, 73 ALR 2d 504 (1960) (updated periodically).

In evaluating the sufficiency of a vouching-in attempt, the lawyer for an Oregon indemnitor should recall that this device is impregnated with principles of equitable restitution and due process. Always the question is: does the tender fully and fairly inform the indemnitor of the claim, extend a reasonable opportunity to defend the underlying litigation, and advise the consequences of a refusal? If any of these elements are lacking, the tender may well be inexorably flawed.

§ 8.3 Refusing the Vouch: "Houston, Do We Really Have a Problem?"

> *I try not to get involved in the business of prediction. It's a quick way to look like an idiot.*
>
> —Warren Ellis

It's no understatement that in many instances, receipt of a vouching-in demand requires a clairvoyant's ability to predict—at an early stage—both the eventual outcome of the original lawsuit as well as the merits of a threatened indemnity claim. Indeed, the tender may well be the prospective indemnitor's first notice of the underlying litigation. Yet the vouch may caution that if it is not accepted within an impossibly short time frame, then collateral estoppel and issue preclusion will rain down on the indemnitor like a plague of locusts. So the vouchee, now under duress of a short, arbitrary, and unrealistic deadline, may (unfairly as it turns out) feel caught between the

proverbial rock and a hard place, thinking it must respond with haste either to unconditionally accept the tender or reject it.

In rare situations, an early decision by the indemnitor may be warranted or can intelligently be made. Most tenders, however, fall within a vast, problematic wasteland of ambiguous foreboding and legal uncertainty. In these situations, what options and recourse are available to the indemnitor?

If the indemnitor accepts the tender, it will generally be responsible for all further defense costs and must satisfy any adverse judgment in the underlying case. On the other hand, if the indemnitor—out of uncertainty, strategy, or just plain willingness to roll the dice—simply chooses to ignore or reject the tender, what's the worst that can happen? *It will be responsible for defense costs and must satisfy any adverse judgment in the underlying case.* So a rejection is not exactly going out on the legendary limb—even postulating an unfavorable outcome. (In any given case, one can theorize arguments pro and con about the merits of this conclusion. Nevertheless, as a general proposition, there may not be many drawbacks in refusing to accept the tender or ignoring it altogether.)

Remember that an indemnity claim exists independently of whether or not a tender was made. *See Illinois Cent. R. Co. v. Blaha*, 3 Wis 2d 638, 89 NW2d 197, 201 (Wis 1958). The only additional menace posed by the vouch is the possibility of precluding the relitigation of certain findings made in the underlying case. *See Oates v. Diamond Shamrock Corp.*, 23 Mass App Ct 446, 503 NE2d 58, 59, *rev den*, 399 Mass 1104 (1987). But isn't this hazard more optical illusion than real? ("Caution: Objects in the mirror of preclusion are farther away than they might

appear.") In the majority of instances, the underlying case will either be settled or otherwise resolved without trial or any findings of fact. Or, contrariwise, the putative indemnitee might actually prevail in the primary trial, ironically impairing any subsequent claim for restitution. See chapter 10 regarding recovery of defense costs. A skittish indemnitor who chooses to accept the tender will thereafter shoulder the entire defense burden in the primary case—relinquishing a lot of "quid" without gaining much "pro quo."

§ 8.4 The Indemnitee's "Long and Winding Road"

So many roads. So many detours. So many choices. So many mistakes.

—Sarah Jessica Parker, *Sex and the City*

So is this vouching-in artifice—as suggested in the last chapter—really the voucher's winning ticket in the restitutional lottery? Can our putative indemnitee simply crank out a tender letter, then lazily recline as a "vouch potato" waiting for that nefarious indemnitor to come knocking at its door? Very unlikely. Take a case where a tender has been made and rejected, followed by a judgment in the underlying trial adverse to the indemnitee; the judgment is then satisfied, and certain findings of fact in that case are consequently deemed binding on the potential indemnitor. What happens next? How does the claim for indemnity proceed? There are at least four hurdles that this hypothetical indemnitee, even armed with a vouch, must now navigate in its journey toward restitution:

1. *Play it again Sam.* Collateral estoppel or not, there still must be a second trial on the indemnity claim. Further, this second litigation will have to occur in a venue that has jurisdiction over the indemnitor.

2. *The Great Pre-Tender.* In the indemnity case, the vouching-in machination itself (be it a letter, email, oral communication, smoke signal, etc.) must be shown to comply with the litmus test for equity and due process, including timeliness and adequacy of the vouch with a reasonable opportunity to assume the defense.

3. *An Illusion of Preclusion.* The effect of the vouch constitutes an estoppel only regarding those factual issues decided in the underlying case. But are the liability issues in the first trial really identical to those in the indemnity case? In many instances, the critical (and more complex) elements necessary to establish a right to indemnity will still have to be litigated with all the attendant pleadings, discovery, motions, and the like. *See, e.g.*, *City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 541–46, 136 P 645 (1913). Other issues may have to be litigated as well, such as a claim by the indemnitor that a conflict prevented acceptance of the tender. Or there may be a dispute about whether the underlying case was, in fact, an arms-length, full-dress, good-faith proceeding and free of collusion between the indemnitee and the third-party claimant.

4. *You've got to know when to fold 'em.* Perhaps most importantly, the indemnitee will not be entitled to its attorney fees and costs incurred in the indemnity trial (as opposed to the defense costs it incurred in the underlying case). Even armed with a vouch, a cost-conscious indemnitee may simply decide that the unreimbursed expense of prosecuting the indemnity claim is but a fool's errand—a merry chase not worth the potential reward.

So in spite of assistance from "Sir Vouch," with all his common-law ancestry, much time, effort, expense, and uncertainty lies ahead for the putative indemnitee. Thus the Oregon indemnitor could hardly be impugned for deciding

simply to call the indemnitee's bluff and reject the tender—even in cases where ultimate liability for restitution may otherwise be reasonably certain.

§ 8.5 "Return to Tender": Defenses to the Vouch?

I like every aspect of defense; I enjoy shutting down the offense.

—Richard Sherman

If the above issues are not problem enough for the nascent indemnitee, the following vouching defenses and tactics can make its life even more despondent.

§ 8.5-1 Is It Really a Tender?

The first line of defense for the indemnitor is to carefully review the tender itself. What exactly is the indemnitee seeking? What is contained in the vouch, and what is not? An operative tender must clearly contain an "unequivocal, certain and explicit demand to undertake the defense." *Litton Sys., Inc. v. Shaw's Sales & Serv. Ltd.*, 119 Ariz 10, 579 P2d 48, 52 (Ct App 1978). The indemnitee must, in turn, be willing to relinquish all its rights with respect to defending that claim. (He who accepts the tender calls the tune.) Merely advising the indemnitor of the underlying litigation is not sufficient. Neither is simply suggesting that consideration be given to accepting the defense, inquiring of the indemnitor what it intends to do with the third-party claim, nor suggesting that the parties might be better off arbitrating their dispute. *See, e.g.*, *Lester Bldg. Assocs., Inc. v. Davidson*, 514 A2d 1100, 1103 (Del Ch 1986); *U.S. Wire & Cable Corp. v. Ascher Corp.*, 34 NJ 121, 167 A2d 633, 636–37 (1961). Requesting that the indemnitor "cooperate" and "participate" in the original claim will not satisfy the

vouching requirement. *Berg Chilling Sys., Inc. v. Hull Corp.*, 2002 WL 31681955 at 3–4, 2002 US Dist LEXIS 22902 (ED Pa 2002). Also, the tender must not contain demands and conditions such that by assuming the defense, the indemnitor would forfeit its own legal rights or reservations. *See Restatement (Second) of Judgments* § 57 cmt e (1982).

Historically, there was disagreement among jurisdictions on whether the vouch must inform the indemnitor of the consequences of its failure to defend. Schopler, 73 ALR2d 504, § 12, 519–21. More recently, however, the majority rule—and the one most consistent with due process—requires this admonition. Matt Neiderman & John L. Reed, *Vouching In under the U.C.C.: Its History, Modern Use, and Questions about Its Continued Viability*, 23 J L & Com 1, 7 (2003). The absence of such a warning may well give the Oregon indemnitor a defense to the tender.

§ 8.5-2 What Did the Indemnitor Know and When Was It Known?

For the vouching-in rule to apply, the putative indemnitor—at the time of the tender—must be in actual or constructive possession of facts that manifestly point to its ultimate liability. *Humble Oil & Ref. Co. v. Philadelphia Ship Maint. Co.*, 444 F2d 727, 734 (3rd Cir 1971). In *Dixon v. Fiat-Roosevelt Motors, Inc.*, 8 Wash App 689, 509 P2d 86, 90 (1973), the court likewise held that before the vouching-in doctrine can be held to bind a nonappearing party, "the facts *at the time of the tender of defense* must demonstrate that liability would eventually fall upon the indemnitor" (emphasis added). So the date of the tender is critical. What facts did the vouchee know, or should have known, about the litigation at that particular time? Such knowledge may come from the vouch itself or from other sources. If a reasonably informed assessment of its liability cannot

contemporaneously be made, the tender may well be defective. (Of course, the relevant time may be a moving target if additional or supplemental tenders are made.) Keep in mind also that the date when a vouch is deemed operative may also control the time from which the indemnitee may be entitled to recover defense costs incurred in the underlying case. The longer the indemnitor can push back the effective vouching-in date, the less defense-cost exposure there might be.

Humble Oil would suggest that upon receipt of the vouch and in assessing the liability issue, the indemnitor is not required to thereafter embark on its own research and investigation. It is incumbent on the indemnitee, when it authors the tender, to ensure that the vouchee will have adequate facts and information to make an informed decision on whether to accept the tender.

On the other hand, the more cautious indemnitor may be inclined to respond to the vouch by requesting additional information or material from the vouchor about the underlying litigation in order to intelligently assess its own liability. Unless accompanying the tender letter itself, the indemnitor might reasonably request such things as copies of the pleadings, motions, expert reports, witness statements, documents produced, interrogatory responses, deposition summaries, and the like. An indemnitee who refuses to provide information that would reasonably aid the indemnitor in its evaluation runs a substantial risk that its attempt at vouching-in will self-destruct.

§ 8.5-3 Time Is of the Essence

Another effective defense for the indemnitor is the timeliness of the tender. The generally accepted rule is that the “notice should be given so shortly after the institution of suit as to permit a complete control of pretrial proceeding by

the indemnitor." *U.S. Wire & Cable Corp. v. Ascher Corp.*, 34 NJ 121, 167 A2d 633, 637 (1961). In *Bloch v. Arrowhead-Puritas Waters, Inc.*, 798 F2d 1238, 1240 (9th Cir 1986), the court deemed the vouch unenforceable because it was sent some 20 months after the suit was filed and after substantial discovery had occurred. "Basic fairness and common sense" dictate that the tender must be timely enough so that the indemnitor can protect its own interests or at least minimize its exposure. *United New York Sandy Hook Pilots Ass'n v. Rodermond Indus., Inc.*, 394 F2d 65, 73 (3d Cir 1968). The "indispensable element" of the tender is notice "sufficient to give the indemnitor a meaningful opportunity to defend. . . . The primary concern is fairness to the indemnitor." *Caterpiller, Inc. v. Trinity Indus., Inc.*, 134 P3d 881, 889 (Okla Civ App 2005) (quoting *In re Cooper Mfg. Corp.*, 131 F Supp 2d 1238, 1253 (ND Okla 2001)).

It would appear from the cases that the issue of timeliness is viewed from the indemnitor's point of view—not the indemnitee's. If the indemnitor can show prejudice from the late notice in receiving the tender, it is immaterial that this delay was not due to any dalliance on the part of the indemnitee (for example, the inability of the indemnitee to identify the putative indemnitor until after substantial discovery has been completed).

§ 8.5-4 No One Can Serve Two Masters

The most common defense to an otherwise proper vouch—and the one perhaps most difficult to construe—involves the potential for a conflict of interest should the indemnitor accept the tender. One would think that the presence of a conflict should permit the indemnitor to reasonably refuse the vouch without incurring an estoppel or preclusion to contest issues decided in the underlying case. However, as explained below, prepare to be surprised.

Succinctly put, a conflict exists when the underlying third party's claim against the indemnitee is premised on different theories of liability (or "counts"), one that is within the indemnitor's obligation to indemnify and another that is not. *Restatement (Second) Judgments* § 57(3) (1982); *see Bridgestone/Firestone N. Am. Tire, L.L.C. v. A.P.S. Rent-A-Car & Leasing, Inc.*, 207 Ariz 502, 88 P3d 572, 579–80 (Ct App 2004). Obviously it would be in the best interest of the indemnitee that liability against it be on a ground within the indemnity obligation. The converse would be true with respect to the indemnitor. Neither could defend the underlying action in a manner that would protect the interest of the other. Under these circumstances, even if a proper vouch has been made, the indemnitor is not obligated to defend, thus sacrificing its own interests, and should therefore be free to contest liability in any subsequent indemnity litigation.

But indemnitor beware and proceed with caution; there's a rock and a hard place directly ahead. Clearly there are both legal and ethical reasons why the indemnitor cannot accept the tender when there is a conflict. On the other hand, though precluded from accepting the vouch, the putative indemnitor may nonetheless be estopped from relitigating certain issues in the underlying litigation if, with respect to those issues, the indemnitor's interests were represented with "due diligence and reasonable prudence." *Restatement* § 57(2). One court has defined the test in terms of whether the indemnitor's interests were "adequately represented" in the primary case. *SCAC Transport (USA) Inc. v. S.S. Danaos*, 845 F2d 1157, 1162 (2d Cir 1988). Ouch! So having received a tender that it has no choice but to reject, the indemnitor can nevertheless be estopped as long as the indemnitee (who of course plans on subsequently suing the indemnitor) does a "reasonable" job—or maybe just an "adequate" job—in

protecting the indemnitor's interests. It apparently is not relevant that the prospective indemnitor may not be satisfied with merely a "reasonable" effort, or an effort not devoid of "diligence." Maybe the indemnitor might have preferred an "exceptional" or an "outstanding" defense. A shame—but its hands are tied, and it can only sit back and digest the adequate or perhaps mediocre endeavor put forth by the indemnitee.

Here are some thoughts and suggestions on how an indemnitor might deal with the threat of estoppel when a conflict precludes acceptance of the tender.

First. As noted in chapter 7, the very function or objective of vouching-in is to put a potential indemnitor on notice of a claim in order to give it the opportunity to step in and assume the defense of the underlying litigation. However, if legally and ethically acceptance is out of the question, but estoppel can nevertheless apply (assuming an "adequate" or "reasonable" effort by the indemnitee), then one could ask: why is a tender necessary? Why even put the indemnitor on notice, since the conflict precludes it from taking any action? Why not just decree that notice or vouching from the indemnitee is simply superfluous? The indemnitee can therefore proceed to ("adequately") defend the primary case and then subsequently surprise the indemnitor with a suit for restitution—a suit that can be armed with collateral estoppel.

Nonsense. In this instance, counsel for the Oregon indemnitor should vigorously take the position that the conflict, by definition, precludes the use of a vouch—period! Thus estoppel would not be available—no matter how diligent or reasonable was the defense in the primary case.

Second. Earlier it was observed that the DNA of vouching consisted of equity and due process. *See* § 8.4. Yet binding a nonparty with estoppel when its hands are ethically tied is the very antithesis of those concepts. While legal

authorities such as section 57 of the *Restatement (Second) of Judgments* endorse this result, very little attention has been given to the putative indemnitor's ethical bind in these situations. Oregon counsel would be well advised to focus on the ethical aspect of this issue. If professional canons prohibit the acceptance of a tender—prohibit the right to appear and defend—then basic principles of fair play and reasonableness ought to preclude any adverse repercussions.

Third. Counsel for the Oregon indemnitor is encouraged to consider a further two-pronged attack on any attempt to enforce issue preclusion in this conflict dilemma. On the one hand, consider whether the indemnitee's defense in the primary trial was, in fact, conducted with due diligence or was adequate. (For example, were the proper experts called? Was appropriate discovery done? Were well-suited and well-timed motions made? And so on.) To date, Oregon has not dealt with this issue in the appellate arena, so counsel here is free to argue that the standard should be something greater than merely an "adequate" or "reasonable" effort. The other side of this coin is for the indemnitor to show that the result in the underlying case (at least the result on the issues for which an estoppel is sought) would have been different had it been allowed to accept the tender and assume the defense.

§ 8.5-5 There Can Be No Preclusion If There's Collusion

The Due Process Clause of the United States Constitution protects the right to a full and fair hearing on an issue, and therefore collateral estoppel cannot be applied against a party regarding issues not fully and fairly litigated. *Blonder-Tongue Laboratories, Inc. v. Univ. of Illinois Found.*, 402 US 313, 329, 91 S Ct 1434, 1443, 28 L Ed 2d 788 (1971). And further, one must inquire about whether there are any

special circumstances that would render application of estoppel inappropriate or unfair. *See Parklane Hosiery Co., Inc. v. Shore*, 439 US 322, 326–32, 99 S Ct 645, 649–52, 58 L Ed 2d 552 (1979). As a procedural matter, the issue of whether the defense in the primary case was reasonable or diligent, or was the product of fraud or collusion, is likely an affirmative defense that the indemnitor must plead and prove. *See, e.g.*, *Foremost-McKesson Corp. v. Allied Chem. Co.*, 140 Ariz 108, 680 P2d 818, 821–22 (Ct App 1983).

Don't be so smug, Indemnitee,
Your vouch is a debacle.
Rest assured that Hell will freeze,
Before you get estoppel.

—Book of Restitution

Chapter 9: PLEADING AND PROVING INDEMNITY AFTER SETTLEMENT OF THE THIRD-PARTY CLAIM

When settlement is prudent,
Indemnity can be tough.
Since likely liability
Will never be enough.

—Book of Restitution

§ 9.1 Another Imaginary Dialogue

[So Indemnitee has settled the underlying case and has now sued Indemnitor for restitution seeking recovery of both the settlement sum as well as its defense costs. Overheard is the following colloquy just before commencement of trial.]

Indemnitor: Well, here we are Indemnitee. You're suing me for restitution, but you got real problems, my friend. Since you settled the personal injury case (which I allege you paid as a 'volunteer'), there were no findings of fact, and so no estoppel and no preclusion. So now you gotta prove ALL of those *Fulton* elements . . . and . . .

Indemnitee: Don't lecture me on the law, Indemnitor. OK, I paid the Plaintiff, but it was your defective widget that caused the injury, so . . .

Indemnitor: . . . and furthermore, since there have been no findings of fact, your so-called tender letter ain't worth the crayons you wrote it with.

Indemnitee: Well now just suppose you were an idiot and suppose you were an Indemnitor . . . but I repeat myself. And guess what. I just may have a surprise or two up my sleeve.

Indemnitor: I'll tell you what's gonna be up your sle . . . but . . . hey . . .wait a minute. . . . What's that in your pocket? . . . What are you hiding there?

Indemnitee: Ahh, . . . ahh . . . it's nothing, really . . . just some ol' *inference*. You know, something that the jury could *infer* from the evidence.

Indemnitor: That's no *inference*, you wily miscreant. That's a *presumption*—you got a *disputable presumption* in your back pocket. I should have known better than to deal with Indemnitees.

§ 9.2 Admitting Guilt Is a Tricky Business

The minute you settle for less than you deserve, you get even less than you settled for.

—Maureen Dowd

Self-Incrimination
We each begin in innocence.
We all become guilty.

—Leonard F. Peltier, *Prison Writings*

In the realm of pursuing indemnity, few challenges are as daunting for the indemnitee as when it has settled the underlying claim before an adjudication of its own liability and then attempts to recover the settlement amount in an indemnity action. He or she soon learns just how illusory is the law's supposed affinity for settlements.

A cardinal rule to remember in such circumstances is the following: When the indemnitee's liability to the underlying claimant has not been established by a judgment, facts establishing its actual liability to the claimant must be pleaded and proven in the subsequent indemnity action.

Fulton Ins. Co. v. White Motor Corp., 261 Or 206, 212, 493 P2d 138 (1972). This is simply an application of the ubiquitous rule that to obtain common-law indemnity, the indemnitee must prove both its own and the indemnitor's liability to the third-party claimant. See *Restatement (First) of Restitution* § 76 (1937); *see also* chapter 4. In other words, the indemnitee can't "take the Fifth" but must admit its own "guilt."

§ 9.3 Finding *Fulton* (at Last)

Delay is preferable to error.

—Thomas Jefferson

It took almost 60 years after *City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–40, 136 P 645 (1913), introduced indemnity to Oregon for the Oregon Supreme Court to tell us exactly what was required to prevail in such a common-law action. So let's start here with *Fulton*—wherein we were told the putative indemnitee must plead and prove that "(1) he has discharged a legal obligation owed to a third party; (2) the defendant was also liable to the third party; and (3) as between the claimant and the defendant, the obligation ought to be discharged by the latter." *Fulton Ins. Co.*, 261 Or at 210.

In *Fulton*, the plaintiff's insured was the owner-operator of a dump truck that was involved in an accident when the suspension under the steering axle suddenly and unexpectedly failed due to a manufacturing defect. In turn, this caused a load of gravel to spill onto a nearby vehicle, killing one occupant and injuring several others. The accident spawned claims of wrongful death, personal injury, and property damage. The insurer for the owner-operator settled

these claims and thereafter, as subrogee, brought an action for indemnity against the truck manufacturer, asserting claims of both strict products liability and negligence. The restitution action was tried with a jury verdict in favor of the indemnitee for the full amount of the damages sought. The manufacturer-indemnitor appealed. *Fulton Ins. Co.*, 261 Or at 209–10.

Fulton Insurance Company's complaint had described the circumstances and cause of the accident, the institution of the claimants' action against Fulton's insured, and the settlement of that action. The complaint further alleged that the settlement amount was reasonable in light of the *probable* liability of plaintiff's insured. However, what the pleading did not allege were any facts showing that the insured was *actually* liable for the accident. For all the indemnitee's complaint showed, the defect in the truck's suspension was entirely undiscoverable by the owner-operator or anyone else. Yet the indemnitor, White Motor, went through trial without contesting this defect in the complaint, raising it only for the first time on appeal.

The supreme court noted that both pleading and proof that the indemnitee had discharged a liability it owed to a third party was an indispensable element of a common-law indemnity claim. Here, the indemnitee's failure to allege a basis for its actual liability to the claimants was a fatal omission. *Fulton Ins. Co.*, 261 Or at 214. The allegation of the indemnitee's "probable liability" was insufficient to salvage the pleading. *Fulton Ins. Co.*, 261 Or at 212. Actual liability—not probable, not likely, not maybe—must be alleged and established.

In spite of this fatal lapse, as we observed in chapter 4, the court was in a charitable mood and refused to reverse the judgment. It noted that the indemnitor did not contest the sufficiency of the complaint until after the judgment, in which

case the court was inclined toward a liberal construction in favor of the plaintiff. It observed that there was no prejudice to the indemnitor, as it had tried the case on the theory that Fulton's insured was "primarily" at fault for the accident, and any defect in the pleadings was cured by the evidence. It was clear to the court, based on the record, that Fulton could have amended the complaint to supply the necessary allegations had the pleading been challenged at the proper time. *Fulton Ins. Co.*, 261 Or at 219–21. Further, there was evidence presented at trial that the owner of the truck could have discovered the defective suspension using the "highest degree of care"—fault that would be deemed "passive" as opposed to the "active" fault of the manufacturer who sold the defective product. *Fulton Ins. Co.*, 261 Or at 222–24 & n 5.

Less than four months later, the Oregon Supreme Court had occasion to reinforce its *Fulton* dictates. *Owings v. Rose*, 262 Or 247, 497 P2d 1183 (1972), involved two separate claims for indemnity by the plaintiff-architects against a consulting engineering firm—one of which primarily involved a statute-of-limitations issue (discussed in chapter 6); the other a pure indemnity action (discussed here). In this latter claim, the architects had been retained to oversee the construction of a manufacturing plant. Part of the project included the installation of a "superior floor" in the new building. *Owings*, 262 Or at 250. Because the architects had no structural engineers on staff, they retained the defendants to design the floor. Shortly after completion of the project, the floor began to crack and erode. The owner, Omark Industries, sued the architects and others for breach of contract due to the deteriorating floor. The case was eventually resolved with the architects contributing the majority of the settlement amount. The architects then sought indemnity from the engineering firm to recoup its settlement payment plus defense costs. A

verdict and judgment in favor of the architects was eventually affirmed. *Owings*, 262 Or at 250–51.

On appeal, the court first reviewed the common-law indemnity claim elements that it had articulated in *Fulton*. *Owings*, 262 Or at 252. It then addressed the defendant-engineers' principal argument that the architects' own negligence contributed to the damage and thus they were not entitled to indemnity. The court disagreed. Arguably, it could have decided the case based on a traditional "active–passive" analysis. However, there was an easier path. The court held that under the evidence, the jury could have found the architects liable to the owner without also finding any negligence on their part—in other words, that the architects were vicariously liable to Omark without any personal fault (active or passive) on their part. *Owings*, 262 Or at 253–55. The court held that the *Fulton* elements were met, and indemnity was upheld.

What both *Fulton* and *Owings* demonstrated is that settlement of the underlying case is not a bar to indemnity. Admittedly, it can get complicated, but if the required pitfalls are bridged, then restitution will be permitted. *Cf. Maurmann v. Del Morrow Const., Inc.*, 182 Or App 171, 48 P3d 185 (2002).

Whatever advice you give, be short.

—Horace, *Ars Poetica*

It does not appear that the plaintiff's insured in *Fulton* had tendered the case to the manufacturer upon learning the basic parameters of the accident and of the action brought against it. A timely tender might have prevented the

subsequent litigation. In other words, had White Motor realized that it would be bound by certain findings of fact had a trial proceeded against Fulton's insured, it may well have been inclined to accept the tender or participate in the settlement.

§ 9.4 Hitches and Hurdles after Settlement

Compromise is the best and cheapest lawyer.

—Robert Louis Stevenson

We focus here on the thorny obstacles confronting an indemnitee who, when facing perhaps a thin but highly potent liability exposure, makes a choice to proceed with a settlement. But, by so doing, it risks being subjected to the assertion that the settlement was made as a "volunteer," or at least without any reasonable basis to suggest it was actually liable to the claimant, or that the amount paid was excessive. The *Fulton* decision is stark evidence that the road to restitution is, in some ways, more easily traveled after a loss than after a settlement. While settlements are encouraged for any number of reasons, they raise several impediments for one seeking restitution—obstacles that are avoided if the indemnitee has tried and lost the underlying claim. Here are three somewhat veiled roadblocks facing the settling indemnitee who now seeks restitution:

First. The indemnitee must plead and prove its own actual (though passive) liability to the original plaintiff. As in *Fulton*, this can involve a full-scale trial on the merits with attendant discovery, depositions, expert witnesses, and the like. On the other hand, recall that an indemnitee who has lost the underlying case (but has appropriately vouched in the indemnitor—see chapters 7 and 8) will have the benefit of

collateral estoppel; its liability to the original plaintiff has already been established and cannot subsequently be disputed by the indemnitor. There is no such preclusion for the indemnitee who settles. Also, remember that the pleading must allege facts supporting the indemnitee's liability—and not merely bare-bones assertions of such fault.

Second. The same problem exists with respect to the amount of the settlement. The indemnitee will have to establish the reasonableness of the amount paid in settlement. An excessive settlement may invoke a defense that the amount was indicative of something other than the discharge of a legal obligation owed by the indemnitee (*Fulton*'s first requirement). The reasonableness may be clear from the evidence (*see Owings*, 262 Or at 257) but in some cases may involve expert witnesses such as attorneys or medical personnel. All this is avoided by the indemnitee who has (vouched and) lost the underlying case, because the verdict and judgment reflect the indisputable sum of the prospective indemnification.

Third. We know that when the indemnitee has lost the primary case and successfully prosecutes a later claim for indemnification, it is entitled to its reasonable and necessary defense costs incurred in the underlying litigation. Remember, though, that the indemnitee is not entitled to its fees and costs incurred in the ensuing indemnity action. However, when a settlement has been reached with the original plaintiff—especially if early in the claim process—much discovery, fees, and costs may need to be incurred to successfully prosecute an indemnity case—none of which the indemnitee will be able to recover.

Of course, the above considerations are in addition to the indemnitee's obligation to plead and prove that the

indemnitor was also liable to the claimant and that the indemnitor ought to be ultimately responsible.

Few would fault an insurer, such as in *Fulton*, for compromising and settling claims of third parties despite the absence of a certain basis that its insured was liable. (As if anything is certain with respect to litigation.) This is especially true given the affirmative obligation of insurers to make good-faith efforts to resolve disputed claims. The flip side, however, is that such settlements can often result in complexities and significant expenses if subsequent indemnity actions are contemplated.

§ 9.5 Complimentary Advice (and Worth Every Penny)

She generally gave herself very good advice, (though she very seldom followed it).

—Lewis Carroll, *Alice's Adventures in Wonderland*

For a settling indemnitee who now seeks restitution from a recalcitrant indemnitor, are there tactics available that might make the task less daunting? Or must our indemnitee be prepared to embark upon full-scale litigation, shouldering the burden to establish, in addition to its own liability to the underlying claimant, that the indemnitor was also liable and that the latter's liability was primary or active? We suggest several tactics that may ease the pain.

Tactics mean doing what you can with what you have.

—Saul Alinsky

Tactic # 1: *Tender*

No one can predict the outcome of litigation, particularly at an early stage. Will the case be dropped, won at the pleading stage or via summary judgment, tried and won, tried and lost, appealed, or remanded, or will it have some other outcome? Granted, after a settlement, the existence of a prior tender will generally not provide any preclusion or estoppel with respect to *Fulton*'s indemnity elements. But in the time period during which a valid tender should be sent, the putative indemnitee most likely has little idea whether a settlement will eventually be made. Indeed the case ultimately may not settle—even in the face of every earnest attempt to effect a compromise. So do not forego this mechanism even if it appears from the outset that settlement is likely. Furthermore, as discussed in chapter 7, there is authority—at least in some jurisdictions—that the burden of proof for the indemnitee after settlement may be eased somewhat if a proper tender has been made.

Tactic # 2: *Statutory Disputable Presumptions*

Alright, here's where things get a bit mischievous. Turns out there are certain statutory disputable presumptions that an indemnitee might invoke to augment proof of its actual liability to the third-party claimant with whom a settlement has been concluded. Under the Oregon Evidence Code, these civil presumptions are collected in OEC 311 (ORS 40.135). Certain of these presumptions may materially aid in proving the indemnitee's actual liability to the third party and the reasonableness of the amount paid in settlement.

Initially, though, let's be clear about the nature and effect of a so-called "disputable presumption." OEC 308 (ORS 40.120) states: "In civil actions and proceedings, a presumption imposes on the party against whom it is directed

the burden of proving that the nonexistence of the presumed fact is more probable than its existence."

The commentary to this rule explains its meaning as follows:

> Under [Oregon Rule of Evidence] 308, once a party invoking a presumption establishes the basic facts giving rise to it, the burden of establishing the nonexistence of the presumed fact shifts to the opposing party. Plaintiff, for example, may raise the presumption that a letter duly addressed and mailed was received in the regular course of the mail. The judge in such a case would determine whether the evidence is sufficient to support a finding of the existence of the basic facts: that the letter was properly addressed, that it was mailed, and that it was not returned. If so, the judge would instruct the jury that if they find the basic facts to be true, then the burden is on defendant to prove by a preponderance of the evidence that the letter was *not* received. The jury should never hear the word "presumption" during this instruction.

OEC 308 Commentary (1981) (citations omitted) (emphasis in original); *see Riley Hill Gen. Contractor, Inc. v. Tandy Corp.*, 303 Or 390, 408 n 9, 737 P2d 595 (1987); *Purdy v. Deere & Co.*, 281 Or App 407, 425, 386 P3d 2 (2016), *rev den*, 361 Or 100 (2017). It's important to remember that the presumption itself is not evidence, and it shifts the burden of proof (persuasion) only with respect to the subject of the particular presumption.

Are there disputable presumptions that could aid the settling indemnitee? Maybe there are. OEC 311(1)(d) (ORS 40.135(1)(d)) states the presumption that "[m]oney paid by one to another was due to the latter." In the context of this chapter, this would seem to be the same as saying that money paid by the indemnitee to a third party is disputably presumed to have been due to the third party. Or, stated another way, if

the money paid was "due," it must therefore have been paid under a liability and not voluntarily. Arguably then, the indemnitee would first establish that a claim had been made against it that it subsequently settled. Thereafter, the burden would shift to the indemnitor to prove by a preponderance of the evidence that the settlement sum was not "due"—that is, that the indemnitee was not liable to the underlying party or that it paid too much.

Other presumptions that could be used include the following:

- "A person takes ordinary care of the person's own concerns." OEC 311(1)(b) (ORS 40.135(1)(b)).
- "The ordinary course of business has been followed." OEC 311(1)(m) (ORS 40.135(1)(m)).
- "Private transactions have been fair and regular." OEC 311(1)(L) (ORS 40.135(1)(L)).

In the vernacular of indemnity, it may thus be presumed that a settlement effected by the indemnitee was in accordance with a fair and regular transaction; that the ordinary course of business was followed; and that the settlement was consummated by an indemnitee taking ordinary care of its own concerns. It is reasonably self-evident that individuals or corporations (or their insurers) are not generally in the habit of turning over large sums of money to third parties unless those sums are owing and in a reasonable amount.

NOTE: The federal rules adopt the state presumptions (FRE 302)—but with an important difference. In federal court, the presumption likewise shifts the burden of going forward with the evidence, but, unlike Oregon state rules, it does not shift the

> burden of proof. The risk of nonpersuasion remains on the party on whom it was originally cast. FRE 301. Thus, for example, the indemnitee, having established the predicate for the presumption, still has the ultimate burden of proof in establishing its own liability to the third party.

Tactic #3: *A Possible Common-Law Disputable Presumption*

In addition to those statutory presumptions, does the common law itself provide any similar panacea? Perhaps. It's clear that when a judgment has been entered against the indemnitee in the underlying case and a proper tender has been ignored by the putative indemnitor, then in the subsequent litigation between them, both will be bound by the findings necessary to that judgment. So, is there—or should there be—a difference in effect between a case resolved by settlement and one resolved by a judgment? Here is what one court thought:

> Perhaps it would not be accurate to substitute the word "settlement" for "judgment" in the above quoted paragraph, but at the same time it would seem improper to go to the other extreme and say that the settling indemnitee, before he could recover, must place himself in the original claimant's shoes and prove claimant's case against himself to the same degree and with the same vigor as would have been incumbent upon the original claimant. The result would be that settlements would be fewer and indemnity claims larger.

Damanti v. A/S Inger, 153 F Supp 600, 602 (EDNY 1957).

It should be noted that the *Damanti* court raised, but did not resolve, whether its relaxation of the proof required applied only in cases where indemnity is sought based on an agreement to indemnify as opposed to common-law indemnity.

Clearly the law encourages settlements. Imposing burdensome impediments to indemnity on the settling party seems contrary to that goal as well as to general principles of equity. On the other hand, in Oregon, one requirement seems firmly embedded—a settling indemnitee must plead and establish its own actual liability to the third party. In addition to *Damanti*, there are other cases suggesting that the common law might provide some relief to the settling party from the obstacles imposed by decisions such as *Fulton*. In general, these cases involve situations where the indemnitor has declined a timely and appropriate tender of defense, (see Tactic #1, above), has not assisted with the defense, and has essentially left the indemnitee to fend for itself. In such circumstances, some courts have held that the indemnitee can reasonably settle the matter and seek restitution from the indemnitor with a more relaxed standard of proof for either its own liability to the third party or the exact amount paid in settlement.

Federal Judge Kilkenny, the same judge who sparred with that Octopus in *Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936 (1961) (*see* chapter 3), was among the first Oregon jurists to wrestle with this issue. In *Oregon Transfer Co. v. Tyee Const. Co.*, 188 F Supp 647 (D Or 1960), the plaintiff and defendant entered into a contract wherein the plaintiff had agreed to perform a portion of the defendant's work under a federal construction contract. The litigation commenced with a claim by the plaintiff seeking payment from the defendant for work performed. The defendant counterclaimed for both express and common-law indemnity for sums that it expended to repair a bridge allegedly destroyed by the plaintiff's negligence. The government had asserted a claim against the defendant for damage to the bridge, and as a result the defendant had been required to pay for replacement of the bridge. The plaintiff had declined the defendant's tender of

the government's claim. *Oregon Transfer Co.*, 188 F Supp at 648.

In a bench trial, Judge Kilkenny found that the damage was caused "solely and only by the lack of due care and negligence on the part of the plaintiff and not through any negligence of the defendant or the United States." *Oregon Transfer Co.*, 188 F Supp at 650. The court noted that

> [e]ven if defendant had been negligent in failing to inspect, its negligence was passive and could only be brought into play by said affirmative acts of negligence on the part of plaintiff. In such case, and even in the absence of a written indemnity agreement, the defendant could recover on common law tort principles.

Oregon Transfer Co., 188 F Supp at 650. On the damage issue, the court determined that the indemnitee was not required to prove the exact amount of the damages that the underlying plaintiff had suffered. "The evidence shows that defendant entered into this contract in good faith and I so hold. Under such circumstances, defendant is entitled to recover the full amount of such expenditure without showing the precise damage." *Oregon Transfer Co.*, 188 F Supp at 651.

One of the foundations of Judge Kilkenney's reasoning was the case *Chicago, R.I. & P.R. Co. v. Dobry Flour Mills*, 211 F2d 785 (10th Cir), *cert den*, 348 US 832 (1954). That case involved an indemnitor who had declined a tender of defense only to later dispute the settlement concluded by the indemnitee. In a jury trial between the railroad and Dobry, the jury concluded that neither the railroad nor Dobry had been negligent in causing an injury to one of the railroad's employees, nor for that matter had the employee been contributorily negligent, but that the railroad had acted reasonably in settling the claim of its employee because there

was a "danger or probability" that the employee might have recovered damages in the action against the railroad. *Chicago, R.I. & P. R. Co.*, 211 F2d at 787. In rejecting Dobry's arguments that in order to recover in indemnity, the railroad had to prove its own legal liability to the injured party, the court stated:

> However, in Oklahoma and elsewhere in indemnity cases, where the indemnitor denies liability under the indemnity contract and refuses to assume the defense of the claim, then the indemnitee is in full charge of the matter and may make a good faith settlement without assuming the risk of being able to prove absolute legal liability or the actual amount of the damage.

Chicago, R.I. & P. R. Co., 211 F2d at 787–88.

The court went on to note:

> A contrary rule would make the right to settle meaningless in cases where the indemnitor has denied liability. On this subject, the only question which should have been submitted to the jury was whether the Railroad made a reasonable, prudent and good faith compromise and settlement. In determining whether the settlement was made in good faith, the jury should consider the *likelihood* of a recovery by [the injured employee] against the Railroad and the reasonableness of the amount of the settlement, but a prior judicial determination of either question is not necessary.

Chicago, R.I. & P. R. Co., 211 F2d at 788 (emphasis added).

While none of these cases directly affect the holding in *Fulton* that a settling indemnitee must plead and prove its liability to the original claimant, there is at least a possibility that the leniency the *Fulton* court showed to the indemnitee might surface again in the right case of settlement after a rejected tender of defense.

§ 9.6 Dodge the Decoy

There is nothing more deceptive than an obvious fact.

—Arthur Conan Doyle, *The Boscombe Valley Mystery*

A settling indemnitee should not be lured down the rabbit hole created by a line of Oregon appellate opinions (and one Oregon federal district court opinion) standing for the proposition that the indemnitee need not prove its own liability in the underlying case. These cases include *Hartford Ins. Co. v. G.B. Trone Bldg., Inc.*, 2007 WL 2994587 at *2; 2007 US Dist LEXIS 76277 (2007); *Kamyr, Inc. v. Boise Cascade Corp.*, 268 Or 130, 133 n 1, 519 P2d 1031 (1974); *M.L. Kauth, Inc. v. Lyon*, 116 Or App 216, 219, 840 P2d 730, (1992), *rev den*, 315 Or 442 (1993); *Martin v. Cahill*, 90 Or App 332, 336, 752 P2d 857 (1988); and *Portland Gen. Elec. Co. v. Constr. Consulting Assocs.*, 57 Or App 116, 120, 643 P2d 1334 (1982).

NOTE: The rule articulated in these decisions applies solely when the indemnitee is seeking only its defense costs incurred in the underlying case and has prevailed, or at least not lost or settled the primary litigation. For a full discussion of indemnity for defense costs, see chapter 10. It remains somewhat baffling to decipher why the evidentiary burden in Oregon is

different when restitution is sought for a settlement versus defense costs.

§ 9.7 (More) Free Tips

The best advice comes from people who don't give advice.

—Matthew McConaughey

- Don't forget discovery tools such as the request for admissions. This may be particularly helpful on the issues of the scope of the third party's damages and the reasonableness of the settlement amount. The indemnitor denies such requests at its peril.
- The putative indemnitee should think about the settlement documents. Do you really want to blindly insert the standard recital denying the indemnitee's liability? That language may not be helpful in the later indemnity action.
- If possible, make sure the settlement also releases the putative indemnitor in order to avoid the "discharge" argument discussed in § 4.3-1. As part of the settlement, the defendant-indemnitee might ask the claimant for access to its expert reports, witnesses, and the like. These may be of assistance to the indemnitee to establish its own liability.
- It cannot hurt for the indemnitee to keep the indemnitor advised of the status of the settlement negotiations with the underlying claimant. Even if the tender has been refused, the indemnitor should be offered the opportunity to settle the

case before the indemnitee does. Also, if a mediation is scheduled, invite the indemnitor to attend and participate.

- If the indemnitor has declined the tender, declined any contribution to a settlement, declined participation in mediation, and so on, then the indemnitee should be prepared to urge the court to follow those cases and arguments (noted above) that would relax the strict requirements of *Fulton*.
- Perhaps as part of a negotiated settlement, the defendant-indemnitee can assign its indemnification rights to the third-party claimant. (Hey, now it's someone else's problem.) But of course *Fulton* doesn't discriminate. Its requirements are presumably applicable no matter who holds the nascent indemnity rights.
- And, of course, as mentioned in chapter 5, the indemnitee should resist—at least for the present—any notion that the *Eclectic* decision abrogates a claim for common-law indemnity.

Au Revoir Indemnity

That Siren known as Settlement
Rose seductive from the gloom,
And asked Mister Indemnitee
Would you come up to my room?

Why don't you snuggle up with me
And forget your foolish aim,
That some indemnitor was wrong
And you also were to blame.

Ignore that if you compromise
It makes no financial sense,
To try and salvage what you paid
Plus the cost of your defense.

They'll be all of Fulton's *obstacles*
With which you must comply.
You'll have to prove who ought to pay,
And estoppel won't apply.

So the Temptress was persuasive,
And prevailed despite the cost.
While Settlement *resolved the claim,*
Restitution *sadly lost.*

—Book of Restitution

Chapter 10: RECOVERY OF DEFENSE COSTS

To recover just defense costs,
When all is said and done.
Tis better to have lost the claim,
Than tried the case and won.

—Book of Restitution

In law nothing is certain but the expense.

—Samuel Butler

§ 10.1 The Big Picture

O'er lawyers' fingers, who straight dream on fees.

—William Shakespeare, *Romeo and Juliet*

Previously, we recognized that common-law indemnity is firmly entrenched in restitution principles. Thus it seems equitable that reasonable and necessary defense costs incurred in defending third-party claims for which a putative indemnitor is primarily responsible should be reimbursed to the indemnitee in order to restore it to its prior financial status quo.

The defense-cost saga in Oregon again begins with Annie Anderson's evening stroll in Astoria—a jaunt ending with her unfortunate tumble from an unsafe railroad spur crossing. *See* chapter 3. Annie prevailed in her injury claim against the city. Subsequently, in the indemnity action against the railroad, the indemnitee-city won, recovering not only the amount it had paid to satisfy Annie's judgment but also its attorney fees expended in defending that claim. *City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 549–

50, 136 P 645(1913). Since that time, the law in Oregon—as in most jurisdictions—is unequivocally clear: as part of its claim for restitution, the defendant who has lost the underlying claim and then seeks indemnification for the amount of any satisfied judgment is also entitled to recoup its reasonable and necessary defense costs incurred in the primary litigation.

Traditionally, in claims where defense costs are allowed, (e.g., ORS 30.075(2) (procedure upon death of injured person); ORS 646.638(3) (unlawful trade practices)), these are considered an item of a posttrial cost bill. Indemnity defense costs, however, receive different recognition. As *Astoria* held, "We think these [costs and attorney fees] are appropriate items of *damage* for which [the city] may claim indemnity." *City of Astoria*, 67 Or at 550 (emphasis added); *see Portland Gen. Elec. Co. v. Jungwirth Logging, Inc.*, 151 Or App 789, 795, 951 P2d 1101 (1997), *rev den*, 327 Or 432 (1998). So at least in the restitutional environment, defense costs should be pleaded as an item of damages, not as a recoverable cost.

However, the rule in *Astoria* is limited to instances where the indemnitee has lost the underlying case and satisfied the adverse judgment. But what if our indemnitee successfully defends the third-party claim? Or, more accurately, under what circumstances are defense costs recoverable where there has been no adverse finding of liability against the indemnitee in the underlying case? Remember, *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 210, 493 P2d 138 (1972), mandates that the first predicate to indemnity requires the indemnitee to have discharged a legal obligation owed to a third party. But no such obligation exists when the indemnitee wins the third-

party case. So is the victorious defendant just out of luck? In other words, if you lose you win, but if you win you lose?

In chapter 9, we discussed situations where the indemnitee has settled the underlying claim. While in such cases the indemnitee's liability to the claimant also has generally not been established, the restitution claim will usually seek "full" or "general" indemnity—that is, indemnity for the amount of the settlement, in addition to defense costs. In such instances, the traditional requirements of *Fulton* will apply. This chapter, however, deals specifically with cases where the indemnitee, having prevailed in the primary case, seeks restitution only for its defense costs.

Now one might admonish the indemnitee just to be satisfied with its victory in the underlying case, exclaiming, "Hey, don't be so greedy." But if the goal of indemnity is to achieve equity, then would denial of defense costs be seen as extracting a penalty for success? At least in some cases, such result might be deemed both illogical and unjust. So in Oregon, does prevailing in the underlying case come at the expense of relinquishing indemnity for defense costs? And, if not, how do we plead and prove such a claim? Well . . . warning! Like the Octopus ride in Judge Kilkenny's courtroom (*Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936 (D Or 1961); *see* chapter 3), hang on folks, we're in for bumpy ride.

In addition to the oddities and quirks of Oregon's appellate decisions on this issue, the intrepid soul who pursues this crusade may well find him- or herself (and his or her client) embroiled in a fool's errand. Often, though not always, in the ambitious pursuit of defense costs, the indemnitee may expend more in this effort than the amount of any potential recovery. But, financial issues aside, let's see what can of worms awaits the successful indemnitee.

Cheer up, the worst is yet to come.

§ 10.2 The Elements of a Defense-Cost Claim: The Appellate Track Record

♫ But where are the clowns?
Send in the clowns,
Don't bother, they're here. ♫

—Stephen Sondheim

To paraphrase an old maxim, "Defense-cost indemnity law in Oregon is like sausage—it's better not seeing how either are made." Bluntly put, the Oregon appellate record on the issue of a successful indemnitee's recovery of defense expenditures can be viewed in one of two ways: either it has been a perplexing and rather unappetizing foray into this "wurst" aspect of restitution, or the courts have had a frolicking good time messing with our heads.

Philosophically, there's an initial issue of why, absent an express contract or statute, a putative indemnitee who has prevailed in the primary case should ever be entitled to defense costs. One could argue that this situation is no different from any case where a defendant successfully defends an underlying claim. *See, e.g.*, *Papas v. Kohler Co., Inc.*, 581 F Supp 1272, 1274 (MD Pa 1984). Does the act of cloaking such a claim under the canopy of indemnity give the successful party a greater right to attorney fees? For the present time anyway, apparently the right does exists—at least in the Oregon Court of Appeals. But be forewarned: dire omens lurk in the firmament. It is noteworthy that, though having the opportunity, the Oregon Supreme Court has never allowed defense costs to a putative indemnitee who has not been compelled either to satisfy a judgment or pay to settle the primary case. Meanwhile, the court of appeals appears to

have been the Walmart of cut-rate, bargain-basement deals on defense-cost recovery—resolving not to let such snags as precedent or allegiance to the elements of indemnity stand in the way of judicial activism.

"Patient Zero" of this muddled and confused issue was *U.S. Fire Ins. Co. v. Chrysler Motors Corp.*, 264 Or 362, 505 P2d 1137 (1973). Mrs. Berger was injured in a collision while driving an allegedly defective Chrysler vehicle that had been purchased from a local dealer. She sued both Chrysler and the dealership for her injuries. A tender by the dealer to Chrysler was refused. Subsequently Chrysler settled the injury case, obtaining a release both for the dealer and itself. U.S. Fire, which had underwritten the dealer's defense, was subrogated to its insured's interest and sued Chrysler for defense costs incurred in the underlying case. Judgment was entered for U.S. Fire in the trial court and Chrysler appealed. *U.S. Fire Ins. Co.*, 264 Or at 364–65.

"No recovery," argued Chrysler to the supreme court, inasmuch as U.S. Fire had neither pleaded nor proven the elements of a common-law indemnity claim. As it had previously held, the supreme court again noted that in an indemnity action, the claimant must establish that it has discharged a legal obligation to a third party to whom the indemnitor was also liable and that as between them, the indemnitor ought to bear the obligation. This meant that the dealer had to plead and prove that both it and Chrysler were liable to Mrs. Berger and that when the restitutional dust settled, Chrysler ought to pay. These elements had been established neither in the underlying case (which had settled) nor in the indemnity trial. *U.S. Fire Ins. Co.*, 264 Or at 365–66.

U.S. Fire responded that the allegations in Berger's complaint were such that, if proven, Chrysler's liability would

be primary and the dealer's fault only secondary. Thus, Chrysler owed the dealer a defense, but having not provided one, it now should be responsible for the defense costs. The supreme court wasn't buying: "If this contention were accepted it would place on manufacturers the duty to defend virtually all products liability actions brought against their dealers, whether or not those actions were well-founded." *U. S. Fire Ins. Co.*, 264 Or at 367. So at least in this initial skirmish, the court maintained that defense costs were not recoverable by a party who failed to comply with the elements of a common-law indemnity claim.

Only a year later, *Kamyr, Inc. v. Boise Cascade Corp.*, 268 Or 130, 519 P2d 1031 (1974), required the supreme court to again sojourn into the muck and mire of this issue. Boise Cascade had contracted with Kamyr to design and construct a digester system to convert wood pulp into paper in its mill. Kamyr performed its work and subsequently a Boise Cascade employee, Weber, was injured from an explosion of a pump that was incorporated into the digester. The pump had been selected, purchased, and installed by Boise Cascade, not Kamyr. *Kamyr, Inc.*, 268 Or at 131–32. At the time of Weber's accident, the pump was being operated by Boise Cascade at such excessive pressures that fluid was actually being pushed backwards through the pump. *Weber v. Kamyr, Inc.*, 269 Or 617, 621, 525 P2d 1307 (1974) (companion case). Weber sued both Kamyr and the manufacturer of the pump, both of whom prevailed against the claimant at trial and on appeal.

Thereafter, Kamyr sued Boise Cascade to recover its defense costs in the Weber case. The trial court sustained Boise Cascade's demurrer to the complaint, and Kamyr appealed. The supreme court affirmed by relying on *Fulton*'s third indemnity requirement that "as between the claimant

and the defendant, the obligation ought to be discharged by the latter." *Fulton Ins. Co.*, 261 Or at 210. Somewhat inexplicably, the court focused only on the allegations in Weber's complaint against Kamyr, rather than the facts, to decide who ought to pay. In so doing, the court felt it could not determine that, as between Kamyr and Boise Cascade, that it was Boise Cascade who should have paid had Weber sustained his claims. *Kamyr, Inc.*, 268 Or at 133. Admittedly, the court disposed of Kamyr's claim in a manner more akin to its treatment of express indemnity claims. *See, e.g.*, *St. Paul Fire & Marine Ins. Co. v. Crosetti Bros., Inc.*, 256 Or 576, 475 P2d 69 (1970).

The decision in *Kamyr* is odd given that the supreme court already had precedent in its back pocket. Consistent with *Fulton*'s requirements as endorsed in *U.S. Fire*, the court could have disposed of Kamyr's claim simply because it could not establish that the putative indemnitor, Boise Cascade, was liable to Weber (for no other reason than Boise Cascade had immunity from any claim by Weber under the workers' compensation laws). Moreover, Kamyr could not establish even its own liability to Weber (since it prevailed in Weber's case). Instead, however, the court chose a path that it seemingly condemned in *U.S. Fire*—opting simply to use the third party's complaint as the criterion for indemnity (much like the obligation of an insurer to defend being dependent on the allegations in the complaint).

But wait! *Kamyr* gets even more cryptic and curious. Let's twist the adage and declare, "the details are in the devil"—because the demon here is in footnote 1 of that opinion:

> There is language in *United States Fire Ins. Co. v. Chrysler Motors Corp* . . . which, if followed, would result in plaintiff in this case being unable to recover its

> costs of defense regardless of the allegations in Weber's complaint because plaintiff won, instead of lost, the case Weber brought against it. The language of this opinion is contrary to that language in United States Fire. However, the language of this case is not contrary to the additional holding in United States Fire that a litigant in the position of plaintiff must, in addition to other things, plead and prove that the litigant in the position of defendant was "primarily" responsible for the original plaintiff's (Weber's) injuries.

Kamyr, 268 Or at 133 n 1.

Now aside from the question of why this footnote was included at all, it raises a number of enigmatic questions and issues. Consider:

- Initially, the court's use of the terms "language" and "holding" is confusing. Certainly there is a significant legal difference between the two terms, yet their distinction as used in this footnote is unclear. Moreover, a reader of *U.S.Fire* will have trouble even finding the "language" referred to in this footnote.
- If "language in United States Fire" is a reference to the fact that the indemnitee must establish its own liability to the third-party claimant, then the words "if followed" are elusive. The court could certainly have specifically overruled *U.S.Fire*'s "language" ("holding") or unequivocally indicated it was erroneous. Instead, it merely pointed out that the language in *Kamyr* was "contrary" and gave the impression that one could chose to "follow" either *U.S.Fire* or *Kamyr*—take your pick. (Not surprisingly, putative indemnitors will opt to "follow" *U.S.Fire*; indemnitees will align with *Kamyr*.)

- The footnote states that at least one element of *Fulton*'s indemnity requirements remains. That is, the one who seeks indemnity must plead and prove that the putative indemnitor was primarily responsible for the underlying injury. But if *Kamyr* has eliminated the obligation that the indemnitee establish its own liability to the third party, then isn't the use of the term "primarily" superfluous? Wouldn't *any* liability of the indemnitor be sufficient—primary or not? Or, do we just hypothetically assume that the third party's allegations against the putative indemnitee are true (even though a trial determined otherwise)—and then compare that assumption with pleading and proof of the indemnitor's actual culpability? (This is getting complicated.)
- And what about *Fulton*'s other requirement—that the claimant must plead and prove that the putative indemnitor (Boise Cascade) was liable to the third party (Weber)? Is this element subsumed by establishing the indemnitor's actual culpability? But how could Kamyr ever meet this requirement assuming that workers' compensation laws immunized Boise from any liability?

So did *Kamyr* overrule *U.S. Fire*? Well, maybe—or maybe not. But one thing is for sure: Kamyr was the recipient of a good old-time shafting. If there were ever a case where defense-cost restitution should have been allowed to a successful indemnitee, this was it. The component part at issue here had nothing to do with Kamyr's product, and Weber's injuries were caused by actions entirely outside the

scope of Kamyr's contract with Boise. Clearly, however, the supreme court was disinclined to favor any defense-cost restitution.

However, for the next four decades, a cloak would now descend on the supreme court's association with this issue. The baton was passed to the court of appeals, where even more confusion was to reign.

What is important is to spread confusion, not eliminate it.

—Salvador Dali

During construction of the Willamette Center building in Portland, an on-the-job injury to a workman gave rise to a personal injury lawsuit and subsequently to *Portland Gen. Elec. Co. v. Constr. Consulting Assocs*, 57 Or App 116, 643 P2d 334 (1982). The concrete subcontractor on the project (PKS) cut a hole in one of the floors, which it covered with a secured piece of plywood. Another contractor (CCA) had been retained to be responsible for safety on all parts of the job not under the specific control of another subcontractor. Later, the workman fell into the hole and then sued Portland General Electric (PGE) (the general contractor) and PKS under the Employer's Liability Act. PGE settled the injury claim, obtaining a release for both itself and PKS. Then PGE brought an indemnity action against CCA, which in turn joined PKS as a third-party defendant. In a separate action (later consolidated with PGE's indemnity case), PKS sued CCA seeking recovery of its costs incurred in defending the personal injury case. The trial court granted summary judgment for PKS against CCA and awarded it defense costs. CCA appealed. *Portland Gen. Elec. Co.*, 57 Or App at 118–19.

CCA was, of course, rightly indignant, arguing (correctly) that PKS had not complied with *Fulton*'s requirements for an indemnity claim. Apparently, it sought refuge in footnote 1 of *Kamyr*, choosing "to follow" *U. S. Fire* by pointing out that PKS had neither pleaded nor proven its own liability to the injured workman. It turns out that the court of appeals also was infatuated with the same footnote but had an opposite interpretation:

> We are satisfied that Kamyr overrules any express or implied holding in United States Fire that would require an indemnitee to plead and prove its own liability to a third party in order to recover defense costs. It is sufficient that the indemnitee plead and prove that it was sued, reasonably incurred costs in defending and that, as between it and the putative indemnitor, the indemnitor should bear the burden of the defense.

Portland Gen. Elec. Co., 57 Or App at 120.

Now in crafting this state-of-the-art test for allowing defense-cost indemnity, it might have been worthwhile for the court of appeals to break bread with their cousins over at the supreme court and kibitz about *U.S.Fire* and *Kamyr*. The court of appeals may then have realized the following:

In *U.S. Fire*,

(1) The dealer-indemnitee was sued.

(2) It incurred defense costs (through its insurer).

(3) As between the dealer-indemnitee (who merely sold a defective car) and the manufacturer-indemnitor of the car, it was not a huge stretch to conclude that the latter should bear the burden. But the supreme court denied defense-cost indemnity.

In *Kamyr*,

(1) Kamyr (the indemnitee) was sued by Weber.

(2) Kamyr incurred defense costs.

(3) As between Kamyr, who had nothing to do with the failed pump, versus Boise Cascade, who had selected, purchased, and installed the pump and operated it beyond its capacity, it was not too difficult to conclude that Boise Cascade should bear the burden. And again, the supreme court denied the claim for defense costs.

So good for the court of appeals! After all, what do those justices across the hall know about indemnity and defense costs anyway?

And now the court of appeals was in the zone; there was no stopping this defense-cost indemnity train. In *Martin v. Cahill*, 90 Or App 332, 336, 752 P2d 857(1988), the court again allowed recovery of defense costs for a party who had prevailed in the underlying case. And in *M.L. Kauth, Inc. v. Lyon*, 116 Or App 216, 219, 840 P2d 730 (1992), *rev den*, 315 Or 442 (1993), a successful defendant recovered its defense costs in the subsequent indemnity action. There, an employer and employee were sued for injuries caused by the negligence of the latter. The employer had permitted the employee to wear a company uniform and to drive a vehicle bearing the company's name. However, at trial, the employer had prevailed, because there was no evidence that the employee was acting within the course and scope of his employment at the time of the accident. *M.L. Kauth, Inc.*, 116 Or App at 218. Oh . . . and backtracking a bit, the court of appeals had been so enamored with its newfangled defense-cost test that it went so far as to apply it even in a case where full indemnity was sought. *State, Through Dep't of Transp. v. Scott*, 59 Or App 25, 29, 650 P2d 158 (1982).

In 2007, the federal district court in Oregon, with the smell of legal fees in the Oregon air, confronted *Hartford Ins. Co. v. G.B. Trone Bldg., Inc.*, 2007 WL 2994587, 2007 US

Dist LEXIS 76277 (D Or 2007). The case involved a claim for only defense-cost indemnity sought by a general contractor (Trone) against a subcontractor (Kent's). In the underlying litigation—a property damage claim—Trone was exonerated; Kent's was found 100 percent liable for the loss. In the indemnity case, Judge Garr King was compelled to look to Oregon appellate decisions for guidance and needed to choose between two alternatives: either the bestselling hit "*Kamyr* & the Footnote" by the Supremes or the self-help book by Kort Huffa Peals called "The Key to Your Fee Is PGE." And guess what? Judge King (with an apparent aversion to footnotes), opted for the *PGE* test with nary a reference to any Oregon Supreme Court decision. *Hartford Ins. Co.*, 2007 WL 2994587 at *2.

She turned to the sunlight
And shook her yellow head,
And whispered to her neighbor:
"Winter is dead."

—A.A. Milne, *When We Were Very Young*

But spring was on the horizon—the legislative winter had sown the seeds of comparative fault and several liability—and the supreme court began to stir and awaken from its 40-year snooze. The *Eclectic* case was now wending its way through the appellate maze. *See Eclectic Inv., LLC v. Patterson*, 357 Or 25, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015); chapter 5. Recall that in the underlying property damage case, Jackson County had been found 7 percent at fault and the contractor 4 percent. The claimant-landowner bore the majority of fault, so both the county and the contractor had been successful. Thereafter,

the county (somewhat imprudently) sued the contractor to recover its defense costs. Both the trial court and the court of appeals ruled against the county, essentially finding that as between the plaintiff and the defendant, there was not sufficient evidence to place the burden of defense costs on the contractor. *Eclectic Inv., LLC*, 357 Or at 28–30. Interestingly, in the court of appeals opinion, there is no mention of its earlier *PGE* test wherein the court had "opened the floodgates" for recovery of defense costs.

Since funds in the public trough for legal pursuits were apparently unlimited (at least in Jackson County), the county sought, and was granted, review in the Oregon Supreme Court, which, in two separate opinions, affirmed the lower courts' denial of defense costs. Initially, the court felt compelled to engage in a thorough review of the development of common-law indemnity in Oregon. It noted that this was a judicially created remedy, originally designed to avoid the harsh results of joint liability and having its roots in restitution for unjust enrichment. *Eclectic Inv., LLC*, 357 Or at 31.

Having ventured through the state's "indemnity museum," then based on the historical underpinnings of this remedy, the court could have (and probably should have), simply affirmed the lower courts. Instead, it had a restitutional epiphany. Enough with this "active–passive" blather and all that accompanying confusion! In view of Oregon's statutory scheme of comparative fault and several liability, common-law indemnity should be labeled an anachronism and no longer necessary. *Eclectic Inv., LLC*, 357 Or at 35–38. Then, more germane to the subject of this chapter, in its second *Eclectic* opinion, the court also addressed the county's argument that a claim for recovery of defense costs should somehow be treated differently. This

contention was succinctly rejected, the court holding that "it is incorrect that a defendant has an independent claim for attorney fees when the plaintiff's claim for restitution itself is not viable." *Eclectic Inv., LLC*, 357 Or at 331. (Sounds a bit ominous for the future of the court of appeals' criterion.) In the end, the county claim for defense costs missed the boat. And, we suspect, this was one of those instances when more (taxpayer) dollars were expended on the indemnity attempt than was at stake should restitution have been allowed.

The judicial crystal ball augured more trouble for defense-cost indemnity in the more recent decision of *Rains v. Stayton Builders Mart, Inc.*, 359 Or 610, 375 P3d 490 (2016). See chapter 4 for a full discussion of the case. Recall that in the underlying case, the injured party (Rains) was found 25 percent at fault, the retailer (Stayton) 30 percent culpable, and the manufacturer of the defective board (Weyerhaeuser) 45 percent responsible. Stayton thereafter sought indemnity from Weyerhaeuser for its 30 percent share of the liability plus its defense costs. The trial court found for Stayton on both elements of indemnity. Weyerhaeuser appealed. *Rains*, 359 Or at 619–20.

At the time of the appeal, Stayton had failed to pay Rains any portion of its obligation. Since discharging a legal obligation to a third party is an essential element of an indemnity claim, the court of appeals held that Stayton was not entitled to indemnity from Weyerhaeuser for the amount it owed the plaintiff. *Rains v. Stayton Builders Mart, Inc.*, 264 Or App 636, 669, 336 P3d 483 (2014), *aff'd in part, rev'd in part by Rains*, 359 Or 610. Then, however, in an astonishing twist, it decided that Stayton *was* entitled to indemnity for its defense costs, relying on that curious bromide it had fashioned in the *PGE* case. *Rains*, 264 Or App at 674–75.

Weyerhaeuser petitioned for review to the Oregon Supreme Court, challenging—among other issues—the award of defense costs. It is interesting to note that in none of the earlier court of appeals cases where defense costs had been awarded to a successful indemnitee had the parties sought review in the supreme court. Further, this was the first instance in which the supreme court had the opportunity to review a case where the court of appeals had awarded such defense costs using its own unique *PGE* formula. In a rather anticlimactic appraisal, the supreme court rather perfunctorily reversed the defense-cost award, stating, "That is so because a claimant seeking common-law indemnification has no right to recover defense costs without first establishing its success on the common-law indemnity claim." *Rains*, 359 Or at 642. And the court went on to hold that "it is incorrect that a defendant has an independent claim for attorney fees when the plaintiff's claim for restitution itself is not viable." *Rains*, 359 Or at 642 (quoting *Eclectic Inv., LLC*, 357 Or at 331).

§ 10.3 End of the Line (Almost)

> *I have come to the conclusion, after many years of sometimes sad experience, that you cannot come to any conclusion at all.*
>
> —Vita Sackville-West, *In Your Garden Again*

So what advice can we offer with respect to recovery of defense costs in an indemnity action? Initially, there is no reason to question the right to such recovery when there is a concomitant right to indemnity. While *Eclectic* has renovated the restitutional landscape, there certainly remains a right to common-law indemnification in various instances, with a right to defense costs inherently embedded in any such recovery. But what about the cases where the indemnitee has

either prevailed in the primary case (like *Kamyr*) or has been dismissed through a settlement by another party (like *U.S.Fire*)? Frankly, the odds of salvaging defense costs in these instances are problematic at best. However, if the putative indemnitee can underwrite the expense of the pursuit, why not try? Accordingly, we offer these suggestions.

Obviously, Oregon Supreme Court authority would be helpful. Yet this court has never allowed such recovery, and, more troubling, in both *Eclectic* and *Rains*, it specifically held that there is no right to defense costs without first establishing a right to common-law indemnification. But perhaps there's hope. Remember that the court's statement in *Eclectic* concerning no independent defense-cost indemnity was given in the context of a holding that there was no longer *any* indemnity—defense costs or otherwise. Yet what we're focusing on here are cases that—for one reason or another—will escape the clutches of *Eclectic*. As for the court's holding in *Rains*, remember that the putative indemnitee (Stayton) had lost in the underlying litigation and was seeking full (or general) indemnity, similar to that sought by the city in the *Astoria* case. Since Stayton had not met *Fulton*'s requirements for indemnity, it could not recover defense costs. Again, though, our concern at present addresses a defense-cost claim by a successful defendant.

Perhaps—just perhaps—the *Kamyr* test may still be good law. Recall the language from that case: "Plaintiff [the indemnitee] is entitled to a defense only if facts are alleged by [the claimant] against plaintiff which, when compared with the culpability of defendant [the indemnitor], demonstrate that, as between plaintiff and defendant, defendant should be the one who pays [the claimant's] claim if he sustains it." *Kamyr, Inc.*, 268 Or at 133 (footnote omitted).

In the world of *Kamyr* then, one starts with the allegations against the defendant-indemnitee in the underlying case. (Kamyr's counsel should probably have attached the injured worker's pleading as an exhibit to its indemnity complaint.) Those allegations are then compared with the claims asserted against the prospective indemnitor. Arguably, if this contrast is sufficiently disparate, the indemnitee gets over the summary judgment hurdle and then must prove its claims—including that the indemnitor was liable to the third party. The supreme court in *Kamyr* did not preclude defense-cost recovery; it merely held that from the record, the indemnitee could not surmount the initial pleading issue.

You don't need a weatherman
To know which way the wind blows.

—Bob Dylan, *Subterranean Homesick Blues*

At least for the present, however, and acknowledging that the winds of change may likely, in the future, administer the last rites for defense-cost indemnity, we suggest that the *PGE* test (along with its subsequent progeny) may encompass the best chance of recovery. It certainly has an air of simplicity: "I was sued, I incurred defense costs, and as between you and I, you ought to pay." Furthermore, though perhaps a bit misleading, prospective indemnitees can accurately claim that the *PGE* test has never explicitly been overruled by the supreme court.

The Road Not Taken

(With apologies to Robert Frost)

Two roads diverged in a fee dispute,
And sorry it was I had to choose.
But be one lawyer, I long sat mute
Pondering which had an attribute
Which then would ensure I couldn't lose.

The Supreme Court's path at its very core,
Instructed that I compare and weigh
My case against the indemnitor,
(versus plaintiff's claims alleged before),
And thereafter decide who ought *to pay.*

To resolve this restitution feud,
The Court of Appeals made doubtful sense
Requiring only that I included
Just pleading and proof of being sued,
And incurred expenses for defense.

I shall be telling this with some glee
In courtrooms ages and ages hence:
Two roads diverged to secure my fee—
But I spurned Kamyr for PGE
And that has made all the difference.

Chapter 11: INDEMNITY: BACK TO THE FUTURE—"SALVATION AND SOOTHSAYING"

Before we shed indemnity
For comparative legislation,
Is the remedy the culprit here,
Or just its application?

—Book of Restitution

§ 11.1 Consider the Precedent

The best way to predict the future is to invent it.

—Alan Kay

No question but that manifest entanglements await those who venture into the realm of Oregon common-law indemnity. Certainly this equitable elixir had historical obstacles anyway ("active–passive," etc.), but those pale in comparison with the present confusion. Consider . . .

- We have the enigmatic pondering of the initial *Eclectic v. Patterson* decision, wherein the Oregon Supreme Court—without briefing or argument on the issue—proclaimed that comparative negligence "effectively abrogates the theory of indemnity" notwithstanding that this was not a true indemnity case. *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 37, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015) (quoting *Gomez v. American Elec. Power Service Corp.*, 726 F2d 649, 652 (10th Cir 1984)).

- Then—whoops—three months later, the court backtracked, announcing, to paraphrase, "well, maybe remnants of implied indemnity might still survive after all—but this court's gonna be the custodian of those unspecified vestiges." *See Eclectic Inv., LLC v. Patterson*, 357 Or 327, 354 P3d 678 (2015); *see also* § 5.3-2.
- And along comes the federal district court in Oregon cavalierly declaring (no doubt prematurely) that *Eclectic* just outright eliminated common-law indemnity as a cause of action. *J & J Sports Prods., Inc. v. Garcia*, No 6:17-cv-00673-JR, 2017 WL 6887098 at *4–5, 2017 US Dist LEXIS 215021 (D Or Dec 6, 2017), *findings and recommendations adopted*, 2018 WL 358503 (D Or Jan 10, 2018); *T-W Transp., Inc. v. TA Operating LLC*, No 3:15-cv-00099-AC, 2015 WL 5247080 at *4, 2015 US Dist LEXIS 119070 (D Or Sept 3, 2015).
- Then, of all things, the supreme court weighs in again, deciding an indemnity issue on a basis that implied that this restitutional remedy may still have life, even in instances where it arguably could have been barred by the *Eclectic* decision. *Rains v. Stayton Builders Mart, Inc.*, 359 Or 610, 375 P3d 490 (2016) (discussed in § 11.6).
- And in the backdrop to all this ferment is a legislative scheme that adopted comparative fault and several liability, yet specifically declared that any right of indemnity should remain unimpaired. ORS 31.800(5).

Now, is it any wonder one could conclude that restitutional mayhem has descended on this remedy? Maybe

those days of “active–passive” and “primary–secondary” weren’t so troublesome after all.

> *It’s never safe to be nostalgic about something until you’re absolutely certain there’s no chance of its coming back.*
>
> —Bill Vaughn

In § 5.6, we suggested that until further pronouncements and clarifications are forthcoming, *Eclectic* should be limited to its particular facts: Indemnity may be denied only if all tortfeasors are present in the underlying case and percentages of fault are allocated among them. If the putative indemnitor is not a party to the primary litigation, then aspiring indemnitees should argue that *Eclectic*’s holding is inapplicable. Beyond this recommendation, however, this chapter will explore the following:

- The types of traditional indemnity cases that certainly will survive *Eclectic* no matter how the case is interpreted in the future.
- Categories of cases in which *Eclectic* could arguably deny indemnity but that equitably should continue to permit full restitution.
- Whether the Oregon Supreme Court has had “indemnity angst” and perhaps has backtracked on the *Eclectic* premise.
- Strategies and arguments the intrepid lawyer might employ in future cases to perhaps circumvent *Eclectic* entirely.

Alright then, we know the *S.S. Indemnity* has been “actively” navigating the rivers and shores of Oregon for over

a hundred years. But disaster has now struck, its hull torpedoed by the submarine *Eclectic* and it's listing heavily to starboard. Cases that had long booked passage on the *S.S. Indemnity* have abandoned ship. Some appear to be securely ensconced in the restitutional lifeboats. Others are desperately attempting to reach safety; still others unfortunately are doomed. "Great whites," also known as comparative fault and several liability, circle the castaways. Blood's in the water of restitution. Who will survive? Well let's see . . .

§ 11.2 Securely in the Lifeboats

> *There are more consequences to a shipwreck than the underwriters notice.*
>
> —Henry David Thoreau

Unfortunately *Eclectic* gave the Oregon bench and bar no definitive test or barometer as to what categories of indemnity claims might continue. However, one clear hint can be derived from the court's reference to the *Restatement (Third) of Torts: Apportionment of Liability* section 22 (2000). *Eclectic Inv., LLC*, 357 Or at 36–37. In addition to contractual or express indemnity, the section indicates that indemnity will be permitted when

> the indemnitee
>
> (i) was not liable except vicariously for the tort of the indemnitor, or
>
> (ii) was not liable except as a seller of a product supplied to the indemnitee by the indemnitor and the indemnitee was not independently culpable.

Restatement § 22(a)(2).

This current Restatement version does not explicitly ordain that these should be the only indemnity survivors—although the comments and reporter's notes certainly insinuate this conclusion. It is inconceivable, though, that Oregon would fail to rescue indemnity in the typical employer-employee case (e.g., *M.L. Kauth, Inc. v. Lyon*, 116 Or App 216, 840 P2d 730 (1992), *rev den*, 315 Or 442 (1993)) or when a retailer has simply passed on a manufacturer's defective product (e.g., *Smith Radio Commc'ns, Inc., v. Challenger Equip., Ltd.*, 270 Or 322, 527 P2d 711 (1974)). With respect to this latter category, the initial *Eclectic* opinion does in fact appear willing to prolong indemnity in the products liability arena: "The exception to those lines of cases appears in the context of strict liability. Courts are reluctant to permit apportionment of damages in cases in which one party's liability results from the manufacture of an unreasonably dangerous product." *Eclectic Inv., LLC*, 357 Or at 37 n 7.

Also encompassed within this category could be disputes involving principal and agent, independent contractors, partners, general contractors, and owners of motor vehicles held liable for the actions of those driving with their consent.

These are generally cases where blame has been imposed on the prospective indemnitee, not due to any fault on its part, but purely by operation of law. Put another way, in these instances, there is really no fault to compare; fairness and equity seemingly demand that the right to full restitution be retained. (Note that the conventional terminology here is vicarious *liability*, not vicarious *fault*; we call it strict *liability* and not strict *fault*.) So certainly, these categories have safely boarded the *S.S. Indemnity*'s lifeboats.

§ 11.3 Make More Room in the Boat

The man who has experienced shipwreck shudders even at a calm sea.

—Ovid

ORS 31.605(1) permits the jury to compare fault; then several liability steps in and precludes a defendant from paying the claimant any more than its allocated-percentage share (leaving aside the reallocation provisions of ORS 31.610(3) to (5)). But what if the fault of the defendants is not just quantitatively different but is categorically disparate? What if the culpability of a prospective indemnitee is merely negligent, but that of the indemnitor is, for example, grossly negligent, reckless, or maybe even willful or intentional? What if the claimant's action against the defendant-indemnitor included a demand for punitive damages? Does the jury compare fault in these cases and assign percentages? If not, then here is another instance where indemnity survives *Eclectic* even when both wrongdoers are present in the underlying case.

Oregon law on this issue is relatively clear. Negligence cannot be compared with intentional or willful misconduct. So presumably indemnity would survive in favor of a tortfeasor who was merely negligent. However, conduct less than intentional on the fault scale would be subject to ORS 31.605—and thus arguably within the edicts of *Eclectic*. In *Hampton Tree Farms, Inc. v. Jewett*, 158 Or App 376, 395, 974 P2d 738, *rev den*, 329 Or 61 (1999), the court observed,

> Willful misconduct . . . is qualitatively different from negligence of any sort. . . . [N]egligence consists of a continuum of fault from simple negligence through gross negligence to recklessness. Willful misconduct is not on that continuum. It does not involve a mere neglect of

> responsibility, however serious; to the contrary, it involves a conscious decision to act in a way that risks harm to another. . . . Those things are simply not comparable.

See Johnson v. Tilden, 278 Or 11, 14–18, 562 P2d 1188 (1977); *Shin v. Sunriver Preparatory Sch., Inc.*, 199 Or App 352, 372–79, 111 P3d 762, *rev den*, 339 Or 406 (2005). So, vicarious liability, move over and make room in the lifeboat for cases where the putative indemnitor is a really wicked scoundrel.

§ 11.4 Is There Room for One More?

> *There's nothing like a shipwreck to spark the imagination of everyone who was not on that specific ship.*
>
> —Jon Stewart

Remember that *Eclectic*'s aversion to indemnity applies exclusively to cases where fault has been divvied up among all the parties. But there is no mandatory requirement that the jury must engage in allocation by percentages. ORS 31.605(1) indicates that the "degree of fault" shall be expressed in percentages only if "requested by any party." Granted, it seems a rare case when at least one of the participants would not request such determination. Nevertheless, be aware that percentages are not necessarily an inherent component of a tort case. Absent such an allocation, an indemnity claim should still exist. (The lifeboat's getting crowded.)

§ 11.5 Still Treading Water—But Desperately Seeking Safety

Often it's just a short swim from the shipwreck of your life to the island paradise of your dreams, assuming you don't drown in the metaphor.

—Robert Breault

OK, it was relatively effortless to save those faultless swabbies—also known as "Petty Officer Vicarious" and "Ensign Pass-Through." But are there claims that are more opaque—where a tortfeasor is deemed culpable (or "passively" at fault, to use that nefarious term) and yet might still be rescued? Where even ardent supporters of *Eclectic*'s endorsement of comparative negligence and several liability would agree that notions of equity and fairness should preserve the right to full restitution? Arguably, the answer is yes. We suggest at least four categories where a life preserver should be tossed:

(1) The indemnitee acted in accordance with directions of the indemnitor and reasonably believed the directions to be correct or lawful. *Kennedy v. Colt*, 216 Or 647, 339 P2d 450 (1959), would be a prototypical specimen here. The plaintiffs had entered into a contract with the defendant to purchase standing timber on the latter's land. On several occasions, the defendant and her agent represented to the plaintiffs exactly where the property lines were located and that the logging had to occur within those lines. Relying on these representations, the plaintiffs commenced to cut timber. Subsequently, it was determined that portions of the logging had occurred on lands owned by a third party, who then brought suit for timber trespass against only the plaintiffs. That claim resulted in a judgment against the plaintiffs, which was then satisfied. Thereupon, the plaintiffs

brought the present action against the defendant for indemnity. *Kennedy*, 216 Or at 651–52. The trial court ruled in favor of the plaintiffs. In affirming, the Oregon Supreme Court cited with approval the following test:

> Where a person carefully and in good faith does an act which is not apparently illegal, at the request or under the express directions of another person, and such act causes an injury to the rights of third persons, an implied contract arises on the part of the person for whom the act is done, and who is primarily liable therefor, to indemnify the person doing the act . . . .

Kennedy, 216 Or at 654 (quoting 42 CJS *Indemnity* § 20 (updated periodically)).

The court specifically noted that there was no evidence that the plaintiffs were not careful in following the defendant's directions as to the boundaries shown them and precisely where they could log. *Kennedy*, 216 Or at 654.

Now as with vicarious liability, one could argue that there was no actual fault on the indemnitee's part. Yes, they did trespass; yes, they did wrongfully cut down certain trees; and yes, this rendered them liable. But their legal responsibility was the consequential product of our tort law, rather than any genuine or bona fide fault. In spite of *Eclectic*, surely it would offend our sense of fairness if the trespassers were denied at least the opportunity to seek full restitution.

(Comparative fault might have been relevant in *Kennedy* if there had been evidence the trespassers were independently negligent—for example, if under the circumstances, it would have been reasonable for them to further verify the correct property line.)

(2) The indemnitee was induced to act by a misrepresentation on the part of the indemnitor, upon which the indemnitee justifiably relied. *Ammons v. Jackson Cnty.*,

116 Or App 106, 840 P2d 1345 (1992), *modified on recons*, 119 Or App 181, *rev den*, 318 Or 24 (1993), would arguably fall within this category (*Kennedy v. Colt* would as well.) In *Ammons*, after a motor vehicle accident, the sheriff's deputies had taken a suspected intoxicated motorist—the underlying claimant—to a local doctor to determine whether he was injured and whether he could be transported to jail. The doctor told the deputies the motorist had sustained only superficial bruising and that they did not have to take any special precautions. The deputies then took the motorist to jail, where he was injured by their handling of him. The motorist brought an action against the county, which then filed a third-party complaint against the doctor for negligence and indemnity. *Ammons*, 116 Or App at 108–09. The Oregon Court of Appeals reversed the trial court's dismissal of the indemnity claim, holding that if, as the county alleged, the claimant's injuries resulted solely from the doctor's negligent misrepresentations, then a claim for indemnity had been properly alleged. *Ammons*, 116 Or App at 112–13.

Here, the indemnitee-county allegedly caused injuries to the claimant, but, like in *Kennedy*, its liability was arguably without fault and caused exclusively by the misrepresentations of the indemnitor-doctor.

(3) The indemnitor created a dangerous condition of land or chattels, as a result of which both the indemnitor and the indemnitee were liable to a third person, and the indemnitee innocently or reasonably failed to discover the defect. Conceivably, *City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–42, 136 P 645 (1913), could fall within this category. *See* chapter 3. Assuming that the railroad had created a dangerous condition with respect to its street crossing and that the city, through no fault of its own, had failed to discover the defect, it would seem only fair and

equitable that the city should be able to assert a claim for full indemnity if it were found liable for Annie Anderson's tumble.

(4) The indemnitor was under a duty to protect the indemnitee against liability to a third person. This category would encompass cases where a municipality incurs liability to an injured third party and then seeks indemnity from, for example, an abutting property owner who is required to keep a sidewalk in repair, a property owner who permits a street sign to be obscured by foliage, or a contractor who has negligently created a dangerous condition. *See, e.g.*, *City & Cnty. of San Francisco v. Ho Sing*, 51 Cal 2d 127, 330 P2d 802 (1958); *Lobello v. City of New York*, 268 AD 880, 51 NYS2d 7 (1944), *aff'd*, 294 NY 816, 62 NE2d 243 (1945).

There certainly may be additional survivors on the restitutional ocean, floating between pure vicarious liability on the one hand and actual ("active") negligence on the other. It remains an enigma, however, to precisely classify the nature of the indemnitee's liability in these cases. It seems a bit ill-fitting to suggest the culpability here is merely vicarious. On the other hand, we doubt Oregon courts will have much inclination to throw a lifeline to the "active–passive" criterion. "Liability without fault" is perhaps as good an epithet as any. Or maybe we simply say these are instances of "faultless fault." Although, given that indemnity is an equitable remedy, there is some appeal to conclude (as does Prosser) that it is simply the community's sense of fairness and justice that compels full indemnity in these situations *See* § 3.4.

§ 11.6 Saved by the "*Rains*"

In Portland, it rains all the time—but who cares? That's not funny. That's not universal.

—Johnathan Krisel

So has the *Eclectic* submarine been engaged in some briny skulduggery here? Did it keelhaul the *S.S. Indemnity*—only to then rescue it from the depths? Just when we were told that common-law indemnity had been "abrogate[d]" (*Eclectic Inv., LLC*, 357 Or at 37), along comes *Rains v. Stayton Builders Mart, Inc.*, 359 Or 610, 375 P3d 490 (2016). The facts of this entangled litigation (which seemed to provide full employment for a gaggle of defense counsel) were discussed in § 4.5 in the context of pleading and proving an indemnity claim. Recall this was a personal injury case wherein the plaintiff-husband had been injured when falling from a defective board. We'll repeat here only the facts pertinent to the present indemnity issue:

- Weyerhaeuser allegedly manufactured and graded the defective board and sold it to Stayton which, in turn, sold it to the injured plaintiff's employer.
- Stayton was an original defendant in the case. It then third-partied in Weyerhaeuser, filing a cross-claim for indemnity against the manufacturer.
- At trial, the only claim asserted by the plaintiffs was strict liability for manufacturing and selling a defective product. (Before trial, the plaintiffs' claim of negligence had been dropped under an agreement with Stayton.)

- The jury allocated 25 percent of the fault to the plaintiff-husband, 30 percent to Stayton, and 45 percent to Weyerhaeuser.
- The trial court awarded Stayton indemnity for both the amount of its indebtedness to the plaintiffs as well as its defense costs.
- In opposing the indemnity award, Weyerhaeuser argued that Stayton had failed to satisfy a prerequisite to an indemnity claim; that is, there was no evidence that Stayton had discharged a liability owed to the plaintiffs—a fact that Stayton conceded on appeal.
- The Oregon Court of Appeals reversed Stayton's indemnity award for the amount it owed the plaintiffs but upheld the judgment of indemnity for its defense costs. Review was granted; the entitlement to defense costs was the only indemnity issue before the Oregon Supreme Court.

To decide the defense-cost issue, the court first felt the necessity to deal with the general requirements for common-law indemnity. Citing *Eclectic*, it reiterated that a predicate to such a claim is that the indemnitee discharge a legal obligation to a third party. Here, Stayton conceded that it had not complied with this element. So the supreme court agreed that the court of appeals was correct in reversing the principal indemnity award. The court then went on to indicate that in the context of indemnity, there is no independent right to defense costs; these are merely an appendage to the general entitlement to indemnification. So if one of the essential elements of an indemnity claim has not been established (as was the case here), a right to indemnity does not exist—and

therefore neither is there a right to defense costs. *Rains*, 359 Or at 640–43.

However, the implication in the court's opinion appears unmistakable. If Stayton had satisfied the discharge element of *Fulton Ins. Co. v. White Motor Corp.*, 261 Or 206, 493 P2d 138 (1972), as reiterated in *Eclectic*, then presumably it would have been entitled to pursue a common-law indemnity claim. In other words, it appears that the supreme court was willing to permit an indemnity claim—including indemnification of defense costs—as long as the traditional (*Fulton*) elements were satisfied.

But just a darn minute—how could this be? Stayton had been allocated 30 percent of the culpability and now sought its defense costs from the 45 percent at-fault defendant. But didn't *Eclectic* just get through declaring that the matter should be over, kaput, finished? Weren't we told that comparative negligence and several liability ended the discussion? Stayton could be liable only for its own fault, and thus there could no longer be indemnity. (As in *Eclectic*, the tortfeasors were all participants in the underlying case, and percentages of fault were allocated among the parties. Of course, the *Eclectic* defendants prevailed in the primary case; the Stayton defendants did not. But the scope of *Eclectic*'s holding did not depend on whether the underlying litigation was won or lost.) So why didn't the supreme court simply tell Stayton, "Hey, read our (*Eclectic*) lips—you don't have an indemnity claim"? Why would it matter—and why was it discussed—whether Stayton had or had not discharged an underlying obligation unless—*unless*—there was still hope that common-law indemnity could be salvaged? *Eclectic*'s dogma could simply, concisely, and swiftly have terminated this claim. Yet that's not the direction the court chose.

How this incongruity (or maybe schizophrenia) will ultimately play out remains to be seen. Nevertheless, at least for the present, the *S.S. Indemnity* appears to have survived what perhaps was merely a skirmish and not a blitzkrieg.

(We should mention that the *Rains* case involved a number of other complex and far-reaching issues, a discussion of which are beyond the scope of this project.)

§ 11.7 Refusing to Go Down with the Ship

If one tries to navigate unknown waters, one runs the risk of shipwreck.

—Albert Einstein

So in spite of *Eclectic*'s torpedo, maybe it was premature to jump ship; perhaps with a bit of seafaring ingenuity (with a little cunning and *Rains* tossed in), the *S.S. Indemnity* can be righted and perhaps restored.

Notwithstanding that *Eclectic* wasn't a true indemnity case, and disregarding the savings clause in ORS 31.800(5), the initial opinion stated: "Our holding extends only to cases in which the Oregon comparative negligence statutes apply." *Eclectic Inv., LLC*, 357 Or at 38 n 8. So does Oregon's comparative negligence scheme apply to a claim for common-law indemnity? Arguably it does not—for at least four reasons:

(1) By statute, comparative negligence and several liability apply only to cases involving recovery of damages for death or for injury to persons or property. *See* ORS 31.600(1); ORS 31.800(1). But is this the nature of an indemnity claim? Not according to *Huff v. Shiomi*, 73 Or App 605, 699 P2d 1178 (1985) (discussed in chapter 6). Following *Huff*'s reasoning, one seeking to evade *Eclectic* should argue

(as Dr. Shiomi successfully did) that while an indemnity action may, of necessity, allege facts that could be the basis of a claim arising out of bodily injury, death, or property damage, the event that triggers the cause of action for restitution is the discharge of a legal obligation that equitably should be the obligation of another. That is why the statute of limitations for an indemnity claim is not activated by the underlying tort but rather by the satisfaction of a legal obligation. *Huff*, 73 Or App at 607–08.

Still not convinced? Then return to *PIH Beaverton, LLC. v. Super One, Inc.*, 254 Or App 486, 294 P3d 536 (2013), *aff'd*, 355 Or 267 (2014) (discussed in chapter 6). In unsuccessfully attempting to avoid the repose statute of ORS 12.135(1) (involving the construction, alteration, or repair of real property) the putative indemnitee (Super One) attempted to rely on the *Huff* decision. In rejecting that argument in the context of a construction dispute, here's what the court concluded:

> The indemnity claim in *Huff* was not an "action . . . for damages for personal injury, death or property damages." Rather, the damages in that case would have been compensation for losses related to the physician's discharge of a common liability between the manufacturer and the physician.

PIH Beaverton, LLC, 254 Or App at 504 (quoting ORS 30.900).

Exactly! The nitty-gritty of an indemnity claim is independent from any damage to the underlying claimant and from any characterization of the underlying claim. And by the way, this is entirely consistent with the holdings from other jurisdictions. *E.g.*, *Reggio v. E.T.I.*, 15 So 3d 951, 955 (La 2008) ("An action for indemnity is a separate substantive cause of action, arising at a different time, independent of the

underlying tort."); *Saylor v. Arcotta*, 126 Nev 92, 225 P3d 1276, 1278 (2010) ("[W]e hold that equitable indemnity claims that arise out of medical malpractice allegations are not subject to [the] limitations period for medical malpractice claims, but are instead subject to [the] limitations period for action on implied contracts."); Maurice T. Brunner, Annotation, *What Statute of Limitations Covers Action for Indemnity*, 57 ALR3d 833 § 2[a] (1974) (updated periodically) (footnote omitted) ("The cause of action for indemnity is wholly distinct from the transaction or situation which gave rise to the right of indemnity.").

Arguably then, *Eclectic*'s allegiance to Oregon's comparative fault *tort* statutes is perhaps misplaced, irrelevant, or both in the context of a common-law indemnity claim.

(2) Comparative negligence is a tort-based notion. Fault and negligence are tort concepts. Even the contribution statute, ORS 31.800, talks in terms of "tortfeasor[s]" and persons "liable in tort." But wait! In Oregon, the foundation of common-law indemnity is contract, not tort. The remedy contemplates that a contract be implied requiring that one party bear the entire burden of a loss. *Kennedy v. Colt*, 216 Or at 654. Recall the statute of limitations for an indemnity claim is the contractual limit of six years—not the two-year tort cap. *Owings v. Rose*, 262 Or 247, 263, 497 P2d 1183 (1972). So why does *Eclectic* discuss tort law? Shouldn't the county's restitution action for recovery of its defense costs have been analyzed strictly as a contract claim? The court might still have ruled against the county (as it probably should have based on the facts), but that outcome would at least have rested on the historical essence of indemnity—not on tort concepts.

(3) The essence of comparative negligence is that the fault of the claimant be compared with that of any party against whom the claimant seeks recovery. ORS 31.600(2). But in a true restitution case—wherein the putative indemnitee has discharged the underlying obligation—there is no statutory basis to inject the fault of the claimant into the indemnity case. Nothing in Oregon's statutory scheme allows the fault of the underlying claimant to be compared in any manner when it's only indemnitee versus indemnitor. By the clear language of the statute, comparative negligence concepts apply only when the underlying plaintiff is a party to the action. This does not occur in a true indemnity case.

(4) Recall that *Eclectic* involved only a claim by the indemnitee-county for recovery of its defense costs incurred in the underlying action. But just how valid was the court's reasoning in attempting to "impair" defense-cost indemnity? Let's return to the foundation of the opinion—ORS 31.610(1), providing for only "several" liability. Note the language: "the liability of each defendant for damages awarded to plaintiff shall be several only and shall not be joint." So several liability applies only with respect to the damage award to the underlying claimant. Even accepting that outcome, there is nothing in the statute that would also administer several liability to an indemnity claim limited just to the defense costs incurred by the indemnitee in the underlying case. The nascent indemnitee could pretentiously say to the indemnitor, "Your liability for the claimant's damages may be limited, but not your obligation for my defense costs." An anomalous result? Perhaps, but then the statute says what it says. And there is nothing necessarily discordant with a different measure of damages for different causes of action. As we know, the underlying claimant's action is spawned in tort; the subsequent claim for defense costs is a contract claim.

So in the end, perhaps the resourceful and innovative indemnitee can circumvent the damage done to the *S.S. Indemnity*, permitting it to continue its journey (albeit now through more turbulent waters) on the Sea of Restitution. At the very least, there's no harm in making the attempt.

He who takes no chances wins nothing.

—Danish Proverb

What fate awaits Indemnity,
By courts which have decided,
To parcel by percentages,
What should not be divided.

—Book of Restitution

Chapter 12: *ASTORIA* REVISITED—"PARADOX, PROBLEMS, AND PROPOSALS"

If comparing fault's the remedy
With its issues quite obscure,
The "disease" perhaps was better
Then this problematic "cure."
—Book of Restitution

Before I came here, I was confused about this subject. Having listened to your lecture, I am still confused—but on a higher level.

—Enrico Fermi

§ 12.1 Consider What Might Have Been

As noted in chapter 1, common-law indemnity in Oregon began with an accident and an Octopus. Annie Anderson's fall in Astoria gave birth to this restitutional remedy in 1913—a remedy later refined and cultivated by the tentacle of an amusement park cephalopod in Judge Kilkenny's court. *See City of Astoria v. Astoria & Columbia River R. Co.*, 67 Or 538, 539–40, 136 P 645 (1913); *Siebrand v. Eyerly Aircraft Co.*, 196 F Supp 936 (1961). But today's legal environment is quite dissimilar. We have third-party practice, statutory contribution, comparative fault, and several liability. Oh . . . and yes, we now also have the *Eclectic v. Patterson* case. *Eclectic Inv., LLC v. Patterson*, 357 Or 25, 37, 346 P3d 468, *adh'd to as modified on recons*, 357 Or 327, 354 P3d 678 (2015). So perhaps it would be instructive to consider what would happen if the *Astoria* case were re-litigated in contemporary Oregon. What remnants, if any, might remain of the city's claim for indemnity? And what

issues, arguments, and obstacles might await the attorneys who would now represent the city and the railroad?

Recall the operative facts: Annie filed her injury claim in federal court against only the City of Astoria, and she obtained a judgment that was then satisfied. The city then instituted an indemnity claim in Clatsop County against the railroad, seeking to recoup its payment to Annie as well as defense costs incurred in the underlying case. The city obtained a judgment for full indemnity, and this was ultimately upheld by the Oregon Supreme Court. (In the underlying case, Annie was found free of any contributory fault; recall that in that era, any negligence attributed to her would have been a complete bar to recovery.)

Hypothetically, it's now present day Oregon. Quite coincidentally, the City of Astoria has lost an almost identical case to Annette Anderson, the great granddaughter of Annie, and has satisfied the judgment. Liability was based on the city's failure to discover the dangerous condition created by the railroad's street crossing. Subsequently, Astoria filed the present claim against the railroad in Clatsop County for common-law indemnity and, alternatively, contribution. The defendant-railroad has filed a motion to strike the indemnity claim. Both sides have submitted extensive briefs, and oral argument has occurred.

§ 12.1-1 An Imaginary Trial Court Opinion

In the city of Astoria's indemnity case, the trial court judge issued a written opinion regarding the defendant's motion to strike, as follows:

In the Circuit Court of the State of Oregon
For the County of Clatsop

City of Astoria,	)	No. 18–607
Plaintiff	)	
v.	)	Defendant's Motion to Strike
	)	Common-Law Indemnity Claim
Columbia, Dundee &	)	
Estacada Railroad,	)	
	)	
Defendant	)	

Laura DeBoom, Judge,

This matter comes before the Court on Defendant's motion to strike Plaintiff's claim for common-law indemnity. Plaintiff is represented by Wes T. Tooshun; Defendant's counsel is Tara Neuwon. The Court has considered the extensive briefs submitted by both sides and has heard oral argument.

Opinion

(1) Defendant-Railroad points to the Oregon Supreme Court's recent holding in *Eclectic v. Patterson*, deciding that in view of our statutory scheme of comparative fault and several liability, common-law indemnity and contribution are now abrogated. And (excluding contractual indemnity) these would have been the only remedies available for Plaintiff-City to obtain restitution. Accordingly, Railroad argues that there is presently in Oregon no recognizable theory by which City can assert its claim.

Counsel for City appeared incredulous at this argument. He bristled, with some apparent justification, that no one would seriously dispute that his client has the right to

at least attempt to seek restitution of some, if not all, of what City paid the claimant. He rhetorically added, ". . . and what's several liability got to do with anything? My client paid the whole judgment—not simply its so-called proportionate share!" City interprets *Eclectic* as applicable only when all the tortfeasors are present in the underlying case and an allocation of fault has been made among them. Since that predicate is not present in the case at bar, counsel claims that there is no legal impediment for asserting claims for traditional common-law indemnity and, alternatively, contribution. Railroad, he argues, can cite no Oregon authority supporting its position with respect to the facts in this matter.

(2) Next, Railroad's counsel has disparagingly referred to her opponent as "that senescent ol' Geezer" who, in this modern-day era, wishes to perpetuate the archaic "active–passive" / "primary–secondary" quagmire that courts—including Oregon—have found to be baffling, obscure, and virtually impossible to articulate. Almost universally, jurisdictions have scuttled this approach for the more sensible avenue of comparative fault. Ms. Neuwon points out that this trend is clearly reflected in the *Eclectic* opinion.

Hearing this, the Court observed the blood pressure of City's counsel appeared rising to dangerous levels. "Obscure or not," he shrieked, 'active–passive' has worked in this State for over a hundred years, so why is it suddenly so vague and infeasible? Moreover, my colleague, Ms. Neuwon, seems to overlook recent Oregon cases such as *Piehl v. Dalles Gen. Hosp.*, 280 Or 613, 621, 571 P2d 149 (1977), and such commentators as Prosser, that make a compelling argument that perhaps notions of 'community opinion' and 'fairness

and equity' might alleviate any troubling issues with 'active–passive' in deciding indemnity claims."

(3) Nevertheless, as the Court understands Railroad's position, Railroad maintains that in this age of comparative fault, it is imminently more sensible for a trier of fact to simply apportion culpability between the tortfeasors and thereafter have each be liable only for its own proportionate share. Since City was found at fault in the underlying case, at best, this becomes a contribution claim—not indemnity. Accordingly, Railroad maintains that at least some percentage of fault must be allocated to City. Put another way, City has allegedly paid more than its share of the common liability and is entitled to attempt to recoup some—but not all—of such payment, and, of course, City has no right to defense costs. So shouldn't we simply permit a jury to decide what percentage of fault, if any, lies with each party? Then, whatever percentage is allocated to Railroad, City would recoup that portion of its payment.

City's counsel acknowledges that Ms. Neuwon didn't get her reputation without good cause. However, Mr. Tooshun responds as follows: "If, as my colleague states, *Eclectic* did away with both indemnity and contribution, why would she choose here to resuscitate only contribution? What's sauce for the goose, etc., etc . . . and all that. If statutory contribution can rise from the ashes, then my client is entitled to CPR on indemnity."

(4) As for the fact that City was found at fault in the underlying case, Mr. Tooshun noted that Railroad has jumped to the mistaken conclusion that a finding of liability in the primary case must thereafter be expressed in terms of a percentage of culpability in the subsequent indemnity claim. At this point, the Court cautioned City's counsel about *ad hominem* attacks when he suggested that Ms. Neuwon should

spend more time researching indemnity and less time hanging out in her client's dining car. Nevertheless, City correctly observes that fault is indeed a chameleon. *See* chapter 3. While in the underlying case, fault has a quantitative character, denoted usually in percentages, in an indemnity claim, it is the qualitative nature of the wrong that is in issue. And quality is generally immune from being type-cast by percentages. Therefore, simply because City was deemed culpable in Ms. Anderson's case does not mandate assigning it a percentage of fault in the present case—thereby converting the claim to one of contribution and precluding indemnity.

(5) *"There's trouble in Paradox."* Railroad next draws attention to a paradoxical position in City's claim—and one that is troubling for the Court to unravel. Ms. Neuwon points out that if City and Railroad had both been defendants in the underlying case, *Eclectic* would presumably invalidate any potential indemnity claim. The jury would allocate fault between the two tortfeasors, and each would be liable only for its own percentage—no need for indemnity. Indeed, same result would transpire if City was the only original defendant but had brought Railroad in as a third-party defendant. However, because Railroad's involvement here is in a separate action, now City argues that indemnity should be permitted. Same facts, same parties, same issues—but a different result only because of the serendipitous fact that it's a different lawsuit. Obviously, according to Ms. Neuwon, City's counsel must be ambidextrous since he "clearly doesn't know his left hand from his right." That aside, the Court feels there is some merit in Railroad's legal argument, inasmuch as City's position presents a bit like restitutional hocus-pocus. Moreover, City's position would seem counter to the legitimate goal of judicial economy; it would encourage second or subsequent lawsuits in order to attempt full

restitution as well as recovery of defense costs. At oral argument, the Court sought City's response to this quandary.

Initially, Mr. Tooshun said he would forego (again) pointing out that, in Oregon, indemnity is grounded in an implied contract, whereas the underlying claim here was tort-based. The fact that different legal theories may have different measure of damages is hardly a paradox. Further, counsel indicated he would spare the Court further references to the indemnity savings clause in ORS 31.800(5).

However, City's counsel wonders why it is necessarily imperative that there always be consistency in the law? For example, in the underlying case here, Mr. Tooshun observed that City was permitted to plead as defenses that (1) Annette Anderson was never in Astoria on the date in question; (2) but if she was in Astoria at the time, she never fell; (3) but if she did fall, it was not from the railroad crossing; and 4) but if she did fall from the crossing it was the result of her own negligence in failing to keep a proper lookout. Perfectly legal and permissible allegations—yet dripping with inconsistency.

And talk about incongruities . . . what about the statute-of-limitations paradox [mentioned in chapter 6] between *Owings v. Rose*, 262 Or 247, 497 P2d 1183 (1972), on the one hand, and *Bales for Food, Inc. v. Poole*, 246 Or 253, 424 P2d 892 (1967), on the other? Two virtually identical cases—yet different limitation periods based solely on the serendipitous fact that one claim was grounded in contract and the other in tort. Mr. Tooshun then smugly observed: "I don't see Ms. Neuwon getting all grumpy over that one!"

City argues that it was not responsible for any incongruities in current common-law indemnity. If its present claim is somehow troubling, then perhaps at some future time, the issue can be clarified by the Supreme Court or addressed by the Legislature. For the present, however,

certainly City is entitled to take advantage of the law as it presently exists—paradoxical or not. Finally, as for his opponent's "ambidextrous" comment, Mr. Tooshun suggests that Neuwon must possess a similar quality since she "seems to be talking out of both sides of her mouth."

(6) As for so-called judicial economy, City concedes that while that's a worthy goal, it should not be permitted to trump a party from asserting a legally recognized claim. If "subsequent indemnity lawsuits" play such havoc with judicial resources, then perhaps the Legislature should enact something akin to a mandatory joinder law. [Though, as noted in chapter 5, there are often very legitimate and tactical reasons for the necessity of a subsequent lawsuit.]

(7) Finally, City's counsel, while unprofessionally suggesting what Ms. Neuwon can do with her "paradox," argues that if Railroad was so concerned about an indemnity claim, then it should have accepted City's tender, instead of telling City to "go pound sand."

Ruling: Having considered the arguments and positions of both sides, the Court hereby orders that Railroad's motion to strike is . . . [Oh . . . and Counsel . . . I'd like to see you both in chambers.]

§ 12.1-2 The Future Is Hazy

We'll let Oregon counsel for future indemnitees and indemnitors divine how Judge Laura DeBoom ruled on the motion to strike. In the meantime, however, there appears little downside to continue asserting claims for common-law indemnity (and contribution) in situations that are not strictly identical to *Eclectic*. So perhaps even with all the substantive and procedural changes, the modern *Astoria* case may well be decided the same as its ancestor. On the other hand, today's putative indemnitors will wish to strenuously take the position

similar to that in the *Restatement (Third) of Torts: Apportionment of Liability* section 22 (2000) that indemnity should be limited only to that narrow range of cases involving liability without fault. *See* chapter 11.

To find fault is easy; to do better may be difficult.

—Plutarch

Is there a better alternative? No question but that the trend in this country has been to depart from the all-or-nothing outcome of traditional common-law indemnity and move toward some breed of comparative fault. Nevertheless, there remain a variety of cases where the party seeking indemnity will be deemed at fault, but in which notions of fairness, equity, community opinion, unjust enrichment, or whatever warrant the right to seek full recovery. We refer to cases like *Kennedy v. Colt*, 216 Or 647, 339 P2d 450 (1959) (discussed in chapter 11). Even in situations like *City of Astoria*, where arguably the only fault of the city was its failure to discover the negligence of the party who created the condition that caused the injury, arguably a right to attempt full restitution should remain.

The difficulty in Oregon can be traced to its heritage of two quite disparate and mutually exclusive restitutional remedies: indemnity and contribution. One was founded on common law, the other on statute; one arose from (an implied) contract, the other from tort theory; each has different elements of proof; one permits defense-cost recovery, the other not; the statute of limitations for one is six years, the other just two. As a consequence, there is no fluid transition moving from one remedy to the other. To complicate matters further, we have a contribution statute

containing an enigmatic indemnity savings clause and a supreme court opinion that initially squashed indemnity and contribution altogether but then equivocally hinted that remnants might survive.

§ 12.1-3 Taking a Cue from Other Jurisdictions

Other jurisdictions, with the same or similar issues and concerns, have taken the bull by the horns and judicially crafted a hybrid form of restitution, melding indemnity and contribution into just one remedy. It's variously designated under rubric such as "comparative indemnity," "comparative equitable indemnity," or even "comparative partial indemnity." Three states seem to have been the pioneers in crafting this approach: New York, California, and Wyoming. Interestingly, at the time of formulating this remedy, these states all had a history of common-law indemnity as well as some form of statutory contribution.

In *Dole v. Dow Chem. Co.*, 30 NY2d 143, 331 NYS2d 382, 282 NE2d 288, 295 (1972), *superseded by statute as stated in In re Brooklyn Navy Yard Asbestos Litigation*, 971 F2d 831 (2d Cir 1992), the New York Court of Appeals, citing the difficulties in applying the state's contribution statute, adopted a judicially crafted comparative indemnity remedy indicating that the "[r]ight to apportionment of liability or to full indemnity . . . should rest on relative responsibility and to be determined by the facts."

Perhaps the most comprehensive analysis of this approach appears in the California Supreme Court case of *Am. Motorcycle Ass'n v. Superior Court*, 20 Cal 3d 578, 146 Cal Rptr 182, 578 P2d 899 (1978). In addressing the potential tension between "equitable indemnity" (or common-law indemnity in Oregon parlance) and statutory contribution, the court observed:

> [W]e conclude that California's current contribution statutes do not preclude our court from evolving this common law right of comparative indemnity. . . . Moreover, the California contribution statute, by its own terms, expressly subordinates its provisions to common law indemnity rules; since the comparative indemnity rule we recognize today is simply an evolutionary development of the common law equitable indemnity doctrine, the primacy of such right of indemnity is expressly recognized by the statutory [contribution] provisions.

Am. Motorcycle Ass'n, 578 P2d at 902; *see Schneider Nat'l, Inc. v. Holland Hitch Co.*, 843 P2d 561, 570–71 (Wyo 1992).

Without belaboring how the California appellate courts have applied the *American Motorcycle* rule of "comparative indemnity," we refer to *Far W. Fin. Corp. v. D&S Co.*, 46 Cal 3d 796, 251 Cal Rptr 202, 760 P2d 399 (1988):

> [T]here are not two separate equitable indemnity doctrines in California, but a single "comparative indemnity" doctrine which permits partial indemnification on a comparative fault basis in appropriate cases. To be sure there is nothing in . . . *American Motorcycle* . . . which suggests that it would necessarily be improper, in a comparative indemnity action, for a trier of fact to determine that the facts and equities in a particular case support a complete shifting of a loss from one tortfeasor to another, rather than, for example, a 60 percent/40 percent or 95 percent/5 percent division of the loss. . . . "[C]omparative equitable indemnity includes the entire range of possible apportionments, from no right to any indemnity to a right of complete indemnity. Total indemnification is just one

> end of the spectrum of comparative equitable indemnification."

Far W. Fin. Corp., 760 P2d at 407 (quoting *Standard Pac. of San Diego v. A.A. Baxter Corp.*, 176 Cal App 3d 577, 222 Cal Rptr 106, 112 (1986).

So why not a similarly crafted remedy in Oregon? Didn't our supreme court in its second *Eclectic* opinion emphasize that common-law indemnity is a court-created creature and thus can be judicially chiseled and carved in any way that might better achieve the ultimate goal of equity and fairness? *Eclectic Inv., LLC*, 357 Or at 330–31. Such an approach would have advantages over the present state of our restitutional law in at least the following ways:

(1) In cases where restitution is warranted, it would eliminate the necessity for our dual (and dissonant) remedies of common-law indemnity *and* statutory contribution—replacing them with one broad spectrum of possible results similar to California: zero at one end, full indemnity at the other, and a myriad of possibilities in between.

(2) While preserving the modern trend of comparative fault, it would recognize that in certain instances, the disparity or quality of fault between tortfeasors is significant enough that a jury's notion of equity and fairness might justify full indemnification.

(3) It would also put to rest any ambiguity or discussion concerning the meaning and intent of the indemnity savings clause in ORS 31.800(5).

(4) Traditionally, in Oregon, defense costs incurred in the underlying case are recoverable only in cases of indemnity but not in contribution. So if one seeking restitution recoups 100 percent (full indemnity), he or she is entitled to all underlying defense costs. If his or her recovery

is 99 percent (contribution), he or she recoups no portion. However, with some type of sliding "comparative" indemnity scale, perhaps a more palatable argument can be made that the successful indemnitee should recover those defense costs in proportion to the amount of fault attributable to the indemnitor. Nevada has suggested a somewhat similar approach that seems to make equitable sense. *See Piedmont Equip. Co., Inc. v. Eberhard Mfg. Co.*, 99 Nev 523, 665 P2d 256, 260 & n 1 (1983).

However, even the California "solution" arguably permits full indemnity only with respect to an independent or separate action against an indemnitor—either because the putative indemnitee has satisfied an underlying judgment against it, or because it has settled the primary claim. (Again, we leave aside the liability-without-fault cases.) Once fault has been allocated among all tortfeasors in the underlying case, via percentages, a "several liability" mandate would seemingly preclude the full panorama of comparative indemnity. As such, even this remedy would not resolve the paradox mentioned earlier, wherein the right to seek 100 percent restitution depends on whether the prospective indemnitor was or was not a party to the underlying case. This remains troubling in fact situations like *Kennedy v. Colt*, where both tortfeasors, as parties in the primary case, can be deemed at fault vis-a-vis the claimant—yet the tug and tow of equity may justify full indemnity even if a percentage of fault were to be allocated to the prospective indemnitee.

§ 12.2 Concluding with a Balance of Law and Equity

A good beginning makes a good end.

—Louis L'Amour

Going forward, it is unclear how Oregon courts will deal with common-law indemnity. Clearly there's equitable appeal to the notion that a tortfeasor should be responsible only for his or her own degree of fault; the all-or-nothing byproduct of traditional common-law indemnity might seem counter to that objective. Yet is the goal of achieving equity or fairness always accomplished merely by measuring culpability in terms of percentages as opposed to considering and evaluating the disparity in the quality of the conduct? "Law" might desire a percentage—but "equity" might justify full restitution. In any event, at least for now, the shadow of Annie Anderson and the specter of an Octopus still hover over Oregon common-law indemnity.

On the Road to Restitution,
Though the route's not well-defined,
To forecast what may lie ahead,
It never hurts to look behind.

—Book of Restitution